



THE FORBIDDEN BOOK

A STOCK TRADING
TECHNICAL ANALYSIS GUIDE
BY: GANDAKOH



The Forbidden Book

A Stock Trading Technical Analysis Guide

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TRADERSDEN
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This book is dedicated to all Filipinos who want to become stock traders.

Learning Technical Analysis is and will always be for free.



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What is Technical Analysis?

What is Technical Analysis? According to Investopedia, Technical analysis is the study of historical market data, including price and volume. Using insights from market psychology, behavioral economics, and quantitative analysis, technical analysts aim to use past performance to predict future market behavior. The two most common forms of technical analysis are chart patterns and technical (statistical) indicators (Chen, 2020).

Ano nga ba ang technical analysis? To make it simple ang Technical Analysis ay isa sa mga paraan na gamit ng isang trader para e-analyze ang isang stock kung ito ba ay okay e-trade or hindi. Technical Analysis involves using charts, indicators, past prices and a lot more. Unlike Fundamental Analysis that primarily deals with the financial health of the company/stock, yung Technical Analysis naman deals with past prices at price actions.

Bakit ito ang kalimitang gamit ng mga retail traders? Retail traders often use Technical Analysis or TA instead of Fundamental Analysis dahil sa edge. Kung retail trader ka halos little or wala kang edge if you will use Fundamental Analysis to trade compared sa mga brokers or institutional traders kasi mas malawak ang sakop ng mga ito pagdating sa information about financial health ng isang stock. They can know things ahead sa iyo so wala kang advantage whereas sa TA ay halos same time lang nag aappear ang data sa chart. If you think deeper, yung TA is a study of past prices, meaning it's a study of past trades which also means na study ito ng mga decisions ng maraming traders. As we go on, you will realize na TA is overwhelming sa una but sobrang dali lang if naintindihan mo na and it's my job to help you understand.

Chart

**"Ninety percent (90%) of stock traders lose money
that's why you should avoid trading and go for investing long-term instead"**

I hear this phrase a lot. The funny thing about this statement is that those who say this have not traded stocks in their life. They just heard this from someone who heard it from someone and assumed it to be true. Look at this chart. This is PLDT with stock code TEL. If you invested in PLDT 5 or 7 years ago you probably lost a lot by now.



Or if you have invested in URC for years ago.



These stocks are not third liners. These are blue chip companies. So, slow down with “I’d rather invest than trade.” You can both lose either you trade or you invest as well as you can both gain on it. The only reason a lot of traders lose is because of the fact that most individuals prefer to trade than to invest. That's it. Out of 100 individuals, 90 are traders and 10 are investors. By numbers, there are more traders than investors, thus, there are more losers in trading than those who are into investing.



What is a Chart?

A chart is graphical representation of an asset's historical price action. A price chart is a sequence of prices plotted over a specific timeframe.

A chart tells you a story kung nasaan ang price ng isang stock sa past at present. Example, bumili ka ng balut sa halagang 12 pesos kanina. Kahapon ang presyo ng balut ay 11.5 pesos lang. Nung nakaraang linggo ang presyo ng balut ay 10 pesos lang. Nung nakaraang buwan ang presyo ng balut ay 9 pesos lang. Three years ago ang presyo ng balut eh 5 pesos lang.

Date	Price in Php
December 2	12.00
December 1	11.50
November 27	10.00
September 5	9.00

Imbes na isulat mo ito sa papel in words or digits, gawan mo na lang ng chart at ilagay ang mga presyo. Ganun din sa trading. Instead isulat ang presyo ng stock araw araw eh para mas madali ginawan na lang ng chart. Maraming uri ng chart.

BAR CHART



CANDLE STICK CHART



LINE CHART

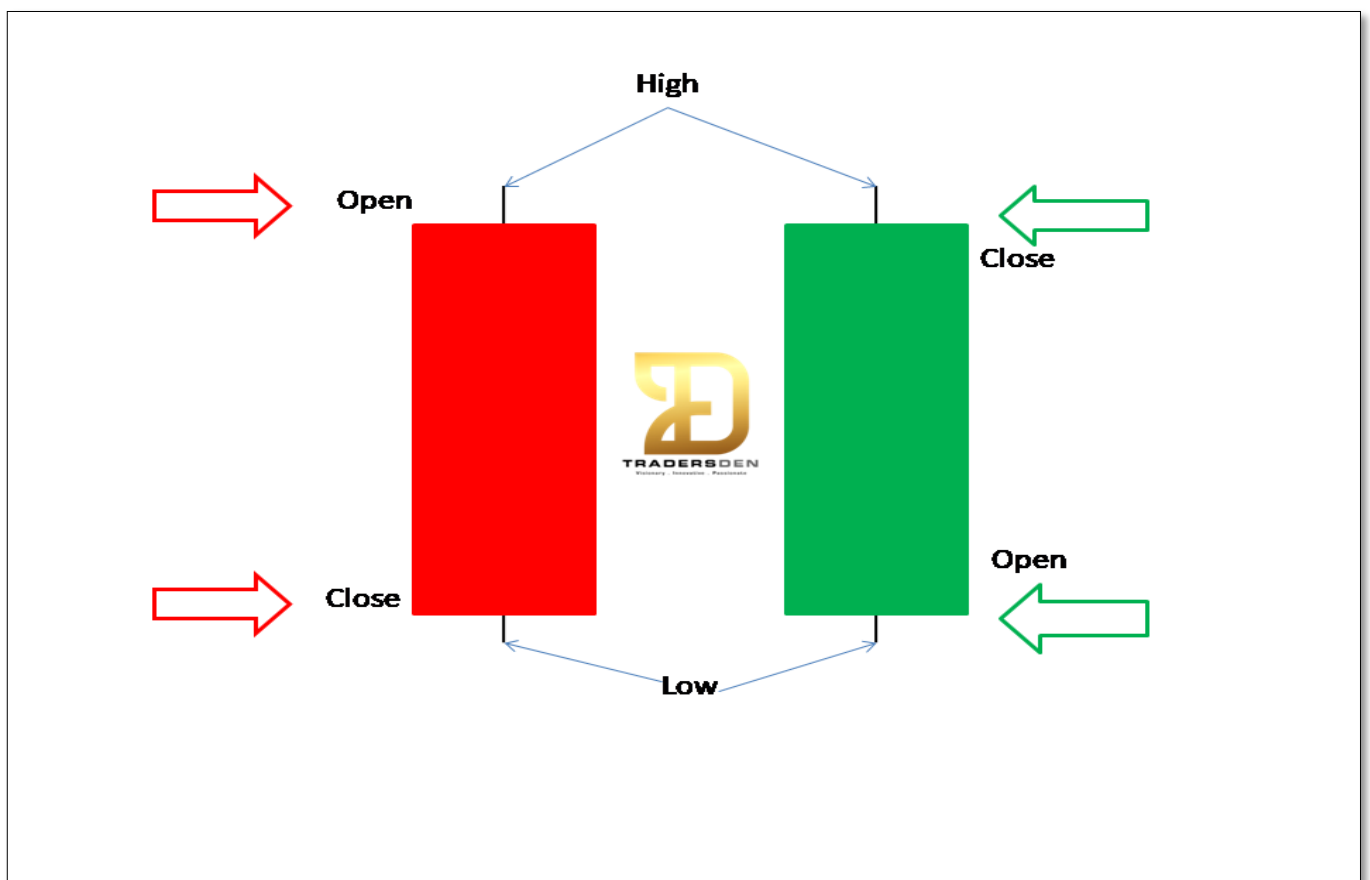


"Ano ba yang chart chart na yan? Ang complicated naman niyan."

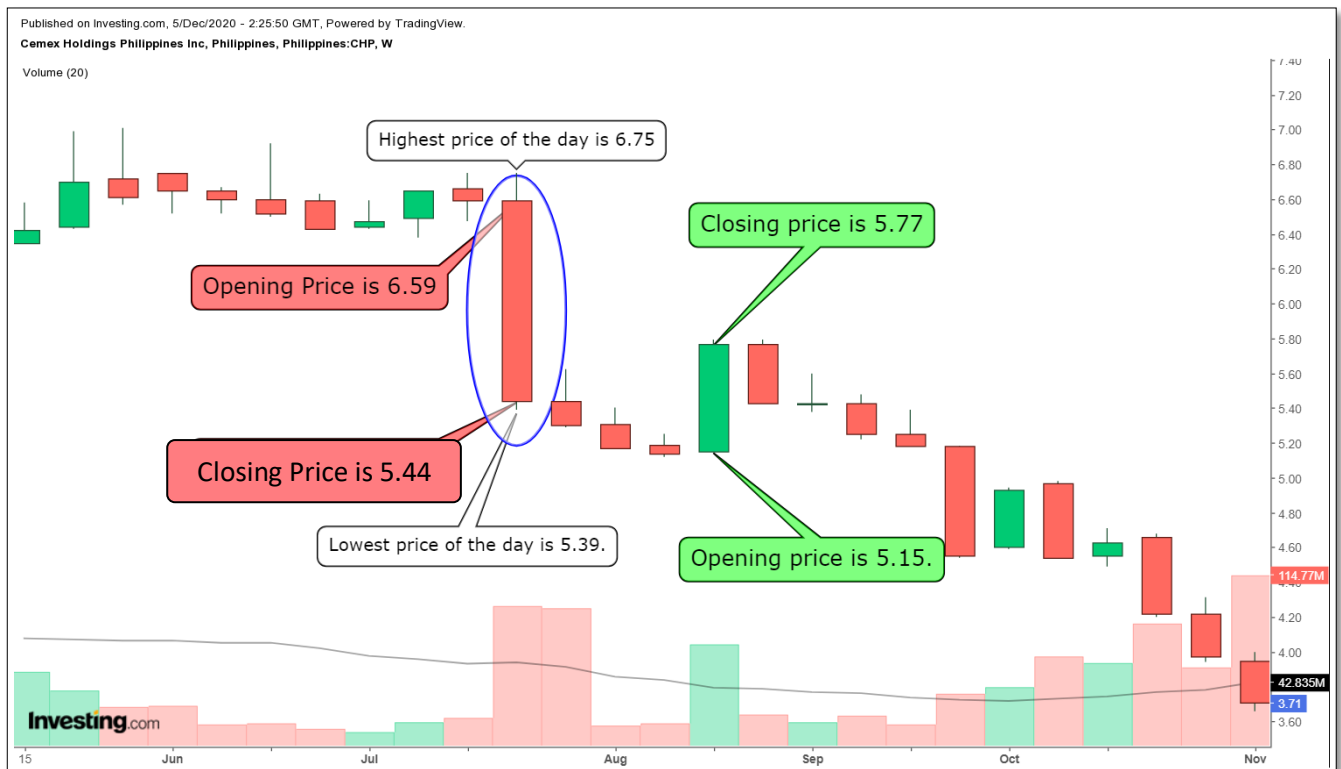
Maraming uri ng chart pero pinakacommon na gamit nating mga Pinoy ay yung candlestick chart.



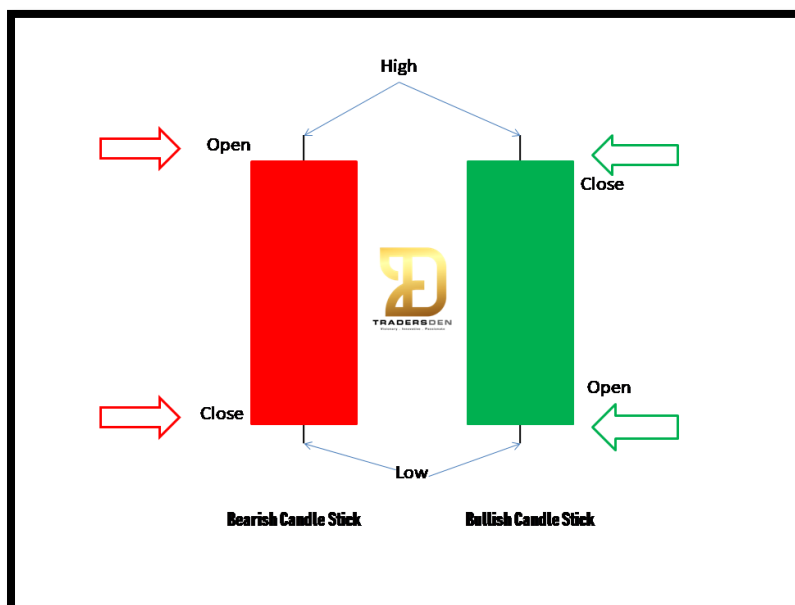
Let me simplify it for you.



Ganyan yan. Kapag green ang candle, ang ibig-sabihin ay nagbukas siya sa mababang presyo at nagsara sa mas mataas na presyo. Kapag naman red ang candle meaning nagbukas sa taas at nagclose sa baba.



Ang green na candle tawag ay bullish candle at ang red naman ay bearish candle. So ulitin ko, sa loob ng isang araw kapag ang candle ay nagbukas sa mataas na price at nagsara sa mababa na price magiging pula ito. Tawag doon **bearish candle**. Kapag naman nagbukas sa mababang price at nagsara sa mataas na price, green na candle



kakalabasan nun at tawag dun ay **bullish candle**.

Ang simple diba? Kaya kami gumagamit ng chart para malaman ano ang nangyayari sa isang stock. Tumaas ba o bumagsak. Para rin malaman kung ano nangyari sa kanya kahapon, nakaraang buwan o kahit nung nakaraang taon. Nakakatulong ito sa pagbuo ng aming trading decisions.

TECHNICAL ANALYSIS VS FUNDAMENTAL ANALYSIS

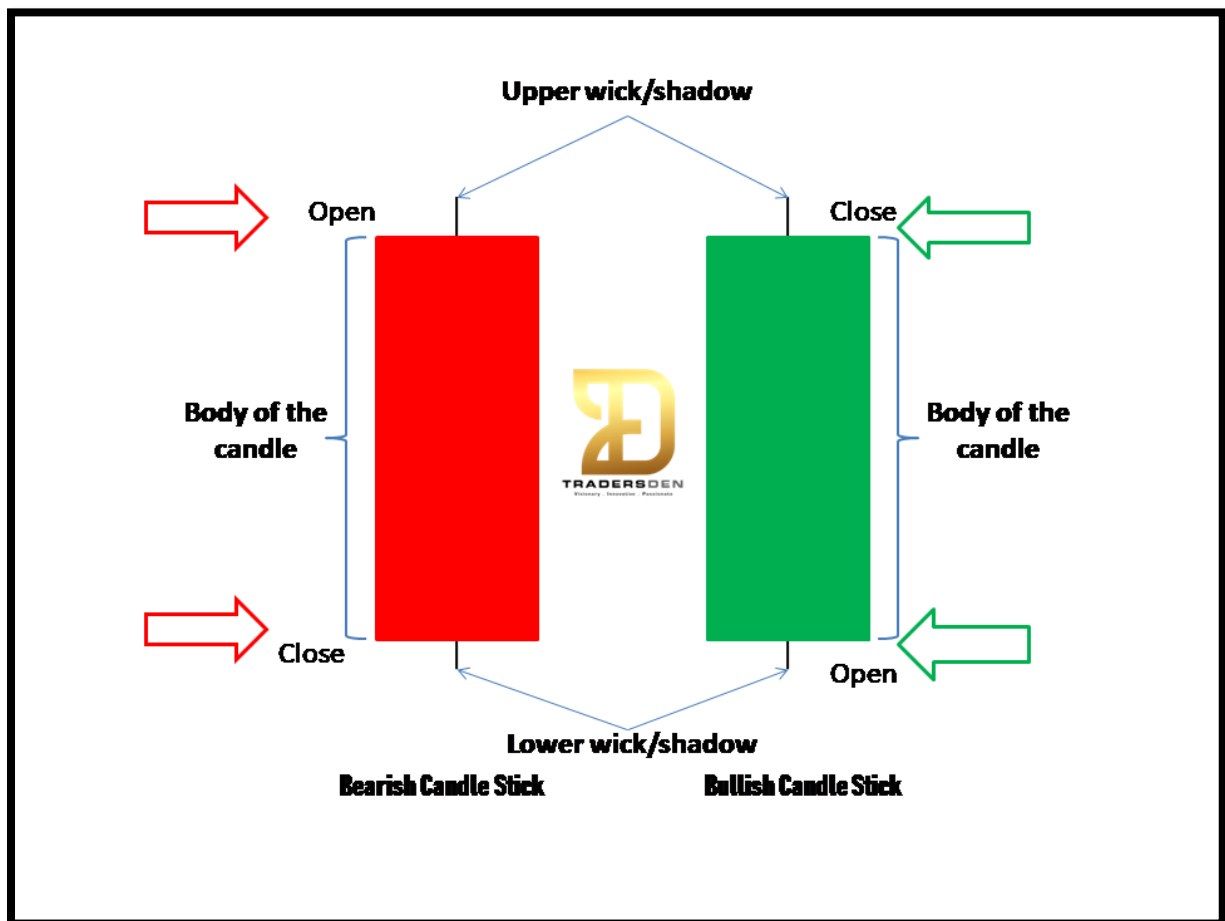
There has been a decade-long argument between those who use TA and FA. Which one is better? I don't know which is better between the two. Some Technical Analysis (TA) makes sense to me and some don't. Some Fundamental Analysis (FA) makes sense to me and some don't.

If I would be asked to take a side, I will judge them by the result of their trades. If you use TA and you get good results, then go use it. If you use FA and you get good results, then use it. If you use something just because a lot of traders use it, then you are being unwise.

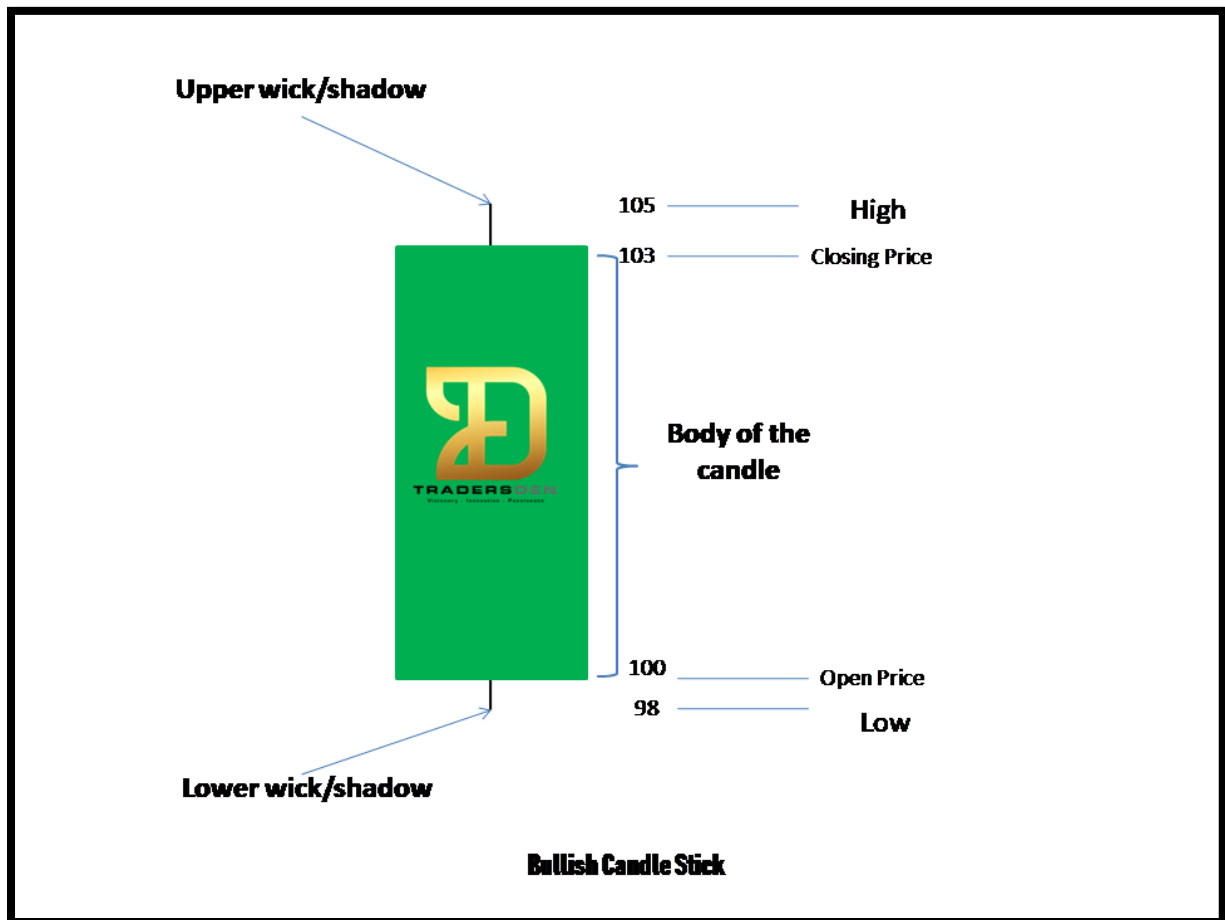


THE CANDLESTICKS

A candle is a representation of a stock price.



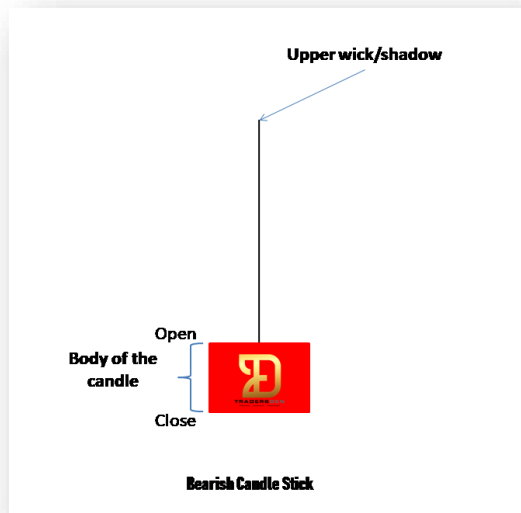
May body ang candle at meron ding wick or isa pang tawag nila is shadow. If green ang color it, means nag open ang stock price sa baba or sa mababang price at nagclose sa taas o sa mataas na price. If red naman, meaning nun nag open sa taas o sa mataas na price at nagclose sa mababa na price. Mula sa price kung saan nag open ang stock hanggang kung saan ito nagclose ang tawag dun is body. Mula naman sa body pataas papuntang high or pababa papuntang low ang tawag is wick or shadow.



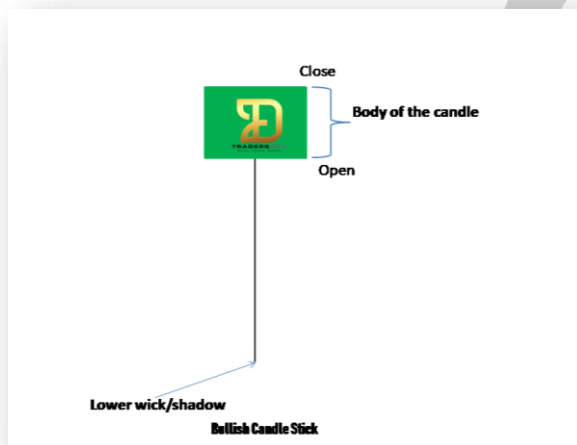
Bakit may ganun? Sample, nag open ang stock sa 100 pesos. Sabihin nating stock A ang name ng stock. At opening hour which is 9:30 AM sa Pilipinas nagbukas si stock A sa price na 100 pesos. After 30 minutes mas dumami nagbenta kaya bumagsak ito sa 98 pesos. Mga bandang 1:45 PM naman mas dumami bumili kaya tumaas ito umabot hanggang 105 pesos. Nung magclose na ang market ang final price niya is 103 pesos. Green ang kinalabasan kasi nag open siya sa baba which is 100 at nagclose siya sa taas which is 103. Mula opening price na 100 papuntang closing price na 103 is what we call **BODY**. Mula opening price papuntang lowest price of that day is called **LOWER wick or shadow**. Mula naman closing price papuntang highest price of that day is also called **UPPER wick or shadow**.

WICKS

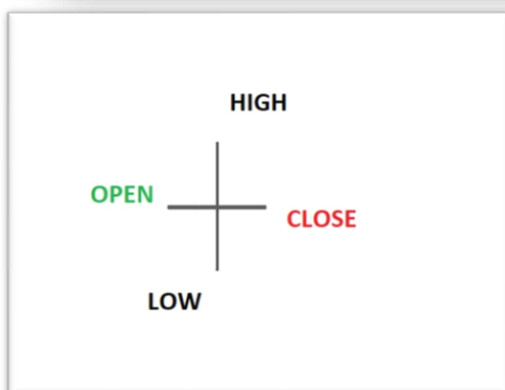
What is a wick? What does it represent? A wick indicates where the price of a stock has fluctuated relative to the opening and closing prices. Pinapakita ni wick kung hanggang saan umabot ang price. Gaano ka taas or kababa inabot ng price sa araw na yun.



Sa stock market may buyers at may sellers. Sila or actions nila nagdedecide kung anong candle ang mafoform. Kapag sobrang haba ng upper wick meaning nun kahit anong bili ng mga buyers sa taas para tumaas ang price eh mas marami pa rin sellers kaya napupush pa din sa baba ang price.



Kapag naman mahaba ang lower wick meaning nun kahit anong tulak or benta ng sellers sa mababa na price ay natutulak pa rin ng buyer pataas ang price. In short, long upper wick sellers nagwagi while long lower wick buyers nagwagi.

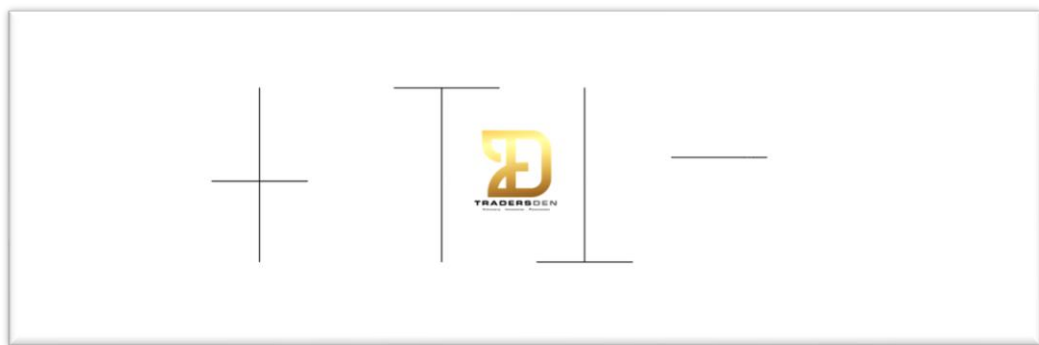


Paano naman kapag nag open ang price sa 20 pesos, bumaba sa 19.5 pesos by 10:30 AM , umakyat sa 20.5 pesos by 2:30 PM at nagclose sa 20 pesos? Tawag naman dun is **doji**.

DOJI

What does doji represent? Doji represents uncertainty. Hindi winner ang buyers at hindi rin winner ang sellers. Tabla lang sila. Tinulak ng sellers pababa ang price tinulak naman ng buyers pataas ang price. Nagtulakan sila pero nagclose lang sa same price halos ang stock.

Maraming uri ng Doji.



The opening and the closing prices are the start and end of the battle. Wick shows you how far up or down the battle reached. Sa closing ako nagplot ng line ng support or line ng resistance dahil yan na ang final say ng buyers at traders that day. Buyers might push the price sa sobrang taas sa umaga pero pagdating ng hapon sellers might push it back down. If you plot sa wick, you are just considering yung part lang ng araw na yun. For example, sa lower wick ka nagplot ng fibo or ng support. Sa araw na iyon mula 9:30 to 11 AM tinulak ng sellers ang price mula sa opening kunyare na 40 pesos hanggang 37 pesos. Around 2:00 PM dumami buyers at natulak nila pataas ang price. Nagclose ang stock sa 41 pesos. If sa end ng wick ka magplot ng line as support meaning, you only considered the part of the day between 9:30 AM to 11 AM and not the whole day. That does not paint the whole picture or the whole story.

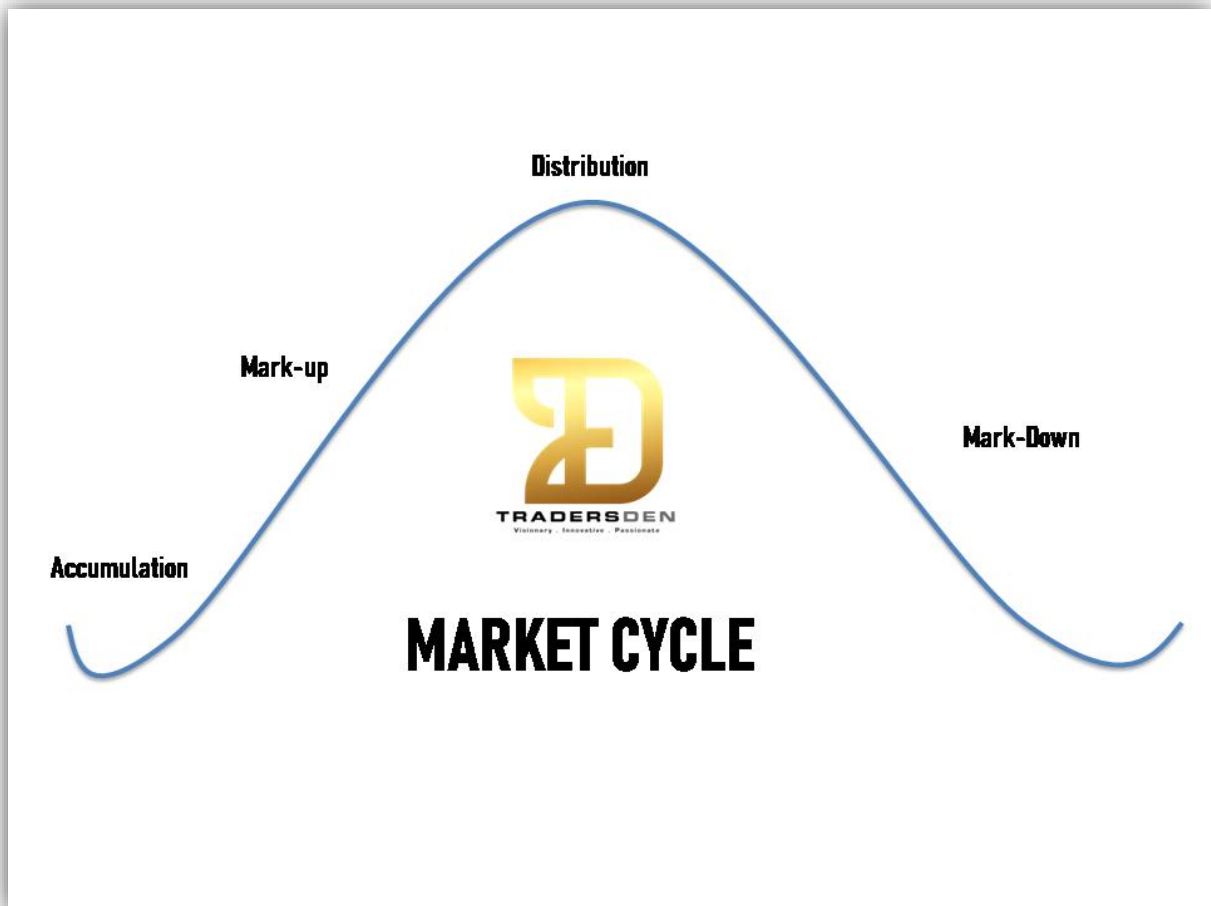
SPECIAL BOOK

I made this book with the intention of- a newbie to have the needed tools to make it as a trader. There are many topics sa Technical Analysis but I will only cover those I believe na may sense at yung totoong makakatulong at magagamit ninyo in your actual trades. I will skip many topics such as Chart Patterns, Candlestick Patterns, and a lot more. You can always Google-search them if you wish to learn them, but as far as this book goes yung goal ko is for you to use the things that I write here in your actual trades. I'm not trying to impress you with what I know. I'm already trading for a living, so that alone is enough proof that what you will get from this book works. I want you to actually learn and produce a good result sa trades mo.



MARKET CYCLE

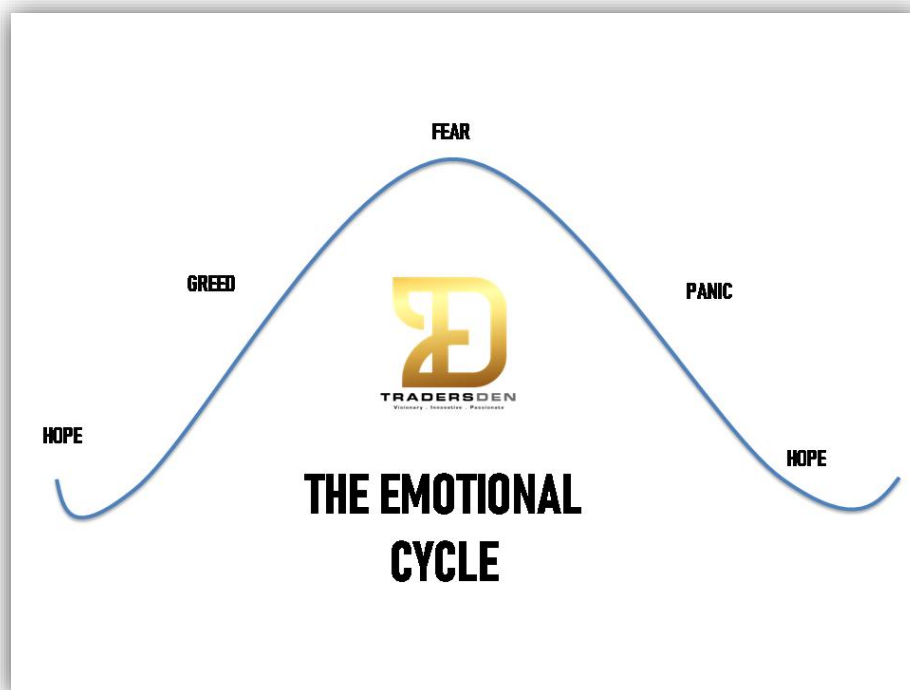
May apat na cycle ang merkado. Accumulation Phase. Mark-Up Phase. Distribution Phase. Mark-Down Phase.



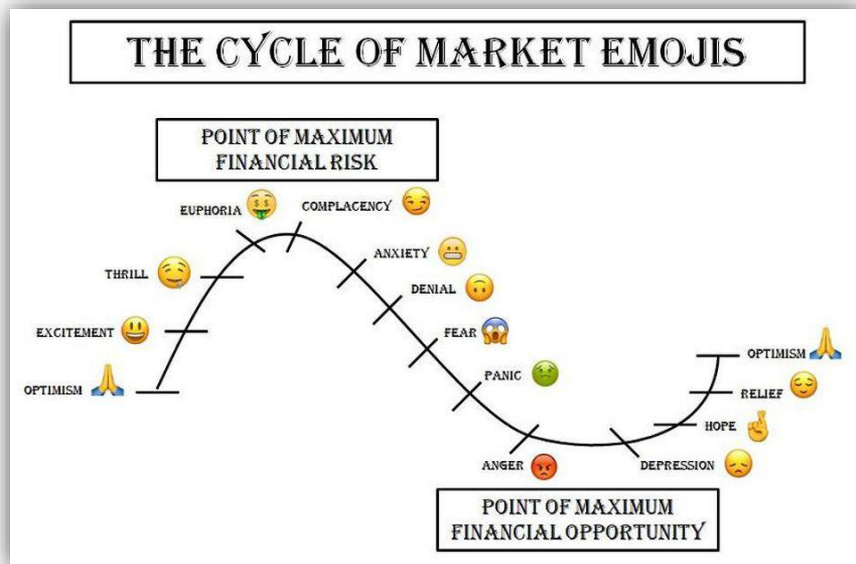
A market cycle can range anywhere from a few minutes to many years, depending on the market in question. Since cycle siya so nauulit lang. Una, **accumulation stage**, kung saan ang mga traders especially institutional traders ang nag-aaccumulate ng stocks kasunod nito kapag napansin ng iilan na hindi na bumababa ang prices at unti unting nagstable ay magbibilihan sila kaya tataas ang price papasok na sa second stage which is **mark-up stage**, kung saan nagkakaroon ng mga higher lows at higher highs. Dito na stage lahat masaya. Lahat ng sentiments ay positive. After some time na pagtaas ay hihinto na ito. Ang dating optimism sa mark up stage nahaluan na ng doubt. Dito halos nagbebentahan ang mga bumili noon sa accumulation stage kaya kahit anong dami ng buyers hindi na tumataas, kasi nagdidispose na ng shares ang mga nag-

accumulate. Tawag sa stage na to is **distribution stage**. After ng distribution phase is yung **mark-down stage**, kung saan dahil narealize na ng karamihan na hindi na tumataas ang price at nadadaig na halos ng sellers ang buyers ay magbebentahan na kaya yung result is babagsak ang price ng isang stock. After bumagsak ng price darating na naman ang point kung saan mag aaccumulate na naman ang mga traders dahil mura na sa tingin nila ang price especially insti traders. Accumulation stage na naman ulit. So paulit-ulit lang. Stages can last a month or a year or even a decade. If you want more information about market cycles e search ninyo lang sa internet at maraming articles about it

Here is the emotional cycle of traders while the market cycle is happening.



Then there is the cycle of market emojis which a lot of you will nod your head and say you can relate to this.



Source: (Isbitts, 2018)

If you think about it, IT IS SO EASY TO EARN if you know the market cycle. All you need to do is wait until the stock is at the beginning of the Mark Up Stage and start buying or better yet buy on the Accumulation Stage and sell on the Distribution Stage. WOW! Billion Peso idea!

Well, not really. You can't really time the market. It's easy to say "I could have bought here and sold here" if you are looking at the history of the stock pero if nasa kasalukuyan ka hindi mo alam kung anong stage ng cycle ang kasalukuyan mo na kinabibilangan. Let us look at this example.



Mula November 2016 until December 2019 ay dumaan si JFC sa apat na cycle. Let us focus on Accumulation Stage since kunyare gusto natin timing si JFC. Our Billion peso idea, remember? So papasukin natin ang Accumulation Stage at sasabayan natin ang mga insti bumili.



E zoom in natin.



We can conclude that our Billion Peso idea won't work.

Accumulation/Distribution Indicator. Hmmm? Bakit wala gumawa ng indicator na kayang makita kapag may nag accumulate or may nagdidistribute? Meron. The indicator is called Accumulation/Distribution Indicator. Accumulation/distribution is a

cumulative indicator that uses volume and price to assess whether a stock is being accumulated or distributed. Ito sya.



May apat na general ideas when looking at Accumulation/Distribution indicator (A/D). Una, Kapag tumataas ang price at pataas din ang A/D ibig sabihin confirmed na ang trend is going up. Balikan natin, apat ang market cycle. Accumulation, Mark Up, Distribution at Mark Down. Nauulit lang ng nauulit yan. After ng Mark Down mag Accumulation ulit. This can range from months to years. Ang galaw ng isang stock ay may tatlong direction. Uptrend, Downtrend at Ranging. Kapag paakyat tawag dun is **Uptrend**. Kapag pabagsak naman tawag dun is **Downtrend**. Kapag naman walang masyadong galaw tawag dun is Ranging. Si Accumulation Stage at si Distribution Stage ang tawag sa kanila if e classify mo as direction is Ranging since walang galaw masyado. Si Mark Up Stage since paakyat if e classify mo ang tawag sa kanya is Uptrend while si Mark Down Stage naman is Downtrend.

Tatlo ang general rules.

- 1) Una, Kapag tumataas ang price at pataas din ang A/D ibig sabihin confirmed na ang trend is going up (uptrend).



- 2) Pangalawa, Kapag bumababa ng price at pababa din ang A/D ibig sabihin nito confirmed na ang trend is going down (downtrend).



- 3) Third, Kapag umaakyat or nag range lang ang price at ang A/D naman ay pababa meaning may divergence na nagaganap. Ano ang divergence? Divergence occurs

when an indicator and the price of an asset are heading in opposite directions. Kapag may divergence, kung anong direction ang indicator ay susunod doon ang price. Kapag umaakyat or nag range ang price at ang A/D naman ay pababa, sooner or later babagsak din si price.



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STOCK MARKET TRENDS

Ano ang tinatawag nilang **TREND**? Ang trend ay general na direction ng price ng stock.

Mayroong pataas which is called an **uptrend**.



Mayroong pababa which is called a **downtrend**.



At may mga stock naman na hindi pataas at hindi rin pababa. **Sideways or Ranging** ang tawag sa kanila.



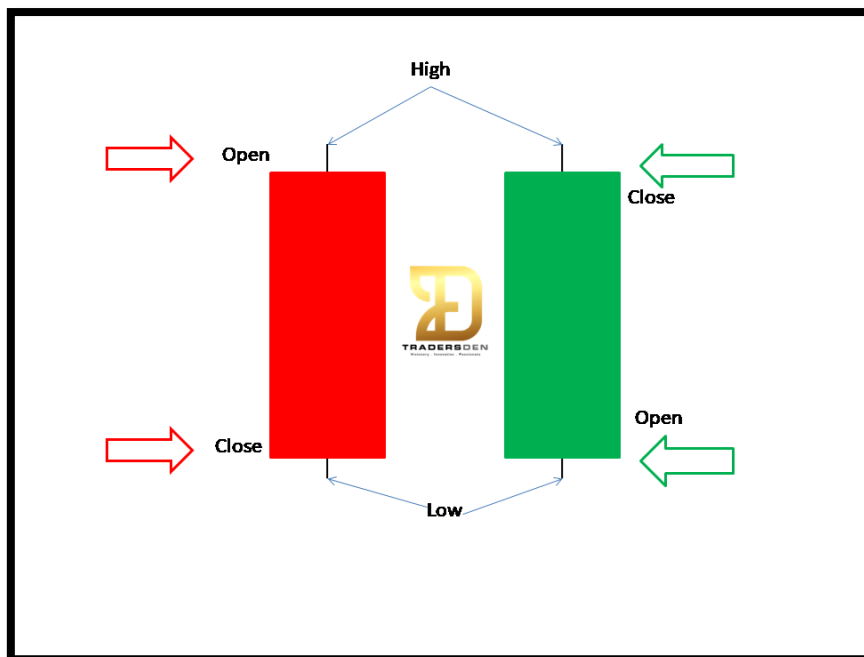
Ang trend ng isang stock ay depende sa timeframe na tinitingnan mo. A stock can be an uptrend sa short term while being on a downtrend long term. Depende sa haba o iksi ng time na tinitingnan mo. Let's take SMPH for example. Uptrend, Downtrend, or Sideways?

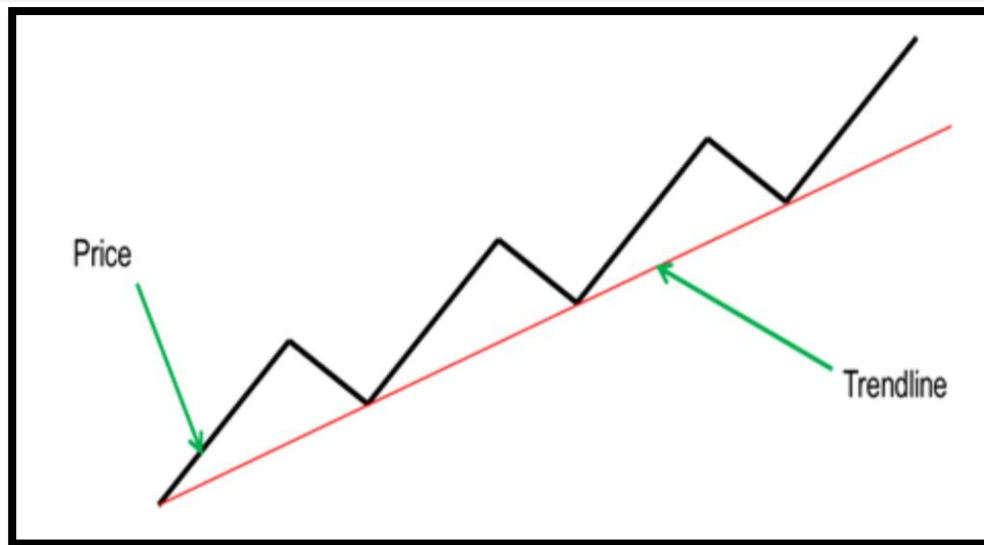
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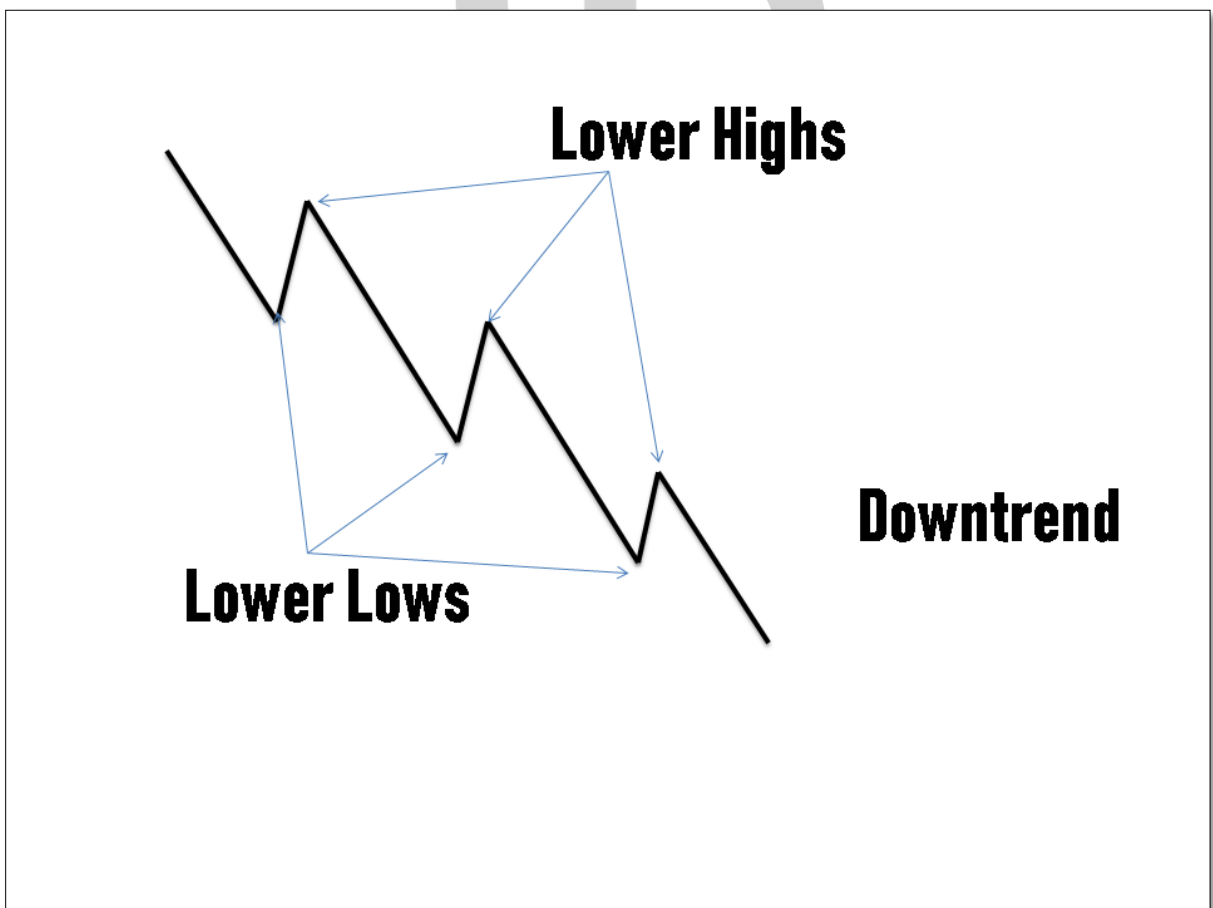
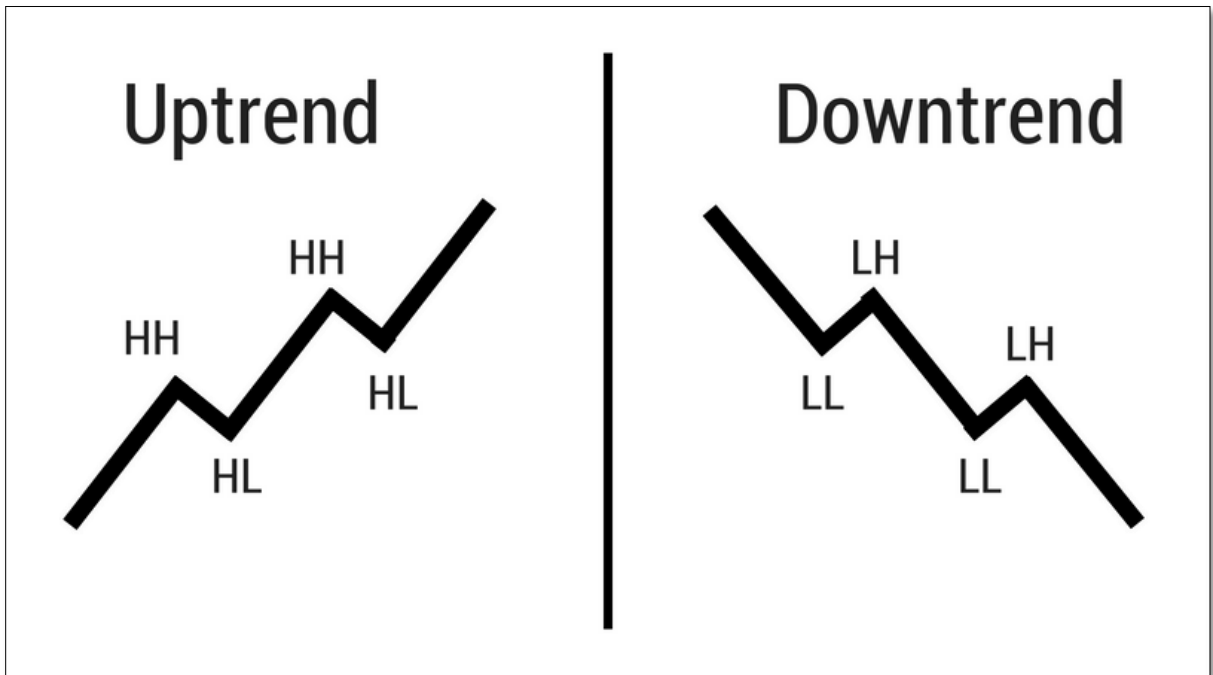
How to identify trends? You can see the difference right away but for those na may need ng specific description ganito. Ang uptrend is tumataas ang price or pataas ang price. It's not going to be a straight line but you will see tumataas ang price. This week one peso. Next week 1.2 pesos. A week after that 1.15 pesos. A week after that 1.28 pesos. A week after that 1.35 pesos. If uptrend ang stock it will and should form higher highs and higher lows. Naalala ninyo pa ang candle? May open, may close, may high at may low.





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Ang downtrend ay kabaliktaran naman ng uptrend. It forms lower highs and lower lows.





You will often hear traders say ride the trend until it bends. If gusto mo maging trend follower understanding and knowing trends is the first step.



MOVING AVERAGES

What is a moving average? Yung line na paiba-iba kulay sa chart. Ano ang best na MA? Simple MA ba o EMA o ALMA? Ano ba ang best na number of days? 9 ba o 20 o 50? How many MAs ba dapat e plot sa chart? Isa lang o dalawa o tatlo? Let me take you to a much simpler path on understanding and effectively using Moving Averages. EMA, ALMA, SMA. Etc are all moving averages. Minodify lang yung iba. So right now dun tayo sa ugat. SMA which is Simple Moving Average.



Example si stock A.

Lunes 1 peso sya. Tuesday 2 pesos. Wednesday 3 pesos. (Don't mind lang na 50% increase per day example lang to para clear) So Wednesday ngayon. If MA 3 (meaning Moving averages for three days) gamit niyo, that would mean $1+2+3=6$. Now, $6/3$ (3 dahil 3 days) = 2. So 2 yung average price ni stock A sa tatlong trading days. Dumating yung Thursday naging 4 pesos si stock A. If MA 3 pa din gamit mo, magsisimula ka na sa Tuesday which is 2, plus Wednesday na 3, plus Thursday na 4 = 9. $9/3=3$. So 3 average price ni stock A sa Thursday. Dumating Friday at nagclose si stock A sa 5. If MA 3 pa

din gamit mo sisimula ka sa Wed to Fri which is 3+4+5=12. 12/3=4 so 4 average price ni stock A sa three days on Friday.

$$SMA = \frac{A_1 + A_2 + ... + A_n}{n}$$

Where: A=average in period

n=number of time periods

If e plot natin mula Wednesday to Friday is 2 to 3 to 4. So paakyat diba? Yan ang moving average. As long as tumataas ang price aakyat siya pag pabagsak naman price baliktarin niyo lang yung pagsolve. Most of you namulat na automatic na may line na sa chart pag ni click ang Moving Averages sa indicators but not all of you understands what it is.

Let me explain further. So lets say for few days ang price e nasa 3 lang at yung MA3 eh nasa 3.5 meaning it acts as a resistance. One day biglang naging 4 then next day 5. The price increase will make the candle break the MA kasi naghover lang sya sa 3 ilang araw na at 3.5 yung MA then biglang naging 4 at 5 syempre break nya MA. We now have a breakout from MA resistance. Sa trading yan ang hinahanap natin. Yung stock na may pagbreak ng resistance. Yung stock na tumaas kesa sa moving average nya.

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Let's say naman 3 ang price ni stock for past few days at nasa 2.5 ang MA. Next day biglang nag 2.4 at next nun naging 2 pesos na lang. So yung MA nabasag pababa. Yung MA na nag a-act support eh nabasag meaning breakdown. So sa trading yan naman iniawasan natin. Yung bumaba ang price kesa sa kanyang MA.



For now, na establish na natin ang dapat hanapin at iwasan. MA 3 lang ang example ko para ma gets niyo. If you want MA 9 o MA 20 ganun lang din, add niyo 9 o 20 days na closing price ni stock A at divide sa either 9 o 20 days.

MOVING AVERAGES CROSSOVER

Let's move on sa tinatawag nila na crossover o yung pagcocross ng MA. Ano ba yun? Bakit binabantayan nila yun? Example, MA 50 ay 3 pesos meaning mula day 1 to day 50 na closing price ni stock A divided by 50 ay equal to 3 pesos. Yung MA 20 naman is 3.5 meaning 20 days ago until today ang closing price ni stock A divided by 30 ay equal to 3.5 pesos.

$$\text{MA50} = 3, \text{MA20} = 3.5$$

Mataas si MA 20 kaysa sa MA 50 meaning nito is tumataas yung daily closing price 20 days ago until now compared sa 50 days ago until now. Kung titingnan natin ito sa chart ay e-cocross ni MA20 pataas si MA50.

Yan ang hinahanap natin. Mga stock na tumataas. Or to be exact mga stock na mas mataas ang lower MAs kesa sa higher MA resulting sa crossover ng line with lower MA going up or above the higher MA. **Bullish crossover** ang tawag.



Kapag naman kunyare 3 si MA 50 at 2.5 si MA 20 yan naman dapat iwasan kasi meaning nyan pababa ang price this past 20 days compared sa past 50 days. **Bearish Crossover** naman ang tawag.



Okay na ang crossover. Ke dalawa o tatlo o lima na MAs gamit niyo, ganun pa rin idea behind niyan. Now sa pagpili naman ng MA, ano ba dapat number of days na gagagamitin? Well, ganito yan. Gaano ba katagal na data ang gusto mo? MA 100 meaning 100 days na closing prices yan divided by 100. So 100 days ago na price until today ang kinoconsider mo. Bakit? Eh kunyare may ni launch ang stock mo na project 100 days ago at ngayon pa lang halos nagbubunga or nag aadd sa income. Halimbawa lang yan, kase ako di ako nagcoconsider sa mga projects or news, mostly technicals lang ako. If MA 9 naman. Mula 9 days ago until now na closing price lang inaaverage mo. Meron din isang buwan which is MA20 o MA 25 depende ilang number of trading days meron sa buwan na yun. So yan mga basehan sa pagpili ng number. So that's it. Kapag nakuha ninyo na ang idea behind Moving Average, alam niyo na ano ang hahanapin sa stock at ano yung mga dapat iwasan.

The Relative Strength Index (RSI)

RSI is one of the most popular technical indicators. RSI is classified as a momentum oscillator. I think ito yung unang natututunan ng isang trader na indicator. This was developed by J. Welles Wilder and published in a 1978 book, *New Concepts in Technical Trading Systems*. Take note of this fact kasi this will be significant sa point na tatalakayin natin.

Ito ang principle niya according ky Wilder. When price moves up rapidly, at some point it is considered overbought. Likewise, when price falls rapidly, at some point it is considered oversold. Ang formula ng RSI is $RSI = 100 - 100 / (1 + RS)$.

The level of the RSI is a measure of the stock's recent trading strength. The slope of the RSI is directly proportional to the velocity of a change in the trend. The distance traveled by the RSI is proportional to the magnitude of the move. Wilder believed that tops and bottoms are indicated when RSI goes above 70 or drops below 30. Traditionally, RSI readings greater than the 70 levels are considered to be in overbought territory, and RSI readings lower than the 30 levels are considered to be in oversold territory. In between the 30 and 70 levels is considered neutral, with the 50 level a sign of no trend (Wikipedia, 2020).

RSI oscillates between zero and 100. Traditionally the RSI is considered overbought when it is 70 and above at oversold when 30 and below.



Kapag marami bumibili ng isang stock umaakyat ang RSI. Kapag naman marami nagbebenta bumababa naman ito. Bakit? I would suggest you read up yung book ni Wilder but para iwas tayo sa "basta ganun yun" na sagot let me try to answer yung bakit na tanong and please try ninyo sabayan. Look at the picture.

date	close	change	gain	loss	ave gain	avg loss	rs	14-day rsi
october								
1	45.15							
2	46.26	1.1	1.1					
3	46.5	0.24	0.24					
4	46.23	-0.27		0.27				
5	46.08	-0.15	0.04	0.15				
6	46.03	-0.05	0.02	0.05				
7	46.83	0.8	0.8					
8	47.69	0.86	0.86					
9	47.547	-0.15	0.15					
10	49.25	1.71	1.71					
11	49.23	-0.02		0.02				
12	48.2	-1.03		1.03				
13	47.57	-0.63		0.63				
14	47.61	0.04	0.04					
15	48.08	0.47	0.47		0.37	0.16	2.27	69.46
16	47.21	-0.87		0.87	0.35	0.21	1.62	61.77
17	46.76	-0.45		0.45	0.32	0.23	1.39	58.18
18	46.68	-0.08		0.08	0.3	0.22	1.36	57.54
G	A	N	D	A	K	O	H	

Ang price today e-minus mo sa kahapon na price. Yan ang basic niyan. Kung positive nasa gain, if negative nasa loss. Since walang negative na figures we convert yung negative na loss into positive numbers.

Daily closing price yan kunyare ni stock A. RSI 14 ang hahanapin natin. Ang formula ni RSI is $RSI = 100 - 100 / (1 + RS)$. The first RSI graph point is calculated by summing the up periods and dividing the result by the n periods setting in the RSI indicator. That number is then divided by the average of the down periods over the last n periods.

FIRST RSI graph point:

$$RS = \frac{\text{Average of up periods in } n \text{ periods}}{\text{Average of down periods in } n \text{ periods}}$$

Mula day 2 hanggang day 15 is 14 days. Yung "n" is number ng days. Lahat ng araw na gain sya (up days) e add mo then divide sa 14. So it will be $1.11+0.24+0.80+0.86+1.71+0.04+0.47=5.23$

5.23 divided by 14 days = 0.37 if rounded off. We'll do the same sa loss nya (down days) $0.27+0.15+0.05+0.15+0.02+1.03+0.63=2.3$ if rounded off

2.3 divided by 14 days = 0.16. So ave gain is 0.37 at ave loss is 0.16. Divide mo ang 0.37 sa 0.16 so $0.37/0.16= 2.27$. Ang RS nya is 2.27. Convert na natin sa RSI using the formula.

$$RSI=100-100/(1+RS)$$

$$100/(1+2.27)=30.581 \text{ if rounded off}$$

$100-30.581= 69.4$ kasi rounded off. So RSI niya is 69.4 . Sa excel 69.46 kasi di ko yata ni round off but lets settle sa 69.4. Yan yung first RSI graph point. Mga susunod na values iba pag calculate.

Subsequent RSI graph point:

$$RS = \frac{((\text{Previous up avg} \times (n-1)) + \text{current up avg.})/n}{((\text{Previos down avg.} \times (n-1)) + \text{current down avg.})/n}$$

E shortcut ko na lang at derecho sa point. Yan reason bakit tumataas o bumababa ang RSI, depende sa closing price niya. 0-100 ang scale ng RSI. 70 up considered overbought while 30 down naman is oversold. If newbie ka you would think na you buy sa oversold levels at you sell sa overbought levels. That is wrong. I will show you why.



The RSI indicator does not do well in trending markets. An overbought or oversold signal does not guarantee that the market will reverse.



Sa downtrend, RSI can stay oversold for a long period of time. Sa uptrend naman same din. RSI can stay overbought for a long period of time. So e-remove ninyo na sa mind ninyo na kapag oversold ay buy na kasi kaya pa niyan bumagsak ng bumagsak. E-remove din sa mind na kapag overbought benta na, kasi kaya pa din niyan umakyat ng umakyat.



RSI is not a strategy but an indicator. It indicates overbought and oversold condition ng isang stock.

The 50 level crossover Traders use the 50 level on the RSI as a confirmation of a trend.



The RSI is above 50, many traders would consider the market bullish. Below 50 would indicate bearish price momentum. Kapag galing si RSI sa baba at nabreak niya ang 50 some traders use this as a sign to enter. Kapag galing naman sa taas si RSI at nabutas si 50 that's their exit. Some traders naman consider RSI 50 as an area kung saan kapag

galing sa taas si RSI at bumagsak pero di nabutas si RSI 50 ay magbobounce or babalik akyat ang price.

The main issue I have with this is that even in a strong uptrend, the price will still retrace enough to push below 50. To add to that problem, in a bull market, pullbacks in price can often be seen finding support at an RSI reading of 35-40. In a downtrend, RSI can hit 60-65, find resistance, and not violate the determination of a downtrend.



Sobrang prone ng RSI 50 na to sa whipsaw.

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RSI as SUPPORT and RESISTANCE



Minsan kapag ang candles hindi nagpapakita ng support levels or resistance levels na maayos pwede ka maghanap sa RSI ng support/resistance levels at mag abang sa breaks.



Kapag may breakout sa resistance ni RSI yung price kadalasan umaangat ganun din kapag breakdown ng support kadalasan bumabagsak ang price.

Okay, now dumating na tayo sa point where I will blow your mind. I told you sa taas na take note ang 1978 na date. Date yun ng pag publish ng book. During those times maaasahan mo ang buy sa oversold at sell sa overbought kasi during sa panahon na yon ang market ay range-bound lang. Wala ako makunan ng chart to show you but here is a picture from warriortrading ng S&P 500 from October 1975 to January 1980.



From this perspective, the RSI looks like a powerful tool. The suggestion that buying an oversold RSI and selling an overbought RSI seems like a reliable and profitable strategy. But a lot has changed since 1978.

This is what's wrong with a lot of ideas na nagfo-float around especially sa indicators at technical analysis. These ideas were developed in a different market from different timelines. One idea was the Darvas box at ang timing ng bull market na natrade niya. I will have a topic about Darvas box soon. Merong mga traders na ang understanding sa Darvas box ay purely support at resistance lang kasi hindi nila siguro nabasa ang book na Darvas Box theory.

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RSI overbought at oversold levels were effective noon dahil sa condition ng market nung nadevelop ang indicator na yun. Now it's not. Well, hindi naman na hindi siya effective. Mali lang siguro ng konti. If you're trading in this new era, this is what Constance Brown had to say:

"Do not lose sight of the fact that the original works provided us with the foundation on which our industry is growing today. The important distinction is that early books on technical analysis will eventually be viewed as classics, but traders who fail to evolve beyond these original concepts face a far less pleasant fate: extinction"

- **Bull Markets:** In a bull market, the RSI ranges between an overbought zone of 80 to 90 and an oversold zone/support of 40 to 50.
- **Bear Markets:** In a bear market, the RSI ranges between an oversold zone of 20 to 30 and an overbought zone/resistance of 55 to 65.

DIVERGENCE

Divergence is when the price of an asset is moving in the opposite direction of a technical indicator, such as an oscillator, or is moving contrary to other data. Divergence warns that the current price trend may be weakening, and in some cases may lead to the price changing direction (Investopedia, 2020) .

Ibig sabihin nito ay kapag ang price or candles at ang indicator ay magkaiba ng direction, sooner or later susundin ng price ang indicator.

Ito ang normal. Kung ano direction ng price ganun din dapat direction ng indicator. Sanayin ko mata ninyo sa pag chart. Game.









Basic rule. Kung saan ka nagplot ng line sa candle doon ka rin magplot sa indicator or oscillator. If resistance, two or more na highest candle e connect mo. Higher highs. Pwede ka sa wick magplot pwede rin sa body ng candle. If sa wick then sa wick ka din sa next candle, if sa body then sa body ka din next candle.

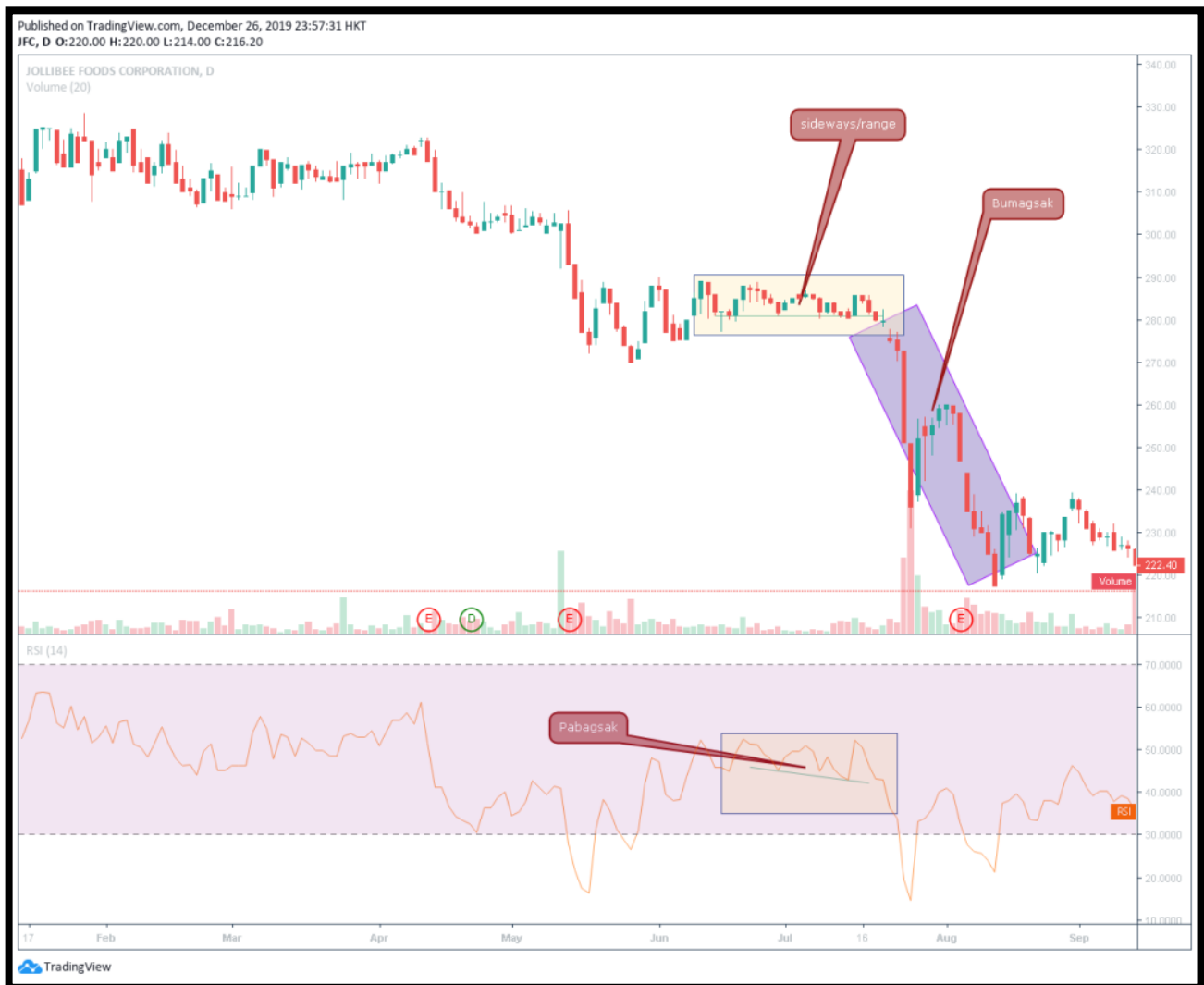


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Ang pagplot ng support at resistance sa trendline or sa kung ano pa man either fibo man or basic support/resistance is subjective. Tandaan ninyo yan ng maigi. Ke wick gamit mo or body nasa iyo yan. yung support na naplot mo is nasa 1.2 pesos for example at yung sa guru mo ay nasa 1.23 pesos for example pareho kayong tama. The idea of support line is this. It's the price level kung saan everytime umaabot doon ang price ay hindi na siya bumababa.



Sa support e-connect mo lang ang dalawa or more lowest candle na magkasunod (minimum dalawa) that is already a support line. Same goes sa resistance. May tinatawag na major support at minor support. I will have a different blog about all kinds of support soon. As long as you abide sa general idea ng support and resistance in the stock market technical analysis-**support and resistance are certain predetermined levels of the price of a security at which it is thought that the price will tend to stop and reverse.** These levels are denoted by multiple touches of price without a breakthrough of the level ay good ka na. May primary, may secondary. May major, may minor. Marami pa actually na uri. I find it funny yung nagsasabi na mali ang pagplot ng ibang traders ng support at resistance or fibo dahil hindi kapareho sa kanya. SUBJECTIVE po yan.



Ngayon alam nyo na ang normal na relationship between the price and the indicator. If paakyat ang candle dapat paakyat din ang indicator. If pababa ang candle dapat pababa din ang indicator. If sideways, dapat sideways din ang indicator. Now, anything na iba sa tatlo na yan is called **Divergence**. Higher highs ang candles while lower highs ang indicator. Lower lows ang candles while higher lows ang indicator.

Susunod kadalasan (pero di lagi) ang price kung saang direction pumupunta ang indicator or oscillator. (madalas pero di lagi is so wrong in so many levels but hayaan nyo na at mahirap e simplify)



Generally may tatlong Divergence. **Bullish divergence, bearish divergence at hidden divergence.** A bullish divergence is a pattern that occurs when the price falls to lower lows, while the technical indicator reaches higher lows (Cattlin, 2020). This could be seen as a sign that the market momentum is strengthening, and that the price could soon start to move upward to catch up with the indicator. After a bullish divergence pattern, it is common to see a rapid price increase (Cattlin, 2020).



A **bearish divergence** is a pattern that occurs when the price reaches higher highs, while the technical indicator makes lower highs (Cattlin, 2020).



Although there is a bullish attitude on the market, **the discrepancy means that the momentum is slowing**. Therefore it is likely that there will be a rapid price decline (Cattlin, 2020).

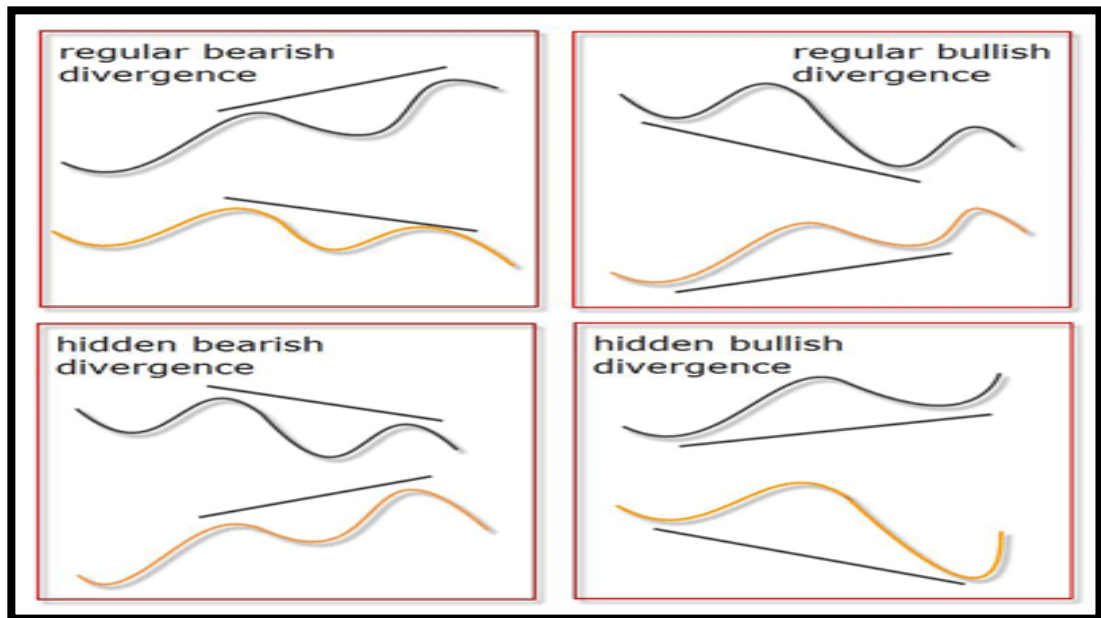
Bullish divergence kapag ang price ay pabagsak at ang indicator ay pataas. Resulta neto ay aakyat ang price. **Bearish divergence kapag ang price ay pataas pero ang indicator ay pabagsak.** Ang resulta neto ay babagsak ang price.

Ngayon, kapag naman sobrang lakas ng trend. Pabagsak ang price at ang indicator ay paakyat pero ang resulta ay bumagsak pa rin ang price dahil sa sobrang lakas ng sell off o sobrang lakas ng downtrend ang tawag dito ay Hidden bearish divergence. Kapag naman paakyat ang price at ang indicator ay pabagsak pero sobrang lakas ng trend or grabe ang buying ng traders ang tawag neto ay Hidden bullish divergence. Ang resulting direction ng price ang magsasabi if regular divergence ba or hidden divergence ang divergence.

According to ig.com, a **hidden divergence** occur when an indicator makes a higher high or a lower low while the price action does not. This often indicates that there is still strength in the prevailing trend, and that the trend will continue. A hidden divergence is used in a similar way to a confirmation pattern.







THE MOST IMPORTANT PART. How do you use this? Paano mo e-apply? I will tell you how.

Use divergences as an addition sa conviction mo. Never trade using a divergence alone. Disaster ang kalalabasan ng trade mo if you will base your trades sa divergence. If may nakita ka na pababa na price at ang indicator, let us say RSI ay paakyat, at bibili ka na agad kasi bullish divergence. You think aangat na next ang price kasi sasabay ito sa direction ng indicator. That is so wrong. Kaya nga naimbento ang hidden divergence kasi ang bullish divergence kapag hindi nagmaterialize tawag dun hidden bearish divergence. Ngayon kapag naman nakita mo ang price na paakyat pero ang indicator eh pababa bebenta ka na agad kasi bearish divergence. No. Kapag hindi nagmaterialize ang bearish divergence tawag dun ay hidden bullish divergence. Maraming guru ang hindi alam ito. Ang gamit ng divergence is pang dagdag ng conviction. Sa amin sa Traders Den PH, for example mama siya at pacross ang MACD or nagcross na then nabreak na ang ALMA. If you see na nagform bullish divergence so dagdag conviction yun sa decision mo na bumili. Ang divergence, hindi po yan strategy. Ang strategy ay may entry at exit. Ang divergence nagsasabi lang kung ano ang pwedeng mangyare.

SUPPORT AND RESISTANCE

Support is the price level at which demand is thought to be strong enough to prevent the price from declining further (StockCharts, 2020). Resistance is the price level at which selling is thought to be strong enough to prevent the price from rising further (StockCharts, 2020). **Support and resistance are subjective.**

There are many types of Support and Resistance. I will go through some of them.

1) Horizontal support and resistance levels.

Kung gusto ninyo naman na kayo mismo magplot ng support at resistance level madali lang din. Tandaan lang ninyo na ang support is the level kung saan hindi na bumababa halos ang price at resistance ay ang level naman na hindi na tumataas ang price. Subjective ang pag draw nito meaning walang tama or mali as long as hindi ka lumalabag sa concept/principle/idea.





Pwede ka magplot using body ng candle. Pwede ka magplot using wick.



2) BID and ASK SUPPORT and RESISTANCE ORDERS.

Meron ding support and resistance sa bid and ask orders. Ito yung mga levels kung saan marami mga bids or ask orders.

Symbol/Code						
No.	#	B.Qty	Bid	Ask	A.Qty	#
1	3	197,000	1.1400	1.1600	506,000	2
2	10	405,000	1.1300	1.1700	101,000	5
3	7	963,000	1.1200	1.1800	302,000	9
4	9	101,000	1.1100	1.1900	1.15M	14
5	30	1.34M	1.1000	1.2000	4.00M	47

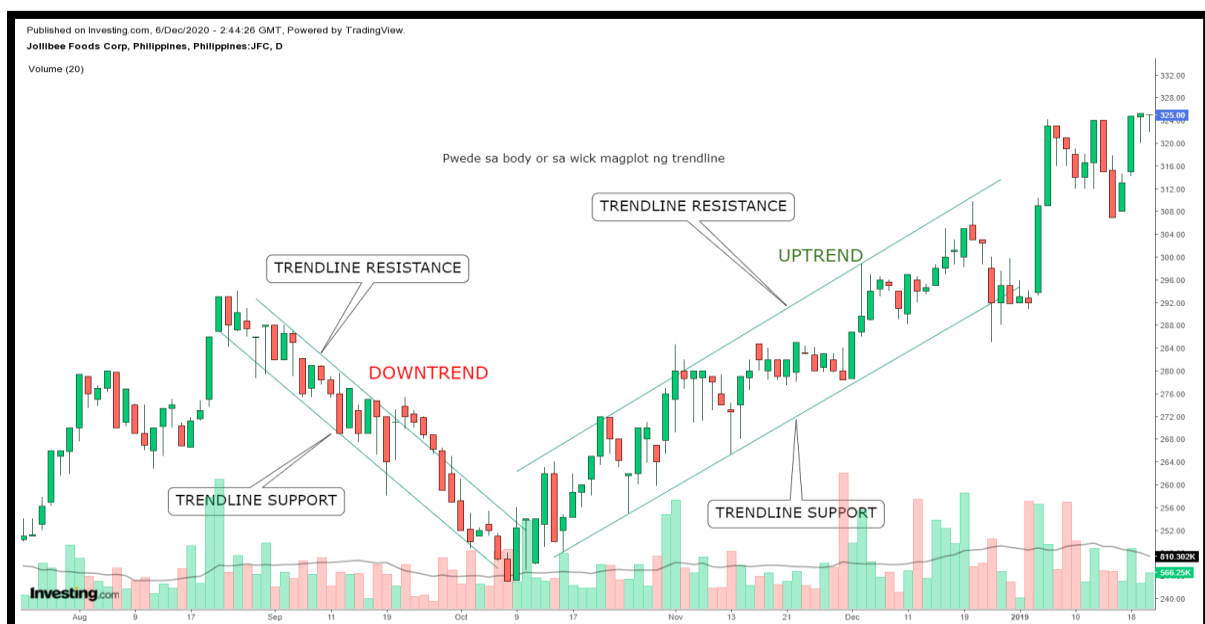
SUPPORT **RESISTANCE**

3) ROUND NUMBERS SUPPORT AND RESISTANCE LEVELS.

According to human psychology, round-number price-levels often act as support and resistance levels, as they can host a large number of pending buy and sell orders placed by market participants. Example nito are 1.0 peso level, 1.10 level, 1.20 level, etc.

4) TRENDLINE SUPPORT AND RESISTANCE.

May tatlong trend (uptrend, downtrend at sideways). Support and resistance levels can also form at trendlines and channels.



Sa trendline support at resistance, hanapin mo ang lowest points/candle ng trend and connect them with a line to form support. Pwede sa wick pwede sa body. Hanapin mo naman ang highest points at e connect mo with a line to form resistance. That's the idea behind trendline support and resistance.

5) DYNAMIC SUPPORT AND RESISTANCE

Moving averages act as support and resistance. Dynamic kasi the line moves as the price move. Kapag nasa taas ng candle ang moving average na line resistance tawag sa kanya at kapag naman nasa baba ng candle ang moving average na line support ang tawag sa kanya.



Some common strategies with regards sa support and resistance are the following:

You buy at or near support and sell at or near resistance. When the price touches support levels but does not break it, the price tends to bounce back up. The opposite is true with resistance. When support is broken it becomes the new resistance. When resistance is broken it becomes the new support. You buy and sell on breaks. You buy when the price breaks resistance. You sell when the price breaks support.

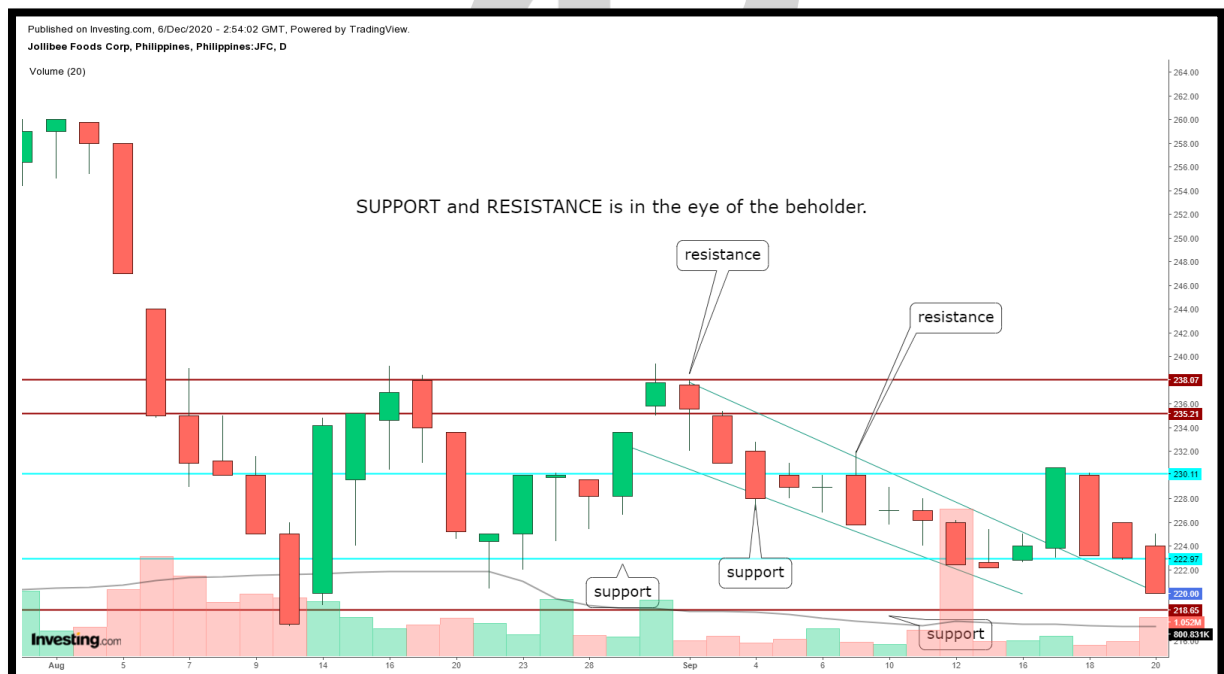
There are many examples available sa internet about these strategies so hindi ko na eh elaborate. You can just type it sa google and maraming result ang lalabas. Support and resistance yata ang pinakaclassic na idea sa technical analysis. Support and resistance

can be a level or a zone. Example nito is pwede mo gawing support ang price na 50 pesos if doon nagfall ang support. Pwede rin naman na kahit 50 pesos ang support mo ay e consider mo pa rin ang 49.7 pesos as support dahil napapaloob pa rin ito sa zone or area ng support. Same goes sa resistance.

Now that I have defined/explained Support and Resistance, let me give you my opinion about it. I only use dynamic support and resistance. I use ALMA as my moving average. I don't believe in other forms of support and resistance. Many traders do but I don't. Aside kasi sa moving average which is called dynamic support and resistance, sobrang random na ng iba. Sobrang subjective pa. The problem is that everyone has his way of drawing them, that's why I think they are random. Where I might see a support, someone else might not be seeing anything there.

Remember that the market is the crowd and the crowd is often irrational. You can stand there rationally saying this level is important but the crazy people driving the market aren't so rational and they don't care. You must care about what they care about, not the other way around. Alternatively, you could be looking at the wrong time frame at the important level and maybe there's a more important one further down the line that the market is running towards.

Unfortunately, you will find that support/resistance is in the eye of the beholder.



FIBONACCI

0 1 1 2 3 5 8
↑ ↑

term1

term2

The Fibonacci sequence was invented by the Italian Leonardo Pisano Bigollo (1180-1250), who is known in mathematical history by several names: Leonardo of Pisa (Pisano means "from Pisa") and Fibonacci (which means "son of Bonacci"). Fibonacci, the son of an Italian businessman from the city of Pisa, grew up in a trading colony in North Africa during the Middle Ages. Italians were some of the western world's most proficient traders and merchants during the Middle Ages, and they needed arithmetic to keep track of their commercial transactions. Mathematical calculations were made using the Roman numeral system (I, II, III, IV, V, VI, etc.), but that system made it hard to do the addition, subtraction, multiplication, and division that merchants needed to keep track of their transactions (Wikipedia, 2020).

If pupunta kayo ng Italy pwede ninyong isama sa tour ang statue ni Fibonacci. If you visit Piazza dei Miracoli in Pisa, you may enter the Camposanto Monumentale. Nasa corner at one end ng long cloister yung marble statue ni Leonardo Pisano. If familiar kayo sa leaning tower of Pisa nasa area din na yun halos.

He was the son of Guilielmo and a member of the Bonacci family. Fibonacci himself sometimes used the name Bigollo, which may mean good-for-nothing or a traveler. Fibonacci was born in Italy but was educated in North Africa where his father, Guilielmo, held a diplomatic post. His father's job was to represent the merchants of the Republic of Pisa who was trading in Bugia, later called Bougie and now called Bejaia. Fibonacci was taught mathematics in Bugia and traveled widely with his father and recognized the enormous advantages of the mathematical systems used in the countries they visited (Ghose, 2018).

Fibonacci Sequence

(R. Knott and the Plus team, 2013)

Each number in the sequence is the sum of the two numbers that precede it. So, the sequence goes: 0, 1, 1, 2, 3, 5, 8, 13, 21, 34, and so on.
The Fibonacci sequence is the series of numbers: 0, 1, 1, 2, 3, 5, 8, 13, 21, 34,

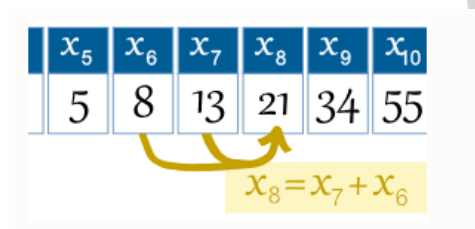
The next number is found by adding up the two numbers before it. The 2 is found by adding the two numbers before it (1+1). The 3 is found by adding the two numbers before it (1+2). And the 5 is (2+3) and so on! The Fibonacci Sequence can be written as a "Rule"

First, the terms are numbered from 0 onwards like this:

$n =$	0	1	2	3	4	5	6	7	8	9	10	11	12	13	14	...
$x_n =$	0	1	1	2	3	5	8	13	21	34	55	89	144	233	377	...

So term number 6 is called x_6 (which equals 8). Example: the **8th** term is the **7th** term plus the **6th** term:

$$x_8 = x_7 + x_6$$



So we can write the rule:

The Rule is $x_n = x_{n-1} + x_{n-2}$

where:

- x_n is term number " n "
- x_{n-1} is the previous term ($n-1$)
- x_{n-2} is the term before that ($n-2$)

Example: term 9 is calculated like this:

$$x_9 = x_{9-1} + x_{9-2} = x_8 + x_7 = 21 + 13 = 34$$

THE PROBLEM with RABBITS

One of the mathematical problems Fibonacci investigated in Liber Abaci was about how fast rabbits could breed in ideal circumstances. Suppose a newly-born pair of rabbits, one male, one female, are put in a field. Rabbits can mate at the age of one month so that at the end of its second month a female can produce another pair of rabbits.

Suppose that our rabbits never die and that the female always produces one new pair (one male, one female) every month from the second month on. The puzzle that Fibonacci posed was... How many pairs will there be in one year?

- At the end of the first month, they mate, but there is still only 1 pair.^{[P]_{SEP}}
- At the end of the second month, the female produces a new pair, so now there are 2 pairs of rabbits.^{[P]_{SEP}}
- At the end of the third month, the original female produces a second pair, making 3 pairs in all.^{[P]_{SEP}}
- At the end of the fourth month, the original female has produced yet another new pair, the female born two months ago produced her first pair also, making 5 pairs.

Now imagine that there are X_n pairs of rabbits after n months. The number of pairs in month $n + 1$ will be x_n (in this problem, rabbits never die) plus the number of new pairs born. But new pairs are only born to pairs at least 1-month-old, so there will be X_{n-1} new pairs. So we have:

$$X_{n+1} = X_n + X_{n-1}$$

which is simply the rule for generating the Fibonacci numbers: add the last two to get the next. Following this through you'll find that after 12 months (or 1 year), there will be 233 pairs of rabbits.

BEES are BETTER

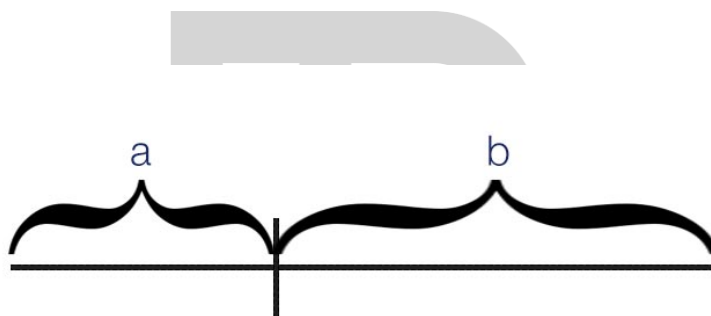
The rabbit problem is very contrived, but the Fibonacci sequence does occur in real populations. Honeybees provide an example. In a colony of honeybees, there is one special female called the queen. The other females are worker bees who, unlike the queen bee, produce no eggs. The male bees do no work and are called drone bees.

Males are produced by the queen's unfertilized eggs, so male bees only have a mother but no father. All the females are produced when the queen has mated with a male and so has two parents. Females usually end up as worker bees but some are fed with a special substance called royal jelly which makes them grow into queens ready to go off to start a new colony when the bees form a swarm and leave their home (a hive) in search of a place to build a new nest. So female bees have two parents, a male and a female whereas male bees have just one parent, a female.

Number of	parents	grandparents	great-grandparents	great-great-grandparents	great-great-great-grandparents
of a MALE bee	1	2	3	5	8
of a FEMALE bee	2	3	5	8	13

GOLDEN RATIO

One such place is particularly fascinating: the golden ratio. So, what is this golden ratio? Well, it's a number that's equal to approximately 1.618. This number is now often known as "phi" and is expressed in writing using the symbol for the letter phi from the Greek alphabet. Phi isn't equal to precisely 1.618 since, like its famous cousin pi, phi is an irrational number—which means that its decimal digits carry on forever without repeating a pattern.



TRADERSDEN

If the length of a+b divided by the length of a is equal to the length of a divided by b, then the two quantities are said to be in golden ratio.

$$(a + b)/a = a/b = 1.6180339887...$$

The golden ratio appears every day in our lives, every time, everywhere.

Fibonacci Retracement

The theory is that after a rate spike in either direction, the rate will often return or retrace partway back to the previous price level. Before resuming in the original direction, when the price of an asset pulls back, it typically has a mathematical relationship to the price wave that preceded it. If the price falls through one level it will likely proceed to the next level. Sometimes, a price may stall at one level, then proceed to the next, stall and proceed to the next, and so on.

If you are a Technical Analyst, Fibonacci is probably your good friend. Most traders use Fibonacci Retracements, Fibonacci Arcs, and Fibonacci Fans. In all 3 applications, the golden ratio is expressed in 3 percentages, 38.2%, 50%, and 61.8%. Fibonacci retracements are areas on a chart that indicate areas of support and resistance. For Fibonacci Retracement, they are horizontal lines, for Fibonacci Arcs, they are curved lines and for Fibonacci Fans, they are diagonal lines. It is clear that 23.6%, 38.2%, and 61.8% stem from ratios found within the Fibonacci sequence. The 50% retracement is not based on a Fibonacci number. Instead, this number stems from Dow Theory's assertion that the Averages often retrace half their prior move. Based on depth, we can consider a 23.6% retracement to be relatively shallow. Retracements in the 38.2%-50% range would be considered moderate. Even though deeper, the 61.8% retracement can be referred to as the golden retracement. It is, after all, based on the Golden Ratio.

HOW TO PLOT SA CHART?

Hanap tayo ng uptrend.





Hanapin ang fib ret sa tools.

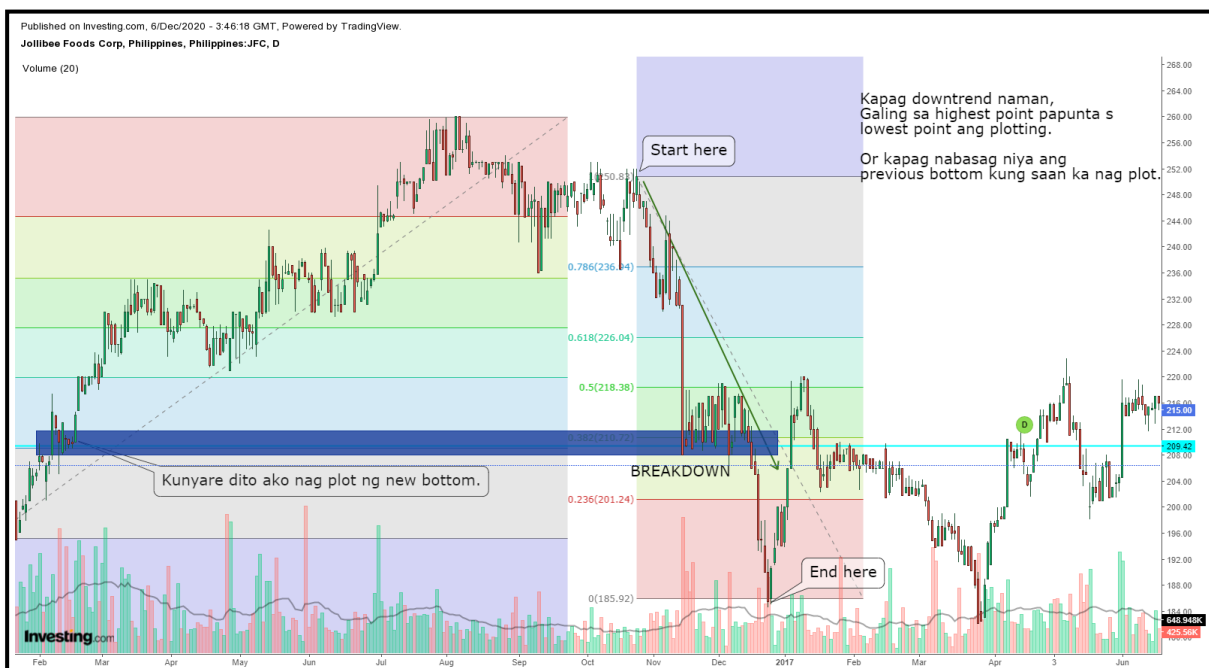
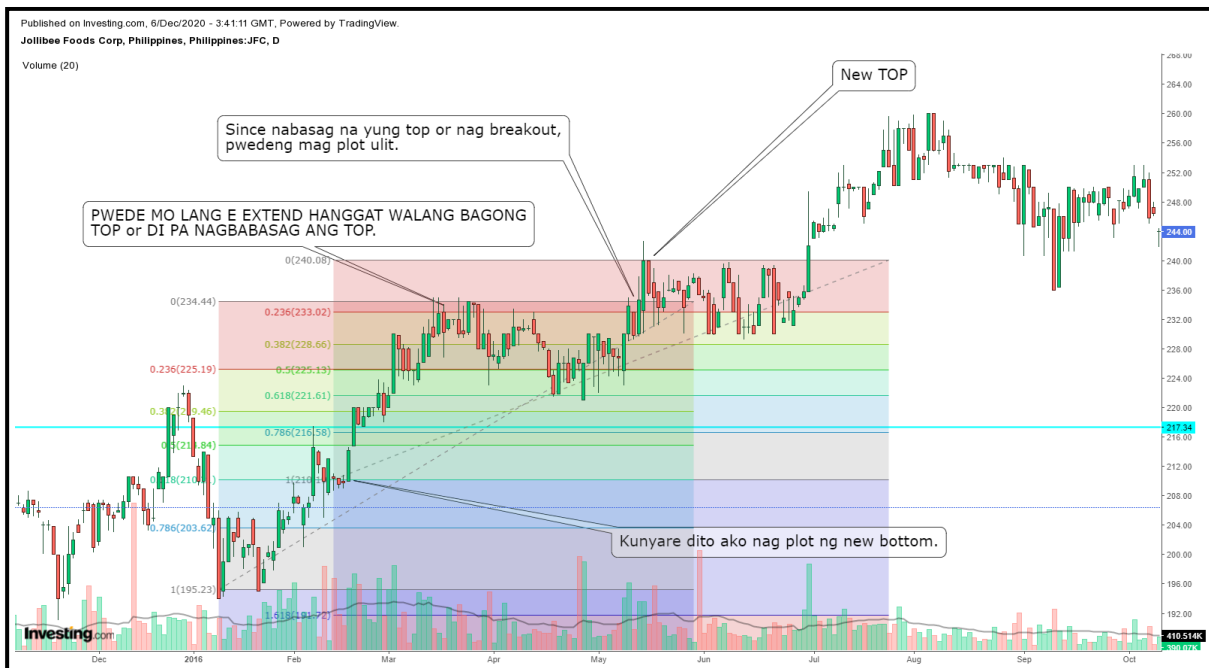




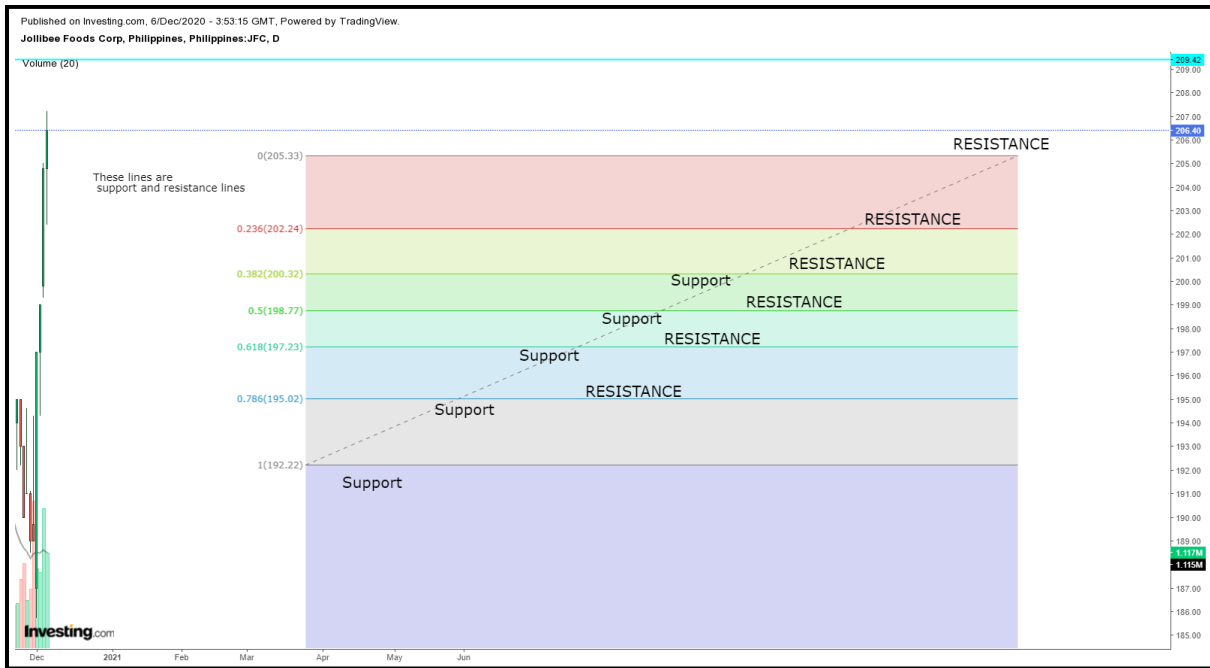
Pwede kang magsimula plot sa body or sa wick, basta tandaan na if body nag start end din sa body ng candle. BODY to BODY or WICK to WICK.







Ano ba talaga ang Fibonacci Retracement lines?



Static na lines yan ibig sabihin fixed or di nagbabago. Ang idea is that kapag uptrend ang isang stock ay di ito dederecho pataas but may mga areas kung saan nagpapahinga ito or nagreretrace bago magcontinue pataas. Dun sa areas na yun bumibili mga traders or they often refer to it as "the price respected this or that fib ret level." May kanya kanyang levels na binabantayan ang mga traders. Most popular is yung 61.8%. Once the 61.8% level has been broken, the trend may have reversed. This is when technicians will re-evaluate their trading strategy and plot a new set of Fibonacci lines.

I learned Fibonacci retracement not the same way most learn it. The person who taught me Fibo Ret made me do calculations at measure ang distance then plot the levels myself. Ngayon madali na lang kasi few clicks na lang ng button ok na but ang negative effect lang ng pagiging madali is wala mostly basic foundation kung saan galing ang levels at bakit may levels. Subjective ang pagplot ng fibo ret so nakadepende sa traders kung saan siya magsisimula. Basic principle lang is magsimula ka kung saan nagsimula ang trend. Kung saan man sa tingin mo yun eh di yun ang tama.

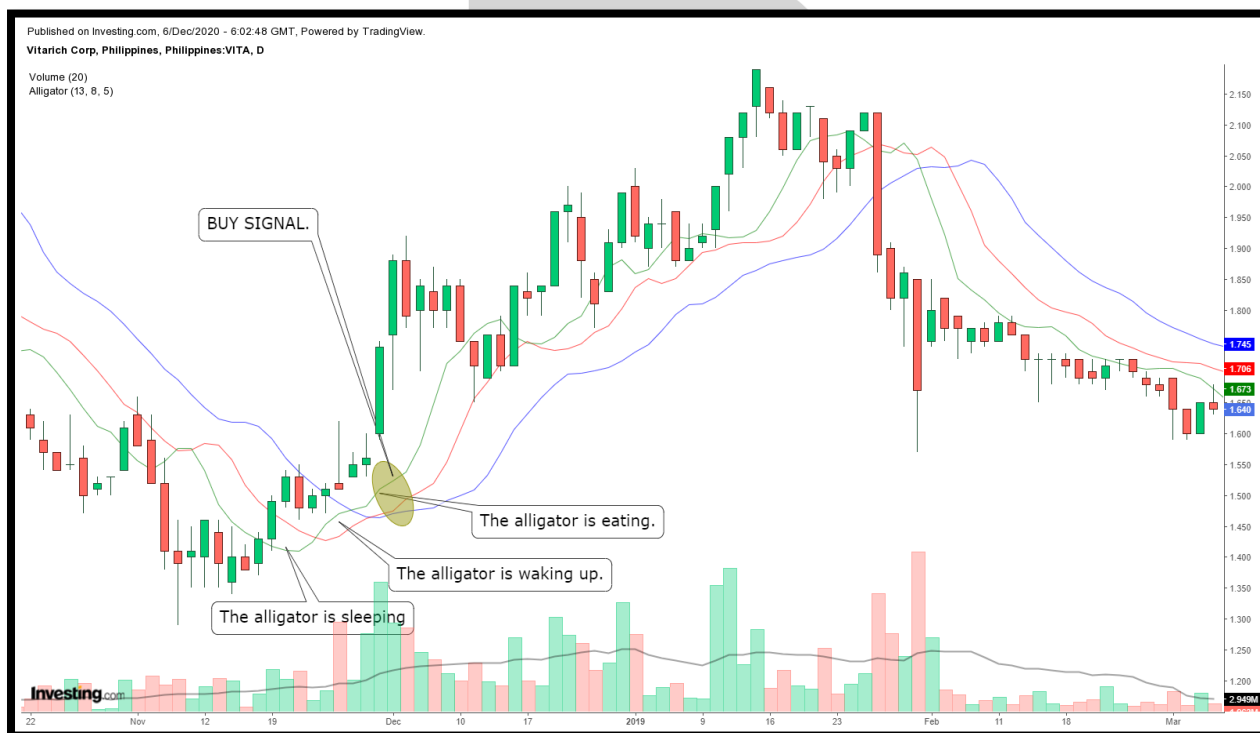
WILLIAMS ALLIGATOR

Tatlong lines. **Green**, **Red** at **Blue**.

- Green moving average = the lips of the Alligator and is set to 5 and displaced into the future by 3 periods (whatever your time frame is)
- Red moving average is the Alligator teeth and is set to 8 periods and is pushed 5 periods into the future
- Blue represents the jaws of the Alligator and is set to 13 periods and displaced 8 periods into the future.



Kapag ang green na line nasa baba tawag dun tulog/sleeping ang alligator. No buy signal. Kapag nagcross pataas si green over red tawag dun nagiging na si alligator/waking up. It means magprepare ka na rin. If nagcross si green kay red si red naman ay susunod sa galaw ni green yan. Kapag naman nagcross si green kay blue (cross din si red kay blue kasi sumusunod lang sya sa galaw ni green after sya e cross ni green) ang tawag dyan ay kakain/eating at yun na ang buy signal. Doon ka na bibili.



Sa pagbenta naman. Kapag nagcross si green pababa kay red meaning sell ka na kasi babalik na naman sa pagtulog si alligator.

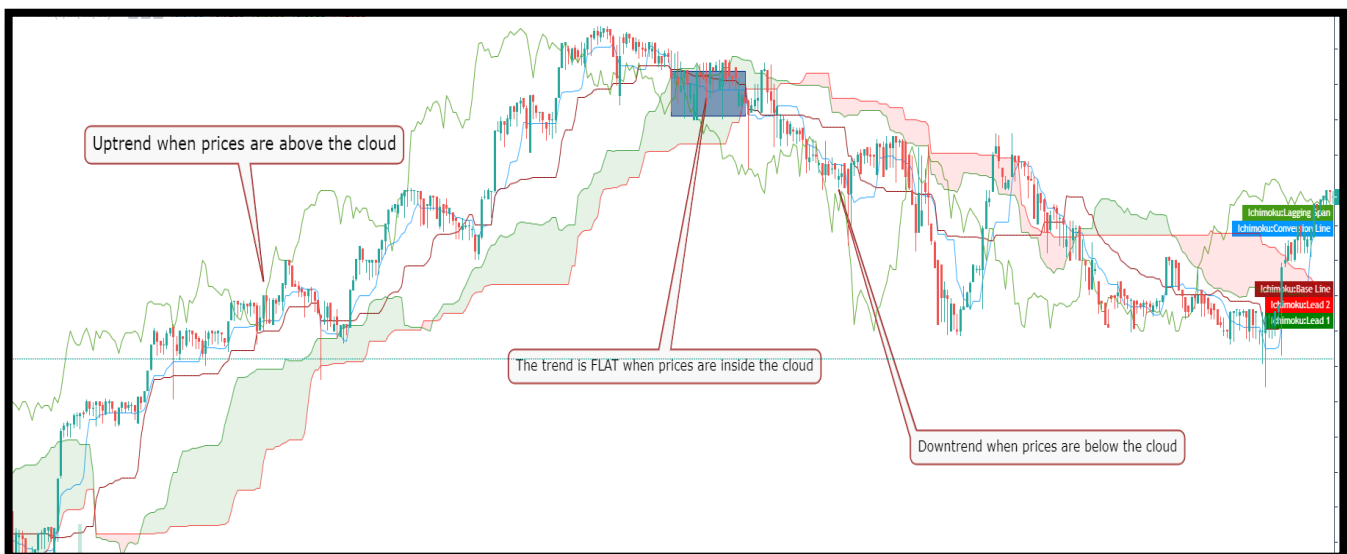
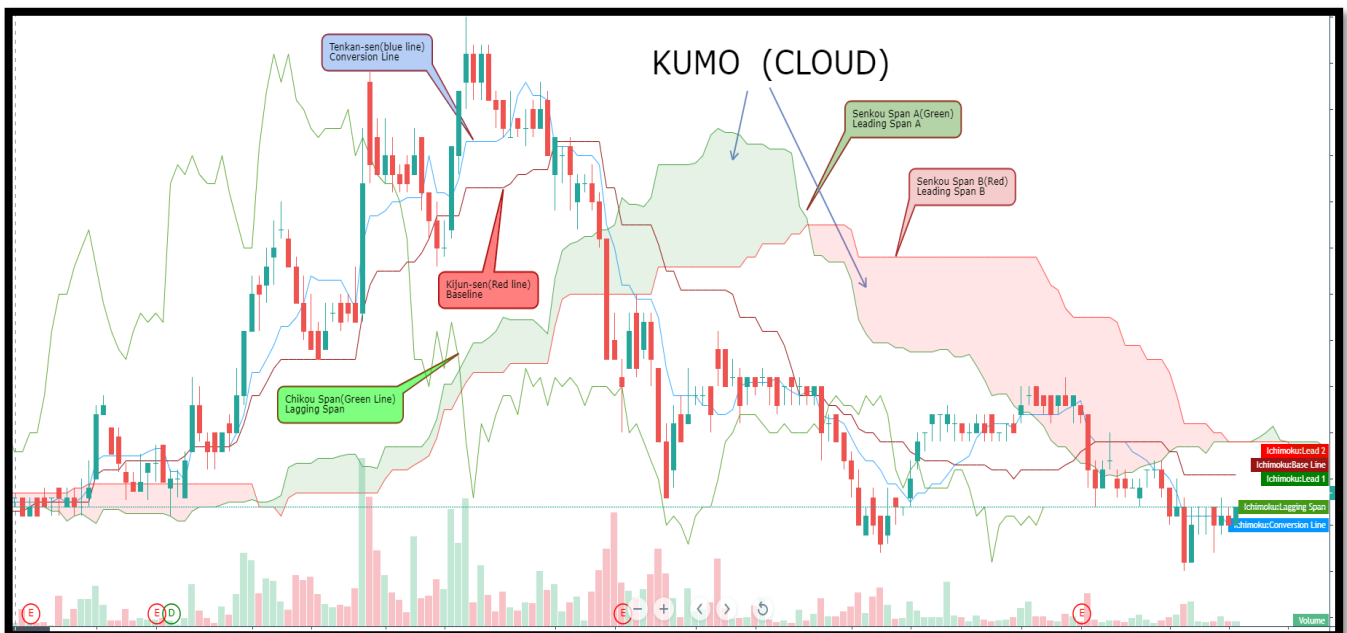


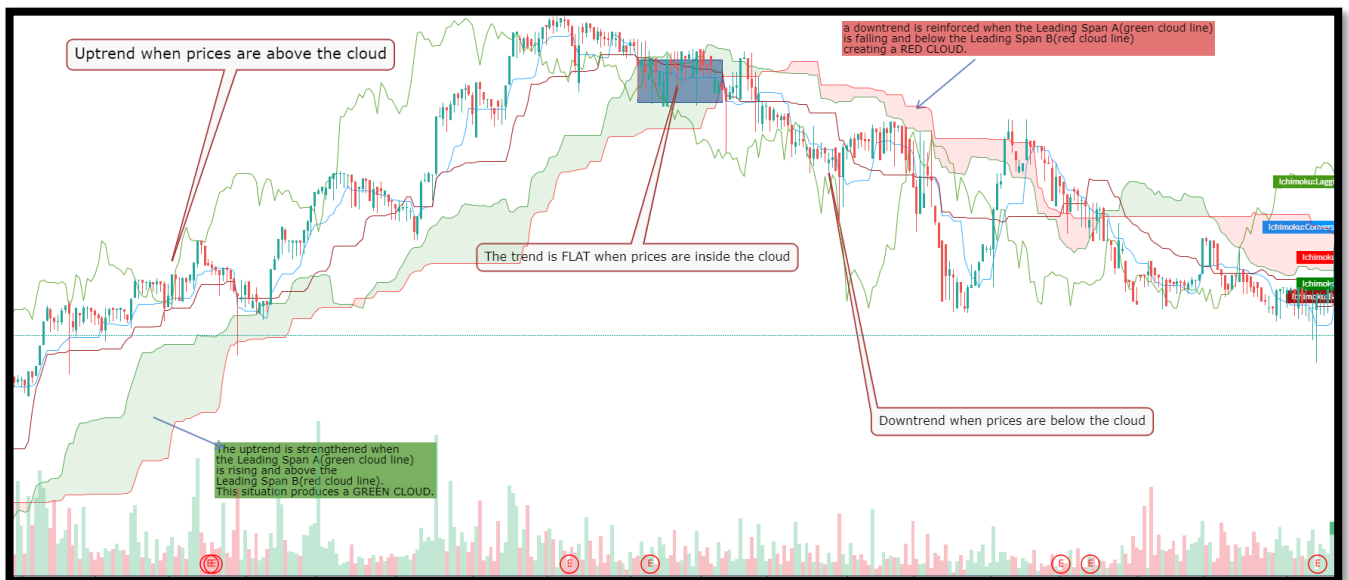
Ichimoku Simplified

The Ichimoku Cloud, also known as Ichimoku Kinko Hyo, is a versatile indicator that defines support and resistance, identifies trend direction, gauges momentum and provides trading signals (StockCharts, 2020).

- Yung trend ay UP kapag nasa taas ng cloud yung prices.
- Yung trend ay flat kapag nasa loob ng cloud.
- Downtrend naman kapag nasa ilalim ng cloud.

Ang cloud ay pwede maging support at pwede rin maging resistance. May mga crossovers din. Please refer sa pictures para mas maintindihan.





CLOUD AS SUPPORT AND RESISTANCE



BOLLINGER BANDS

(Bollinger, 2020)

Bollinger Bands, a chart indicator developed by John Bollinger, are used to measure a market's volatility (Bollinger, 2020).

Si John Bollinger ang nag develop nito. Let me put his picture below para makilala ninyo. Marami kasi mga trader na nilalagyan nila pangalan din nila ang mga indicators. Konting tweak here and there and lalagyan na nila pangalan nila ang indicator as if sila nag derive ng mathematical formula nito.



Ano ba ang bollinger band? Well, nag research si John about moving averages and he took the idea one step further by adding bands above and below the moving average line to define upper and lower rate boundaries. These boundaries are then used to measure volatility.

The Bollinger Band is composed of three calculations. The first or **middle Bollinger Band** is a moving average of the closing price. The second line is the **upper Bollinger Band**. To calculate the upper Bollinger Band you calculate the Moving Average of the Close and add Standard Deviations to it. The third line is the **lower Bollinger Band**. To calculate the lower Bollinger Band you calculate the Moving Average of the Close and subtract Standard Deviations from it.

Bollinger Bands Formulas

$$\sigma = \sqrt{\frac{\sum_{j=1}^N (X_j - \bar{X})^2}{N}}$$

$$\bar{X} = \frac{\sum_{j=1}^N X_j}{N}$$

Upper Band = $\bar{X} + 2\sigma$
Middle Band = $\bar{X}$
Lower Band = $\bar{X} - 2\sigma$

Based sa formula assume a 5 candle Bollinger band with 2 Deviations, and assume the last five closes were 25.5, 26.75, 27.0, 26.5, and 27.25.

1) Calculate the simple moving average:

$$25.5 + 26.75 + 27.0 + 26.5 + 27.25 = 133.0$$

$$133.0 / 5 = 26.6$$

2) Next, for each candle, subtract 26.6 from the close and square this value:

25.5 - 26.6 =	-1.1	squared =	1.21
26.75 - 26.6 =	0.15	squared =	0.023
27.0 - 26.6 =	0.4	squared =	0.16
26.5 - 26.6 =	0.1	squared =	0.01
27.25 - 26.6 =	0.65	squared =	0.423

3) Add the above calculated values, divide by 5, and then get the square root of this value to get the deviation value:

$$1.21 + 0.023 + 0.16 + 0.01 + 0.423 = 1.826$$

$$1.826 / 5 = 0.365$$

$$\text{Square root of } .365 = 0.604$$

$$\text{The upper Bollinger band would be } 26.6 + (2 * 0.604) = 27.808$$

$$\text{The middle Bollinger band would be } 26.6$$

$$\text{The lower Bollinger band would be } 26.6 - (2 * 0.604) = 25.392$$

Ngayon isang click na lang sa chart at ok na back in the day when I was being mentored by a great person, I did it manually.

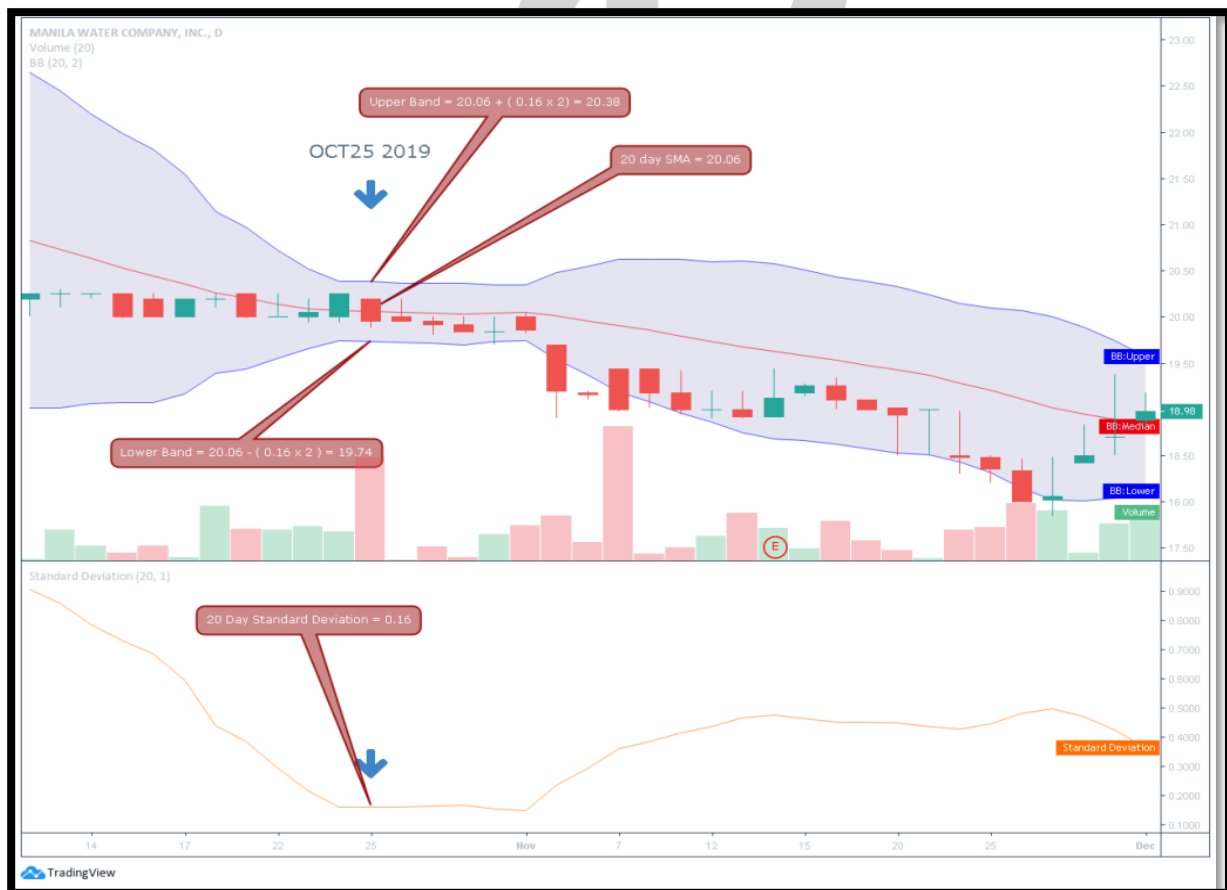
Para mas simplified and formula ganito. Let us do a stockcharts' approach.

- Middle Band = 20-day simple moving average (SMA)
- Upper Band = 20-day SMA + (20-day standard deviation of price x 2)
- Lower Band = 20-day SMA - (20-day standard deviation of price x 2)



So based sa formula galing stockcharts it should be calculated as follows:

- Middle Band = 20.06
- Upper Band = $20.06 + (0.16 \times 2) = 20.38$
- Lower Band = $20.06 - (0.16 \times 2) = 19.74$



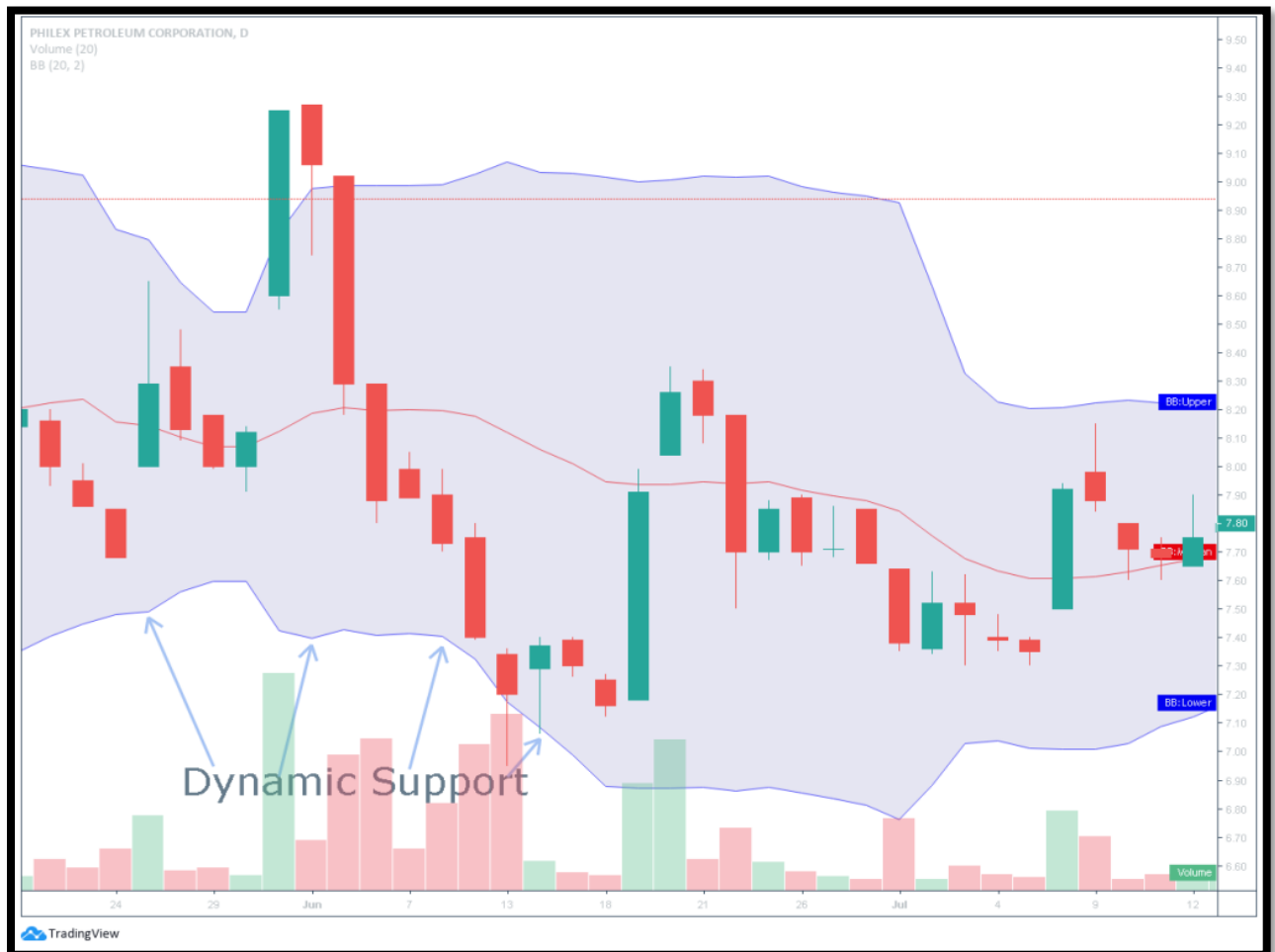
Simple diba? Now let us go sa gamit ng Bollinger Band. Let's call it BB in short.

Bollinger Bounce

Bollinger Bounce: Kapag bumagsak ang price at hindi nabutas ng candle ang lower band ay magbobounce ito pataas.

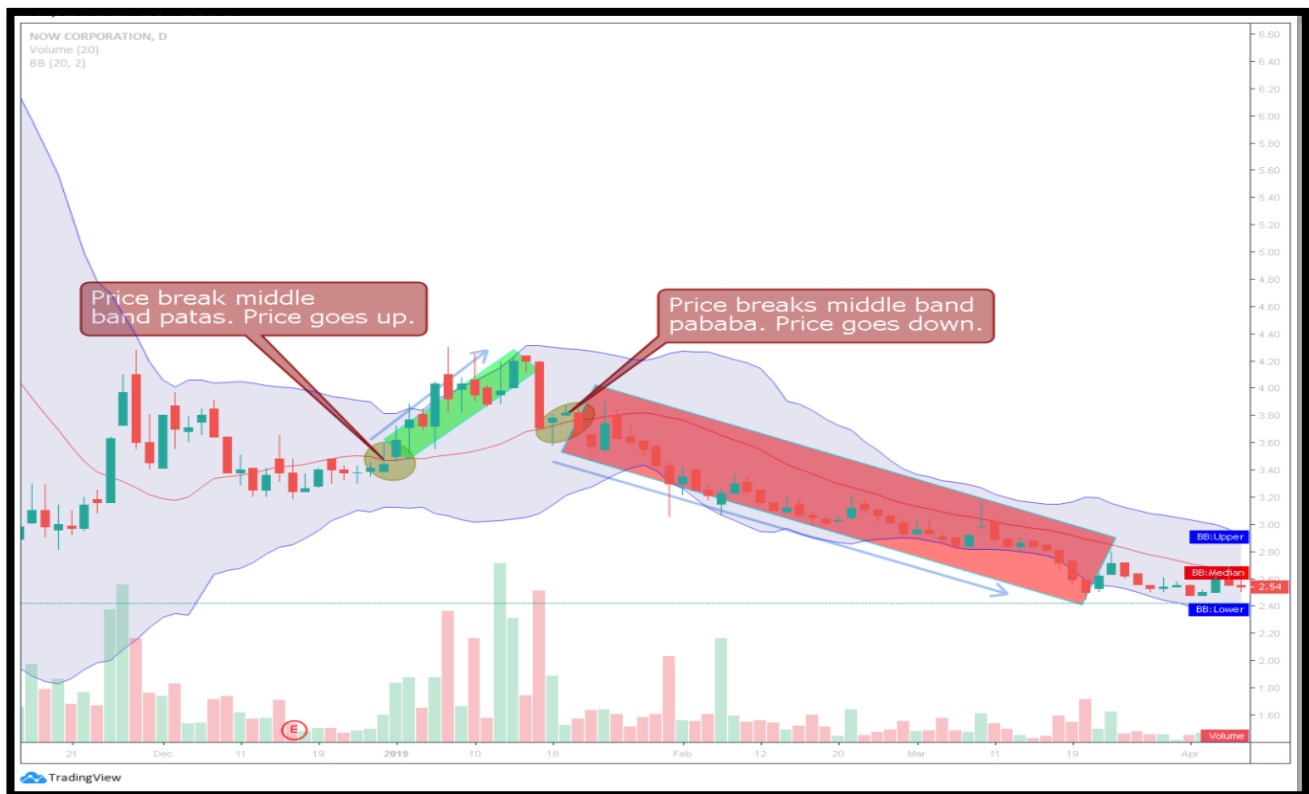


Bakit ito nangyayare? Bollinger bands act like dynamic support and resistance levels. Dynamic kasi nga if balikan mo ang formula nya ay dependent sa moving average and moving average changes.



Some traders use middle-band breaks as a sign to enter or exit trades.





To me waste of time mag BB ka pa if Moving Average break lang naman ang entry at exit mo. Use Moving Average 20 or MA20 same lang naman.

BB SQUEEZE

Pinaka popular na gamit ng BB is The Squeeze.



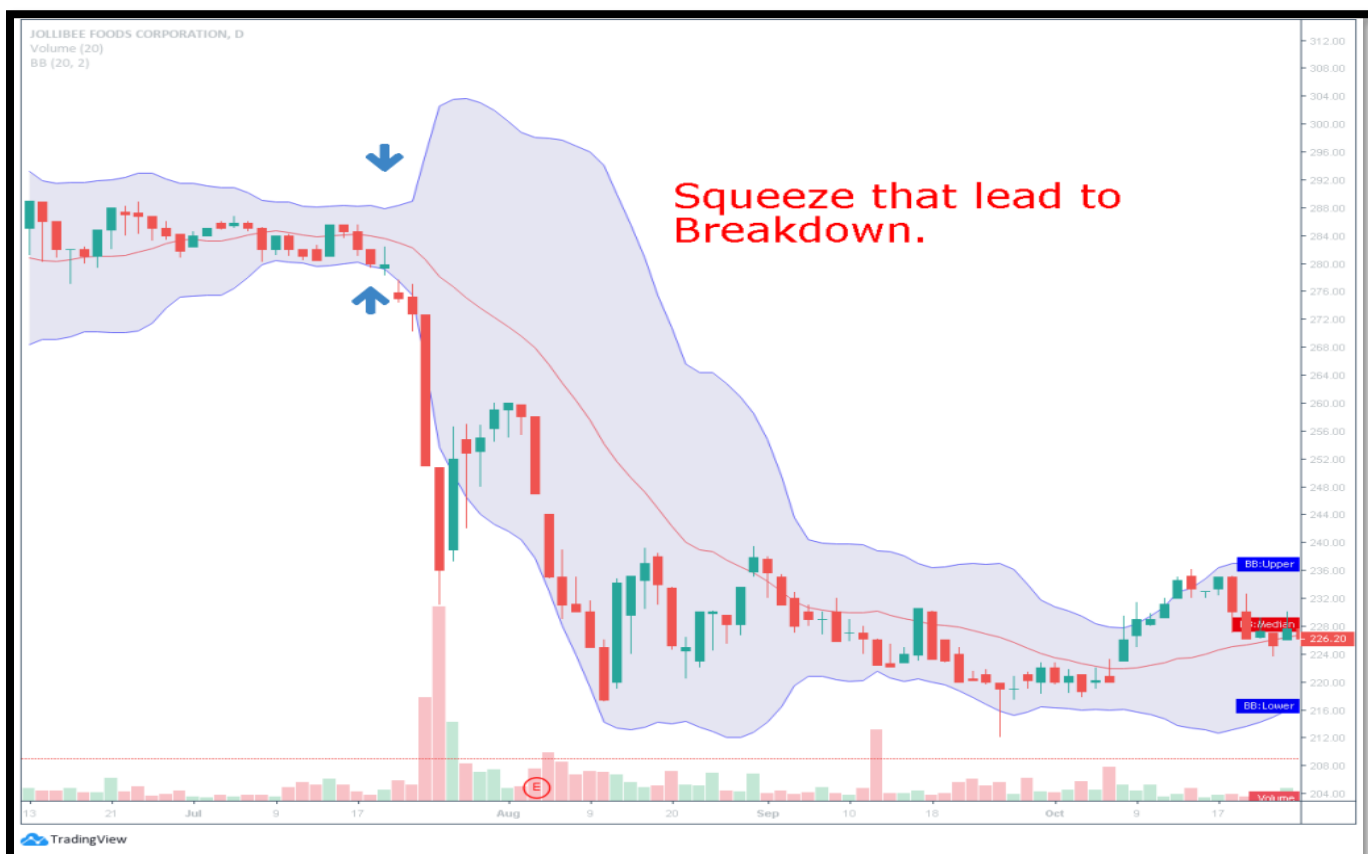
The “Bollinger Squeeze” is pretty self-explanatory. When the bands squeeze together, it usually means that a breakout or breakdown is getting ready to happen.

The longer the squeeze and the tighter the squeeze the more explosive the breakout is.



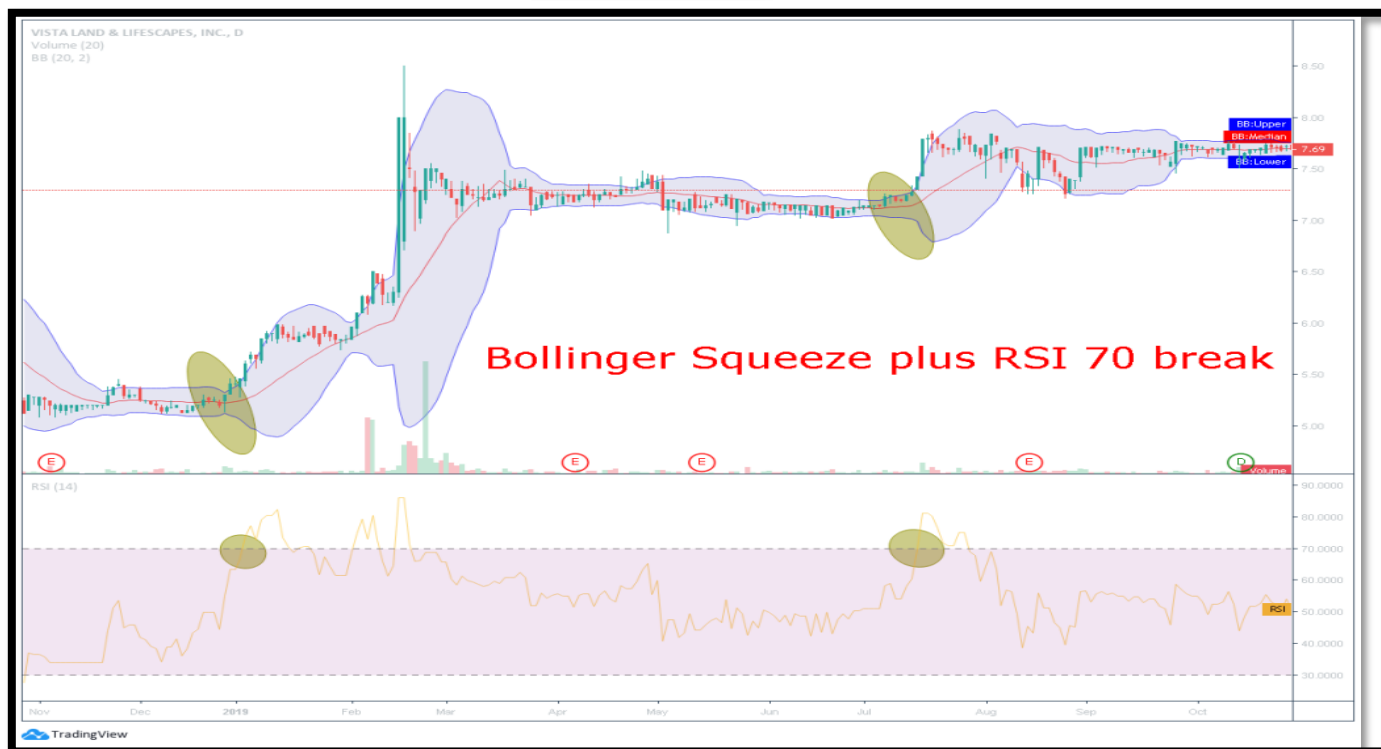
After a breakout as long as di mabreak ang middle band it usually continues to go up.
 And the Middle band break is or can be your point of exit.





Ang squeeze can either produce a breakout or a breakdown. It's actually a breakout ng resistance or breakout ng support but para makita difference I call breakout yung pataas na break at breakdown yung pag bagsak.

Now, may mga traders na gumagamit BB with RSI. Let me show you.



If you don't understand Bollinger Band you would say na ang lupet ng BB couple with RSI. Well, not really.

It's the same as simply plotting MA20 plus RSI. Look.

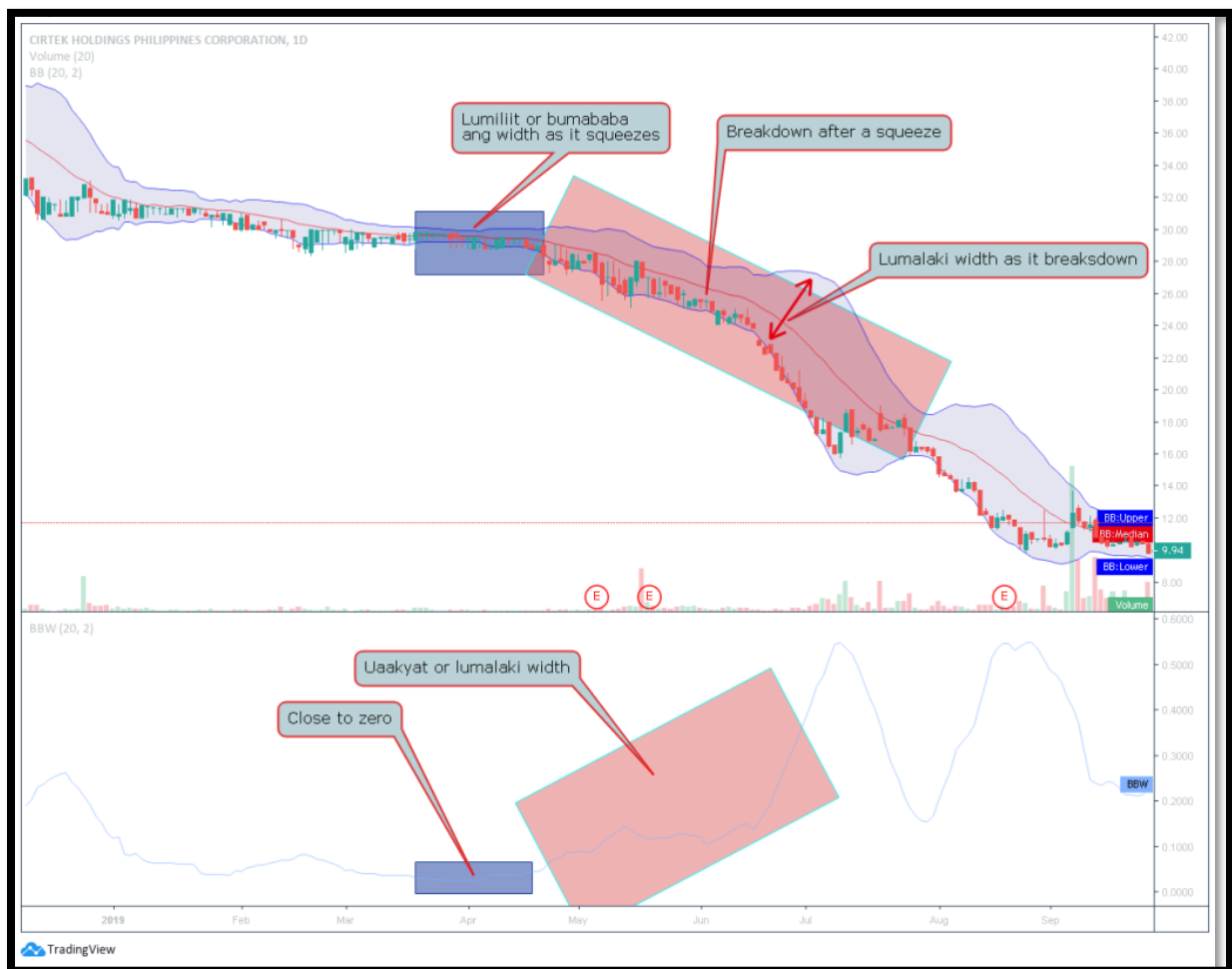


When I was new sa trading and the person na nagturo sa akin was punishing/teaching me. I did Bollinger bands manually. Compute muna then plot. Bibigyan nya lang ako price then dederive ko na lahat. Compute, plot. Kaya ako at ang Bollinger naging close haha.

THE CURVE

Yung Bollinger may upper at lower band. May distance yun at ang tawag dun is Bollinger Band Width or BBW. Sa squeeze syempre maliit width ni Bollinger. Kapag nagbreakout/breakdown naman si bollinger syempre lalaki width neto. Here:





Na establish na natin relationship ni Bollinger Band at ni Bollinger Band Width. Ngayon, kapag nagbreakout/breakdown si Bollinger band lumalaki or lumalawak ang width ng mga bands. Naghihiwalay.

TRADERSDEN
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You can use or trade using the curve. If nagsqueeze si Bollinger then the result is breakout you can buy sa pagcurve neto pataas. Bakit magcurve pataas? Kasi maghihiwalay si upper band at lower band kaya lalaki ang width. Bakit sila maghihiwalay? Kasi sa breakout or breakdown ng bollinger ngihihiwalay o bumubuka talaga ang upper at lower band. Ulitin ko. If nagsqueeze si Bollinger at nagbreakout maghihiwalay ang upper at lower band meaning bubuka causing the width to curve at aakyat. Dun ka mag entry. Ang exit mo naman is kapag nagcurve na pababa si Bollinger Band Width meaning tapos na pagbuka nya at magsisimula na naman itong magclose.

Kapag naman nagsqueeze at nagbreakdown si Bollinger hayaan mo lang or if may hawak ka sell ka. Hintayin mo na after ni width umakyat ay magcurve ulit ito pababa meaning tapos na ang pagbuka niya.



Stochastic

Stochastic refers to a randomly determined process. The term stochastic is used in many different fields, particularly where stochastic or random processes are used to represent systems or phenomena that seem to change in a random way. The word stochastic in English was originally used as an adjective with the definition "pertaining to conjecturing", and stemming from a Greek word meaning "to aim at a mark, guess", and the Oxford English Dictionary gives the year 1662 as its earliest occurrence (Wikipedia, 2020).

What is stochastic in stock trading? The stochastic indicator is a momentum indicator developed by George C. Lane in the 1950s, which shows the position of the most recent closing price relative to the previous high-low range. The indicator measures momentum by comparing the closing price with the previous trading range over a specific period of time. The stochastic indicator does not follow the price or volume of the underlying currency pair, but the speed and momentum of the price. This means that the stochastic indicator changes direction before the price itself and can thus be considered a leading indicator. The most important signals that Lane identified are the bullish and bearish divergences that form on the stochastic indicator, which can anticipate upcoming price reversals. However, as the stochastic indicator oscillates within a range, it can also be used to identify overbought and oversold price levels (Wikipedia, 2020).

Simulan natin sa formula. Ito ang formula:

a)

$$\%K = 100 (C - L \text{ of } N) / (H \text{ of } N - L \text{ of } N)$$

Current market rate for the currency pair

Most recent Closing Price

Highest Price of the N previous trading session

Lowest price of the N previous trading session

b)

$$\%D = 3\text{-day period Moving Average of \%K}$$

The

stochastic indicator is calculated using the following formula:

A $\%K = (\text{Most Recent Closing Price} - \text{Lowest Low}) / (\text{Highest High} - \text{Lowest Low}) \times 100$

B $\%D = 3\text{-day SMA of \%K}$

Lowest Low = lowest low of the specified time period

Highest High = highest high of the specified time period.

Simplehan natin. Kunin natin example si SM. Kuha tayo data sa past at present prices ni SM. Dalawa yung formula. Bakit dalawa? Yung unang formula ay para sa unang linya. Yung pangalawa ay para sa ikalawang linya.

Ang unang formula muna tutukan natin (A). Current Price minus the lowest price of N. Ano yung N? Yan yung number of days na gusto ninyo. Mamaya papakita ko kung saan yan. Ang default niyan is 14 meaning 14 days so yan din gamitin natin. So yung formula is current price minus lowest price in 14 days divided by highest price in 14 days minus lowest price in 14 days.

Kuha tayo ng data mula March 6 up to April 20. (28 days lahat yun) Para madali ilipat natin ang data sa Microsoft excel.

	Date	High	Low	Highest High (14)	Lowest Low (14)	Current Close	Stochastic Oscillator
1	6-Mar-20	963.00	936.00				
2	9-Mar-20	910.50	895.00				
3	10-Mar-20	919.00	862.00				
4	11-Mar-20	940.00	890.50				
5	12-Mar-20	880.00	770.00				
6	13-Mar-20	847.50	685.00				
7	16-Mar-20	800.00	735.00				
8	19-Mar-20	698.00	509.50				
9	20-Mar-20	740.00	689.50				
10	23-Mar-27	748.00	670.00				
11	24-Mar-20	765.00	730.00				
12	25-Mar-20	800.00	753.50				
13	26-Mar-20	845.00	761.00				
14	27-Mar-20	870.00	802.00	963.00	509.50	805.00	65.16
15	30-Mar-20	805.50	751.00	940.00	509.50	770.00	60.51
16	31-Mar-20	820.00	785.00	940.00	509.50	818.00	71.66
17	1-Apr-20	830.00	801.00	940.00	509.50	826.00	73.52
18	2-Apr-20	820.00	795.50	880.00	509.50	820.00	83.81
19	3-Apr-20	833.00	817.50	870.00	509.50	825.00	87.52
20	6-Apr-20	850.00	804.00	870.00	509.50	850.00	94.45
21	7-Apr-20	878.00	860.50	878.00	509.50	878.00	100.00
22	8-Apr-20	878.00	851.00	878.00	670.00	870.00	96.15
23	13-Apr-20	876.50	843.50	878.00	670.00	870.00	96.15
24	14-Apr-20	884.00	851.50	884.00	730.00	868.00	89.61
25	15-Apr-20	868.00	855.00	884.00	751.00	862.00	83.46
26	16-Apr-20	850.00	820.00	884.00	751.00	820.00	51.88
27	17-Apr-20	860.00	830.00	884.00	751.00	860.00	81.95
28	20-Apr-10	863.00	845.00	884.00	751.00	845.00	70.68

Ang Date:

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26	16-Apr-20	850.00	820.00	884.00	751.00	820.00	51.88
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28	20-Apr-10	863.00	845.00	884.00	751.00	845.00	70.68

Ang high:

	Date	High	Low	Highest High (14)	Lowest Low (14)	Current Close	Stochastic Oscillator
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Ang low:

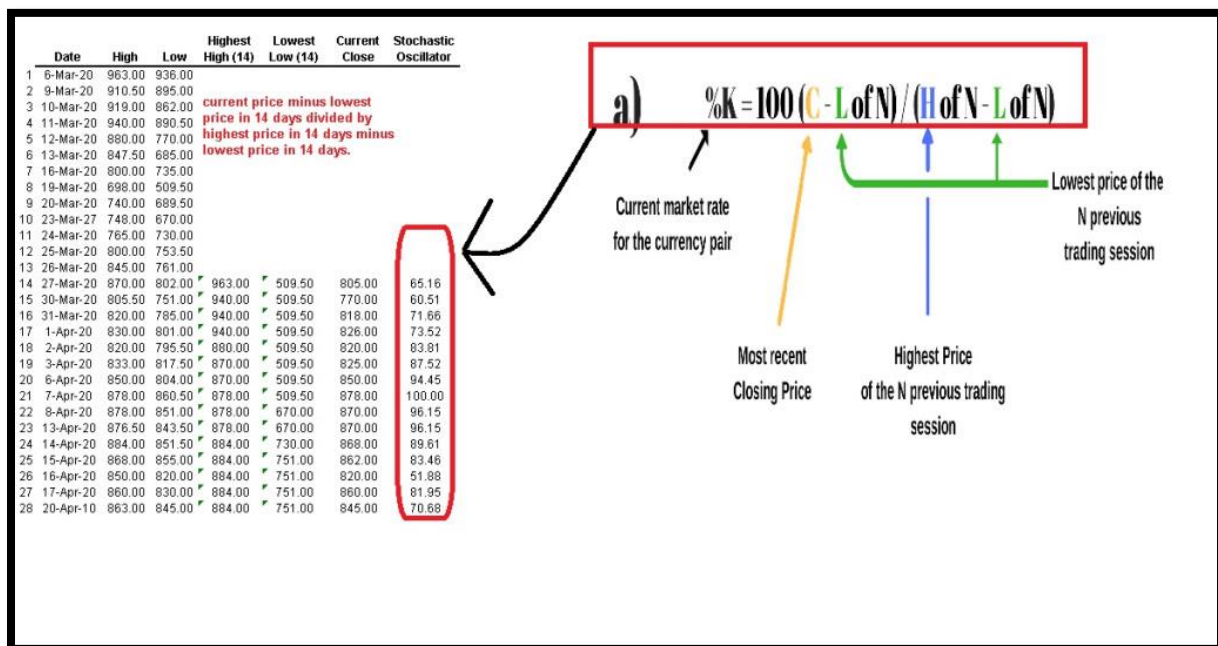
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Ang current price:

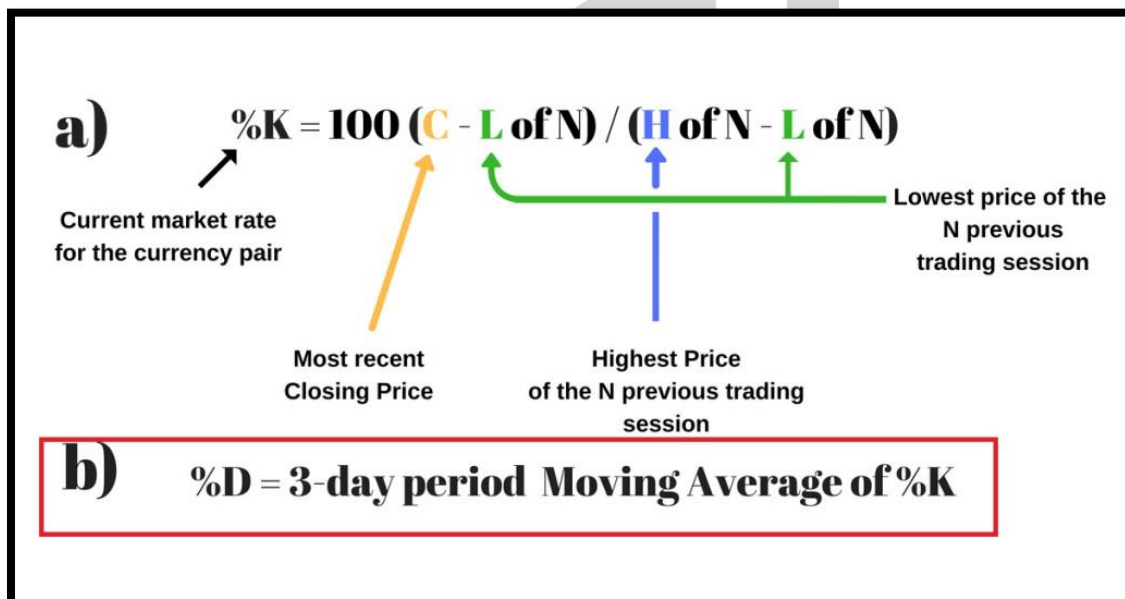
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17	1-Apr-20	830.00	801.00	940.00	509.50	826.00	73.52
18	2-Apr-20	820.00	795.50	880.00	509.50	820.00	83.81
19	3-Apr-20	833.00	817.50	870.00	509.50	825.00	87.52
20	6-Apr-20	850.00	804.00	870.00	509.50	850.00	94.45
21	7-Apr-20	878.00	860.50	878.00	509.50	878.00	100.00
22	8-Apr-20	878.00	851.00	878.00	670.00	870.00	96.15
23	13-Apr-20	876.50	843.50	878.00	670.00	870.00	96.15
24	14-Apr-20	884.00	851.50	884.00	730.00	868.00	89.61
25	15-Apr-20	868.00	855.00	884.00	751.00	862.00	83.46
26	16-Apr-20	850.00	820.00	884.00	751.00	820.00	51.88
27	17-Apr-20	860.00	830.00	884.00	751.00	860.00	81.95
28	20-Apr-10	863.00	845.00	884.00	751.00	845.00	70.68

	Date	High	Low	Highest High (14)	Lowest Low (14)	Current Close	Stochastic Oscillator
1	6-Mar-20	963.00	936.00				
2	9-Mar-20	910.50	895.00				
3	10-Mar-20	919.00	862.00				
4	11-Mar-20	940.00	890.50				
5	12-Mar-20	880.00	770.00				
6	13-Mar-20	847.50	685.00				
7	16-Mar-20	800.00	735.00				
8	19-Mar-20	698.00	509.50				
9	20-Mar-20	740.00	689.50				
10	23-Mar-27	748.00	670.00				
11	24-Mar-20	765.00	730.00				
12	25-Mar-20	800.00	753.50				
13	26-Mar-20	845.00	761.00				
14	27-Mar-20	870.00	802.00	963.00	509.50	805.00	65.16
15	30-Mar-20	805.50	751.00	940.00	509.50	770.00	60.51
16	31-Mar-20	820.00	785.00	940.00	509.50	818.00	71.66
17	1-Apr-20	830.00	801.00	940.00	509.50	826.00	73.52
18	2-Apr-20	820.00	795.50	880.00	509.50	820.00	83.81
19	3-Apr-20	833.00	817.50	870.00	509.50	825.00	87.52
20	6-Apr-20	850.00	804.00	870.00	509.50	850.00	94.45
21	7-Apr-20	878.00	860.50	878.00	509.50	878.00	100.00
22	8-Apr-20	878.00	851.00	878.00	670.00	870.00	96.15
23	13-Apr-20	876.50	843.50	878.00	670.00	870.00	96.15
24	14-Apr-20	884.00	851.50	884.00	730.00	868.00	89.61
25	15-Apr-20	868.00	855.00	884.00	751.00	862.00	83.46
26	16-Apr-20	850.00	820.00	884.00	751.00	820.00	51.88
27	17-Apr-20	860.00	830.00	884.00	751.00	860.00	81.95
28	20-Apr-10	863.00	845.00	884.00	751.00	845.00	70.68

Saan galing ang STOCHASTIC? Check below.



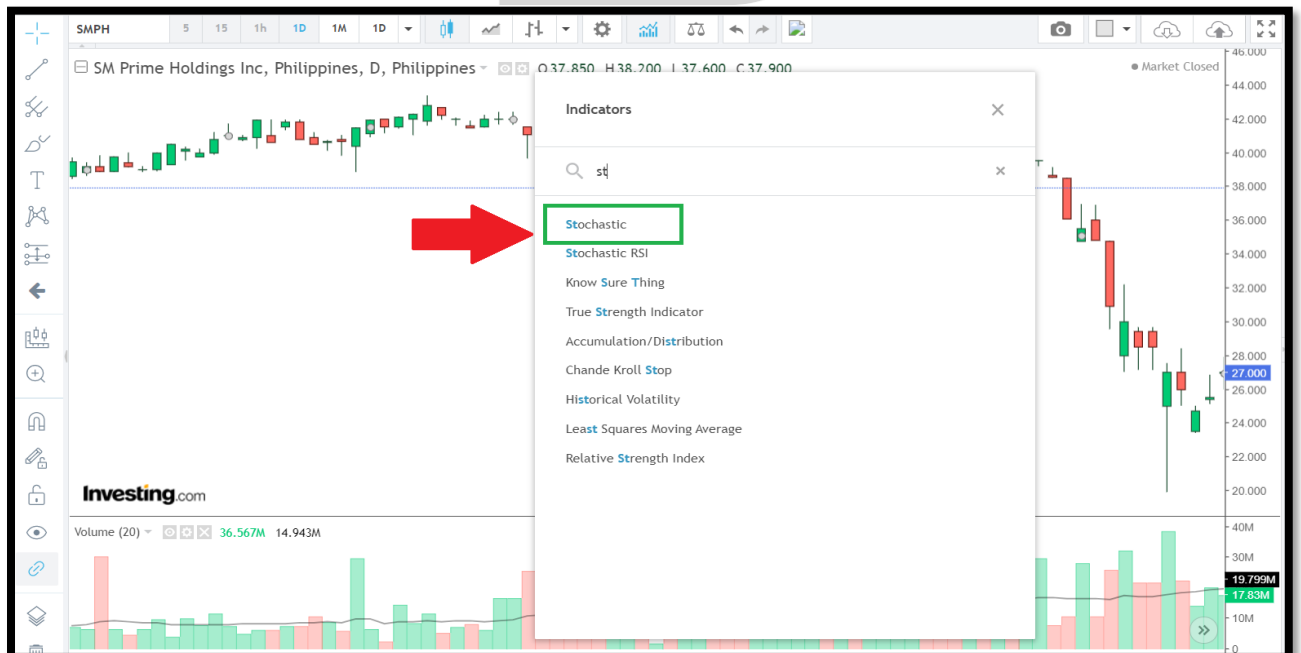
SECOND FORMULA



	Date	High	Low	Highest High (14)	Lowest Low (14)	Current Close	Stochastic Oscillator
1	6-Mar-20	963.00	936.00				
2	9-Mar-20	910.50	895.00				
3	10-Mar-20	919.00	862.00				
4	11-Mar-20	940.00	890.50				
5	12-Mar-20	880.00	770.00				
6	13-Mar-20	847.50	685.00				
7	16-Mar-20	800.00	735.00				
8	19-Mar-20	698.00	509.50				
9	20-Mar-20	740.00	689.50				
10	23-Mar-27	748.00	670.00				
11	24-Mar-20	765.00	730.00				
12	25-Mar-20	800.00	753.50				
13	26-Mar-20	845.00	761.00				
14	27-Mar-20	870.00	802.00	963.00	509.50	805.00	65.16
15	30-Mar-20	805.50	751.00	940.00	509.50	770.00	60.51
16	31-Mar-20	820.00	785.00	940.00	509.50	818.00	71.66
17	1-Apr-20	830.00	801.00	940.00	509.50	826.00	73.52
18	2-Apr-20	820.00	795.50	880.00	509.50	820.00	83.81
19	3-Apr-20	833.00	817.50	870.00	509.50	825.00	87.52
20	6-Apr-20	850.00	804.00	870.00	509.50	850.00	94.45
21	7-Apr-20	878.00	860.50	878.00	509.50	878.00	100.00
22	8-Apr-20	878.00	851.00	878.00	670.00	870.00	96.15
23	13-Apr-20	876.50	843.50	878.00	670.00	870.00	96.15
24	14-Apr-20	884.00	851.50	884.00	730.00	868.00	89.61
25	15-Apr-20	868.00	855.00	884.00	751.00	862.00	83.46
26	16-Apr-20	850.00	820.00	884.00	751.00	820.00	51.88
27	17-Apr-20	860.00	830.00	884.00	751.00	860.00	81.95
28	20-Apr-10	863.00	845.00	884.00	751.00	845.00	70.68

Average ng tatlong %K
 $(65.16+60.51+71.66)/3=\%D$
 $197.33/3=\%D$
 $65.77=\%D$

Let us verify sa chart.





	Date	High	Low	Highest High (14)	Lowest Low (14)	Current Close	Stochastic Oscillator
1	6-Mar-20	963.00	936.00				
2	9-Mar-20	910.50	895.00	%K=70.68			
3	10-Mar-20	919.00	862.00				
4	11-Mar-20	940.00	890.50	%D= (51.88+81.95+70.68)/3			
5	12-Mar-20	880.00	770.00	%D=68.17			
6	13-Mar-20	847.50	685.00				
7	16-Mar-20	800.00	735.00				
8	19-Mar-20	698.00	509.50				
9	20-Mar-20	740.00	689.50				
10	23-Mar-27	748.00	670.00				
11	24-Mar-20	765.00	730.00				
12	25-Mar-20	800.00	753.50				
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14	27-Mar-20	870.00	802.00	963.00	509.50	805.00	65.16
15	30-Mar-20	805.50	751.00	940.00	509.50	770.00	60.51
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26	16-Apr-20	850.00	820.00	884.00	751.00	820.00	51.88
27	17-Apr-20	860.00	830.00	884.00	751.00	860.00	81.95
28	20-Apr-10	863.00	845.00	884.00	751.00	845.00	70.68



Ano purpose ni Stochastic?

As a range-bound indicator, the stochastic oscillator can be used to identify overbought and oversold market conditions. A reading over 80 reflects overbought market conditions, and a reading below 20 reflects oversold market conditions. The stochastic indicator itself can range only from 0 to 100, no matter how fast the price of the underlying currency pair changes. In a standard 14-period setting, a reading above 80 indicates that the pair has been trading near the top of its trading range over the last 14 periods, while a reading below 20 indicates that the pair has been trading near the low of its trading range over the last 14 periods. It is important to note that oversold readings are not necessarily bullish, just like overbought readings are not necessarily bearish. During a sustained uptrend or downtrend, the stochastic indicator can remain in the oversold or overbought area for a long period of time. Ang stochastics pwede mo rin gamitin as divergence. If di mo alam ang Divergence hanapin mo sa mga blogs ko at na discuss ko na yun.

OVERBOUGHT/OVERSOLD



DIVERGENCE



May napapansin ka ba? Meron o wala? Ang sinusukat mo ay hindi talagang buying at selling strength. Ang sinusukat mo ay distance mula sa highest high at lowest low. Let me explain. Sa loob ng 14 days ang highest is 10 at ang lowest kunyare is 2. Mula 2 to 10 ay ang sinusukat mo Kapag malapit ka sa 10 which is highest of the high sa loob ng

14 days ay overbought at kapag malapit ka naman sa 2 which is lowest of the low ay oversold.

Sinusukat niya kung gaano ba kalayo or saan na ba banda yung price compared sa highest high or lowest low. If nakita mo na nasa 82 ang stochastic matic na alam mo na malapit ito sa highest high niya sa loob ng given na period. Ang default period niya is 14 days. Yan ha tip na yan. Pag nakita mo 82 alam mo na. "ahh meaning malapit ito sa highest high niya" Pag naman nakita mo stochastic na 20 "ah malapit ito sa lowest low niya" Malapit sa high? Marami siguro bumibili. Malapit sa low? marami siguro nagbentahan.

Ngayon ito yung problema. Highest high at lowest low diba? Paano ngayon kapag mahaba ang wick? Kunyare malaki ang spread. May nagbenta sa baba. or may nagbuy up lang. Sample nasa 5 pesos. Biglang may nagbenta sa 3 pesos na isang tao pero nagclose pa rin naman ang stock sa 5. Naglalaro lang ang price sa 4-5 but one day may isang tao nangailangan pera binenta niya sa 3. Bumalik naman ang price sa closing sa 5. Will stochastic count for the 3 as the lowest low? YES!!! Diyan lalabas ang understanding mo sa formula. Lowest low mo ngayon is 3. Same din kapag may nagbuy up kahit wick lang ay makukuha ng stochastic yan sa formula. Yan ang flaw ni stochastic.

Naintindihan ba? Linawin ko. Price ni CEB nasa 50 to 65 sa loob ng 10 days. Naglalaro lang siya diyan. Isang araw may nagbenta sa 35 pesos. Flash crash. Seconds lang sabay balik naman ang price sa 50. Dahil 35 ang magiging lowest low ni Ceb. Kahit pa sige benta hindi mag ooversold or mahihirapan mag ooversold ngayon si CEB kasi nga 35 ang lowest low niya.

Same scenario na nasa 50 to 60 ang price ni CEB. Ngayon biglang may nagkamali na broker nabuy up sa 80 si CEB pero seconds lang bigla din baba sa normal range niya. Dahil 80 ang highest high ni CEB mahihirapan magka overbought si CEB kahit pa umangat ito ng umangat lets say hanggang 67.

Dipping at Jabbing ang tawag sa paraan na yan noon but di na yan effective. Effective lang yan noon nung konti pa lang ang mga stocks. Hindi pa tayo pinapanganak ng mga time na yan hahaha. Yung nagturo sakín sa trading sabi niya ginagawa daw noon yan para makapagbenta na hindi ma o-oversold or makabili ng hindi maooverbought. Ngayon useless na sa tingin ko yan dahil sa dami ng stocks at sa dami ng indicators.

Exponential Moving Average (EMA)

Ano nga ba ang exponential moving average?

It is fairly difficult to provide a satisfactory exponential moving average definition without getting into the specifics of the calculations involved. A broad EMA definition is: a smoothing technique arrived at by adding a portion of the current price, to a portion of the value of the previous moving average (admiralmarkets.com, 2019).

Para madali ang gagamitin natin na period or time is 5 days. Since magcacalculate pa lang tayo ng EMA meaning wala pa tayo EMA ang gagamitin natin muna is Simple Moving Average as our first EMA.

Let us take MAC for example. Kumuha tayo ng limang magkakasunod na closing price (current price) ni MAC.

Kunin natin mula Nov 13, 2019 until Nov 19, 2019.

November 19	18.32
November 18	18.70
November 15	18.60
November 14	19.06
November 13	19.22

It was explained earlier paano kunin ang Moving Average so alam na ninyo.

MA5(5-day moving average)= Day1+Day2+Day3+Day4+Day5/5

19.22+18.32+18.70+18.60+19.06=93.9

93.9/5=18.78

18.78 ang gagawin natin na first EMA.

Here is the formula:

$$\text{EMA} = \text{Price (t)} \times k + \text{EMA (y)} \times (1-k)$$

Where:

t = today

y = yesterday

N = number of days in EMA

$$k = 2 \div (N+1)$$

Ano ang K? Ang K yan ang weighting multiplier or smoothing constant. The weighting multiplier or smoothing constant is what emphasizes the most recent data, and its value depends on the time period of your EMA. Ang formula pagkuha ng K is this: $K = 2 / (N + 1)$

$$\text{EMA} = \text{Price}(t) \times k + \text{EMA}(y) \times (1 - k)$$

Where:

t = today

y = yesterday

N = number of days in EMA

$$k = 2 \div (N + 1)$$

Ang N is ang number of days. Sinabe natin kanina na 5 ang number ng days. 5 na araw na prices ni MAC ang kinuha natin.

- $k = 2 / (5 + 1)$
- $k = 2 / 6$
- $k = 0.33$ Or 33%

Time Out Muna Yung 5 na number ng days ay 33% ang multiplier. Eh yung 10 na number of days?

- $k = 2 / (10 + 1)$
- $k = 0.18$ or 18%

Gets Ninyo?

If hindi pa ito yun. Yung 10 na EMA ay may weight lang na 18% while ang 5 na EMA may weight na 33% (mas mabigat) meaning mas pinahahalagahan ni EMA ang recent price.

Kunyare may hawak ka na stock at ang pangalan ng stock na yun is Switch with a stock code BO. Kunin natin ang 10-day Moving Average.

Day 1: 1.61
 Day 2: 1.62
 Day 3: 1.61
 Day 4: 1.64
 Day 5: 1.63
 Day 6: 1.62
 Day 7: 1.63
 Day 8: 1.62
 Day 9: 1.61
 Day 10: 1.61

$$\text{MA} = \text{day1} + \text{day2} + \text{day3} + \text{day4} + \text{day5} + \text{day6} + \text{day7} + \text{day8} + \text{day9} + \text{day10} / 10$$

$$\text{MA} = 16.2 / 10$$

$$\text{MA} = 1.62$$

Now let's say sa Day 3 nagkaroon ng fake news na naka apekto sa BO at bumagsak that day ang price sa 1.50 dahil nagbentahan. The next day nakarecover naman. tingnan natin mangyayare sa 10-day moving average.

Day 1: 1.61
 Day 2: 1.62
 Day 3: 1.50
 Day 4: 1.64
 Day 5: 1.63
 Day 6: 1.62
 Day 7: 1.63
 Day 8: 1.62
 Day 9: 1.61
 Day 10: 1.61

MA=day1+day2+day3+day4+day5+day6+day7+day8+day9+day10/10
 MA=16.09/10
 MA=1.609

Yung resulta is lower. The result of the simple moving average would be a lot lower and it would give you the notion that the price was actually going down, when in reality, Day 3 was just a one-time event caused by the fake news.

Sa EMA naman hindi ganyan kasi mas binibigyan ni EMA bigat ang recent price.

Ano ang K? Ang K yan ang weighting multiplier or smoothing constant. Weighting multiplier or smoothing constant is what emphasizes the most recent data, and its value depends on the time period of your EMA. Ang formula pagkuha ng K is this: $K = 2 / (N + 1)$

$$EMA = \text{Price } (t) \times k + EMA (y) \times (1 - k)$$

Where:

t = today

y = yesterday

N = number of days in EMA

$$k = 2 \div (N + 1)$$

Ang N is ang number of days. Sinabe natin kanina na 5 ang number ng days. 5 na araw na prices ni MAC ang kinuha natin.

- $k = 2 / (5 + 1)$
- $k = 2 / 6$
- $k = 0.33$ Or 33% (Kung nais mo yabangan mga kaibigan mo na trader instead 5-day EMA sabihin mo 33%EMA para malito sila. Same lang naman yun)

So may K na tayo. Try natin kunin ang EMA.

$$EMA = \text{Price } (t) \times k + EMA (y) \times (1 - k)$$

Where:

t = today

y = yesterday

N = number of days in EMA

$$k = 2 \div (N + 1)$$

18.78 ang ginawa natin na first EMA sa taas remember?

Since 18.78 represents a 5-day Moving Average ni MAC, sa 6th day tayo kukuha ng price which is 18.5

November 19	18.32
November 18	18.70
November 15	18.60
November 14	19.06
November 13	19.22

EMA=Price today x K + EMA yesterday x (1-K)

EMA= 18.5 x 0.33+18.78 x (1-0.33)

EMA=6.105 + 12.5826

EMA=18.6876 or 18.7

If gusto ninyo madali na formula pwede rin ito:

EMA = (closing price - previous day's EMA) × smoothing constant as a decimal + previous day's EMA

EMA= (18.5-18.78) x 0.33 + 18.78

EMA=18.6876 or 18.7



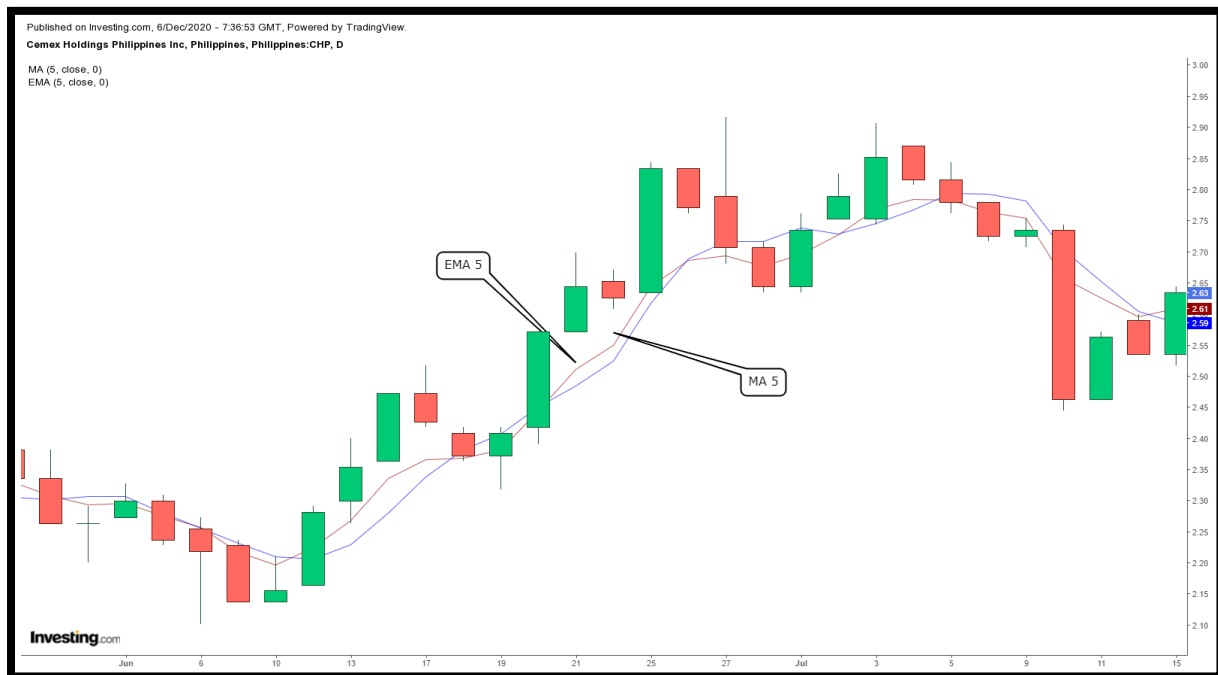
Since example lang ang ginawa natin at nagsimula tayo sa Nov 13, 2019 ay may konting difference kasi ang EMA dapat magsisimula ka magcalculate sa simula talaga na price ng stock. That means you have several hundred calculations yet to do – because you have to calculate one day at a time. Obviously, this is much faster and easier with a computer program or script to crunch the numbers for you.

If you really want the most accurate EMA possible, you should start your calculations with data from the very first day the stock was available. Although that's often impractical, it also reinforces the fact that EMAs are used to reflect and analyze trends – so if you graphed the EMA starting from day one of the stock you'd see how, after a lag

period, the graph curve shifts to follow the actual stock prices. If you also draw an SMA for the same time period on the same graph, you'd also see that an EMA adjusts to changes in price more quickly than an SMA does.

Here is the Main Point





Dito, makikita mo ang difference. It looks like mas mabilis magreact si EMA kesa kay MA or mas dikit si EMA sa price kesa ky MA. The reason for that is binibigyan ni EMA bigat ang recent price compared sa lumang price. Look at the charts at balikan ninyo ang part ng blog na to sa taas na may (WOAH) and it will all makes sense. If MA10 ang gamit mo at sa day 3 ay bumagsak masyado ang price affected nito ng sobra ang MA mo kasi add mo lahat ng days at divide sa 10. If EMA10 naman gamit mo kahit pa bumagsak sa day 3 ang price hindi niya gaanong affected ang EMA kasi mas binibigyan ni EMA bigat or importance ang recent prices.

If gamit mo sila sa entry sa breakout ng resistance. MA is slow kasi mean kinukuha niya. EMA is fast kasi mas mabigat ang recent price. MA late entry ka but safe sa fake outs. EMA good entry ka or fast entry ka but prone sa fake outs. If sa exit naman. MA is slow late ka exit but hindi prone sa fake outs. EMA is fast but prone sa fake out. Which one is better? **ALMA is the best.**

ALMA

(Arnaud Legoux Moving Average)

MA is known na smooth siya na line pero mabagal magreact meaning late ka makakapasok at makakalabas. EMA known na mabilis magreact pero di siya ganun ka smooth or kadalasan choppy na picture makikita mo mostly false na signal makukuha mo like early ka mapapa exit or mapapa entry. To bridge the gap ng smooth pero mabagal (MA) at mabilis pero choppy (EMA) nandyan si ALMA.

According to TradingSim (2020), the Arnaud Legoux's version of moving average technical indicator was designed to address two common drawbacks with the traditional moving averages, responsiveness, and smoothness. Anyone who has used a moving average would know that a short-term moving average is more responsive, but comes at the risk of being choppy and can result in false signals. On the other hand, a longer-term moving average is known to be smoother, but lacks in terms of responsiveness, meaning that price already makes a significant move before the longer-term (smoother) moving average catches on.

So traders are generally caught between a fast and responsive but prone to false signals moving average or bear with the long term smoother moving average which is often delayed when it comes to signals. Technical traders have over the years tried to overcome this method, which is one of the reasons why you find quite a few two moving average strategies, where you essentially have a short-term and long-term moving average, thus looking to trade based on responsiveness and smoothness (tradingsim.com, 2020).

The Arnaud Legoux moving average attempts to bridge this gap and thus is expected to show both responsiveness and smoothness at the same time. Interestingly, the Arnaud Legoux moving average applies the moving average twice, once from left to right and the other from right from left with the process said to eliminate price lag or phase shift significantly, a problem that is common to the traditional moving averages. Here are the pics (chart) Try spotting the difference (tradingsim.com, 2020).

Published on TradingView.com, December 12, 2019 03:39:00 HKT
X, 1D O:0.87 H:0.88 L:0.86 C:0.87

XURPAS INC., 1D
Volume (20)
MA (9, close, 0)



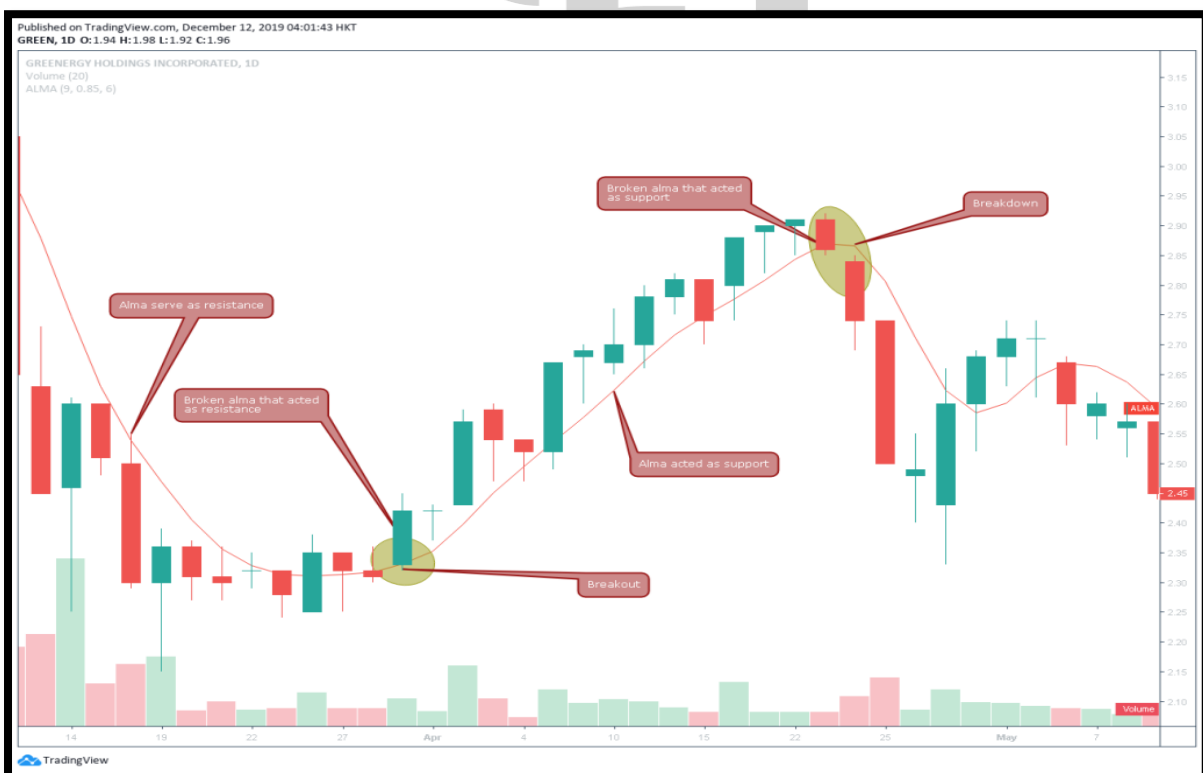
Published on TradingView.com, December 12, 2019 03:40:41 HKT
X, 1D O:0.87 H:0.88 L:0.86 C:0.87

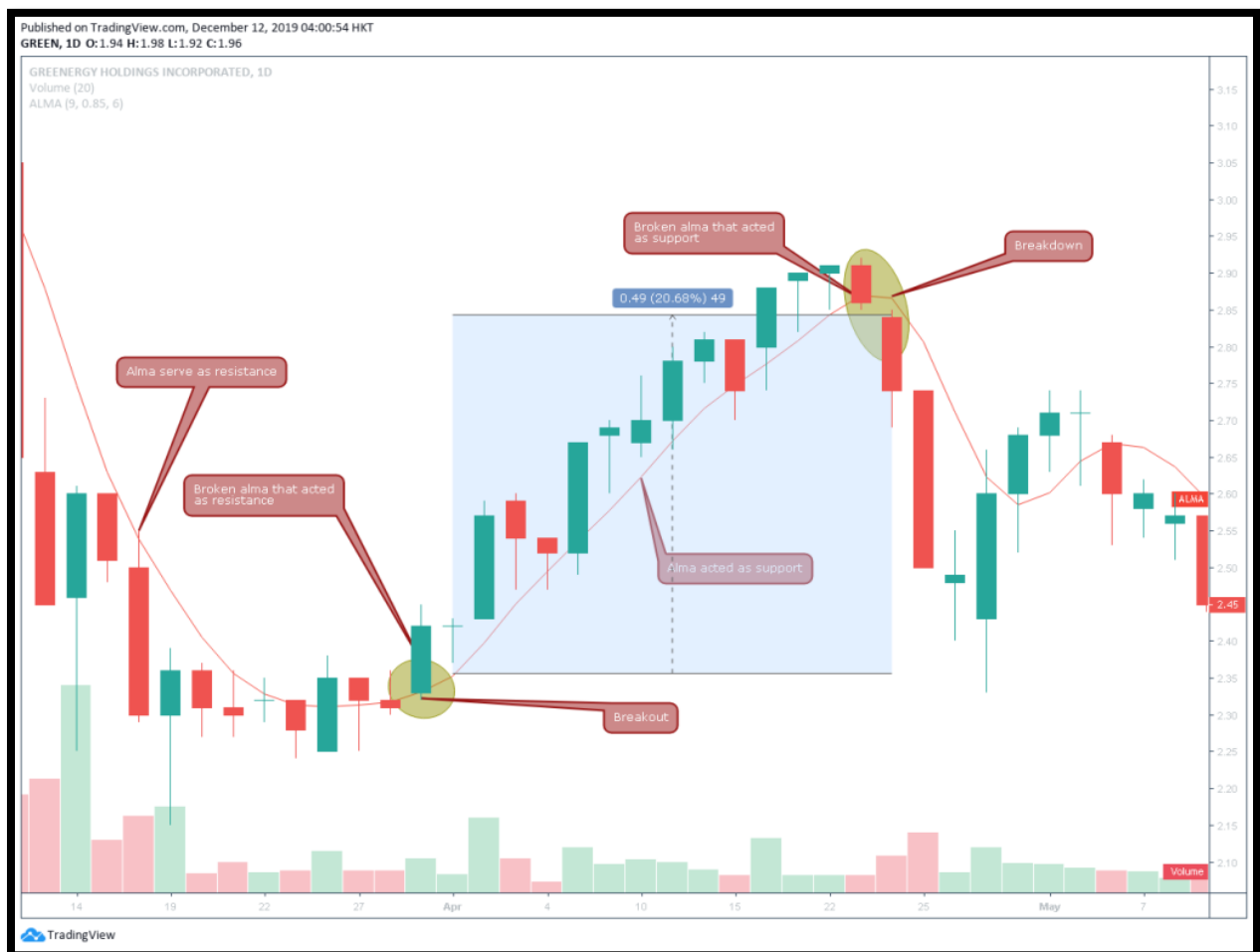
XURPAS INC., 1D
Volume (20)
EMA (9, close, 0)











General rule ng moving averages. Kapag nasa ilalim siya ng candle or ng price it acts as a **support**. Kapag nasa taas sya it acts as a **resistance**. So the most important thing na binabantayan natin lagi is yung pagbreak ng line. Pag nabreak ang line pataas breakout kasi resistance yun. Kapag pababa naman breakdown kasi support yun. Now using ALMA is very easy. Buy kapag na break ang ALMA at ang price eh nasa taas ng ALMA and it stays there. Sell kapag nabreak ang ALMA at ang price ay nasa baba ng candle at it stays there.

MACD

(Moving Average Convergence Divergence)

What is MACD? MACD is an acronym for **M**oving **A**verage **C**onvergence **D**ivergence.

According to singaporetradingonline.com, (2020), MACD is developed by Gerald Appel in the late seventies. The Moving Average Convergence/Divergence oscillator (MACD) is one of the simplest and most effective momentum indicators available. The MACD turns two trend-following indicators, moving averages, into a momentum oscillator by subtracting the longer moving average from the shorter one. As a result, the MACD offers the best of both worlds: **trend following and momentum**. The MACD fluctuates above and below the zero line as the moving averages converge, cross and diverge.

MACD FORMULA

- MACD Line: (12-day EMA - 26-day EMA)
- Signal Line: 9-day EMA of MACD Line
- MACD Histogram: MACD Line - Signal Line

The procedure of calculating the MACD Lines is as follows:

Step 1: Calculate a 12-period exponential moving average of the close price

Step 2: Calculate a 26-period exponential moving average of the close price

Step 3: Subtract the 12-period exponential moving averages from the 26 period moving averages. This is the FAST MACD LINE.

Step 4: Calculate a 9-period exponential moving average of the fast MACD line calculated above. This is the slow or signal MACD line.

The Visual Representation of the formula:



Dalawang EMA. EMA12 at EMA26



Ang MACD INDICATOR ay binubuo ng MACD LINE, HISTOGRAM, SIGNAL LINE at ZERO or ZERO LINE.

- Histogram= MACD-Signal Line
- MACD Line= EMA 12- EMA 26
- Signal Line= EMA 9 of MACD Line

The MACD Line is the 12-day Exponential Moving Average (EMA) less the 26-day EMA. Closing prices are used for these moving averages. A 9-day EMA of the MACD Line is plotted with the indicator to act as a signal line and identify turns. The MACD Histogram represents the difference between MACD and its 9-day EMA, the signal line. The histogram is positive when the MACD line is above its signal line and negative when the MACD line is below its signal line (singaporetradingonline.com, 2020).

The values of **12, 26, and 9** are the typical settings used with the MACD, though other values can be substituted depending on your trading style and goals.

SLOW AND FAST EMA

12, 26, 9 ang typical settings ni MACD but if titingnan mo it is just one faster (shorter) EMA at one slower Longer) EMA at 9-day na EMA ng MACD LINE. If mag aadjust kayo ng settings importante na naiintindihan ninyo ang foundation ng formula ni MACD.

LET US SIMPLIFY.

MACD LINE

MACD LINE. Shorter EMA minus longer EMA equals MACD LINE.

$$\text{EMA}_{12} - \text{EMA}_{26} = \text{MACD LINE}$$

SAMPLE: $\text{EMA}_{12} = 2$, $\text{EMA}_{26} = 1.5$

$$2 - 1.5 = 0.5$$

$$\text{MACD LINE} = 0.5$$

SIGNAL LINE

SIGNAL LINE. 9-day EMA ng MACD LINE.
Take note of 9-day EMA ng MACD line ha hindi ng price.

Sample:

Day1 MACD LINE = 0.5
Day2 MACD LINE = 0.4
Day3 MACD LINE = 0.6
Day4 MACD LINE = 0.2
Day5 MACD LINE = 0.3
Day6 MACD LINE = 0.4
Day7 MACD LINE = 0.5
Day8 MACD LINE = 0.7
Day9 MACD LINE = 0.6

Kunin mo ang 9-day EMA niya at yun ang SIGNAL LINE mo sa day 9.
kunyare na solve na natin ang 9-day EMA ng MACD line at ang result is kunyare 0.4

HISTOGRAM

HISTOGRAM = MACD LINE - SIGNAL LINE.

SO, if MACD LINE sa day 9 is 0.6 at yung kunyare na SIGNAL LINE is 0.4

Histogram will be:

Histogram = $0.6 - 0.4$

Histogram = 0.2

In short ang histogram ay distance ng MACD LINE from SIGNAL LINE.

MACD CROSSOVERS

If magcross ang MACD sa SIGNAL LINE na MACD and nasa taas ang tawag ay bullish crossover.

If magcross ang MACD sa SIGNAL LINE na MACD and nasa baba ang tawag ay bearish crossover.

Ano ngayon ang crossover?

Ito yung kagandahan kapag hinihimay mo kasi naiintindihan mo kung ano ba talaga ang mga bagay bagay. So, kapag sinabe mo na bullish cross over meaning magcross pataas ang MACD LINE mo sa SIGNAL LINE. Since ang MACD LINE is shorter EMA minus by longer EMA (EMA12 -EMA26) meaning kailangan unti unting umaangat ang price para umangat ang value ng shorter EMA mo. Since ang SIGNAL LINE ay 9-day EMA ng MACD meaning para magkaroon ka ng bullish crossover ay kailangan paakyat ng paakyat ang price ng stock hanggang yung MACD line mo ay mas mataas na ang value kesa sa signal line mo.

Mas mataas na ang value ng MACD LINE mo kesa sa average ng 9 na araw na MACD LINE.



Example:

Day1 MACD LINE = 0.5

Day2 MACD LINE = 0.4

Day3 MACD LINE = 0.6

Day4 MACD LINE = 0.2

Day5 MACD LINE = 0.3

Day6 MACD LINE = 0.4

Day7 MACD LINE = 0.5

Day8 MACD LINE = 0.7

Day9 MACD LINE = 0.6

Kunyare ang 9-day EMA nito is 0.4

BULLISH CROSSOVER

Para magkaroon ka ng bullish cross over dapat paakyat ang mga susunod na MACD LINE mo mula day 10 or dapat mas mataas sa 0.4 sa mga susunod na araw. Para mangyare to dapat paakyat din ang price kasi ang formula ng MACD is $EMA12 - EMA26$.



BEARISH CROSSOVER

Kapag sinabi mo na bearish cross over meaning magcross pababa ang MACD LINE mo sa SIGNAL LINE. Since ang MACD LINE is shorter EMA minus by longer EMA ($EMA12 - EMA26$) meaning kailangan unti unting bumagsak ang price para umangat ang value ng shorter EMA mo. Since ang SIGNAL LINE ay 9-day EMA ng MACD meaning para magkaroon ka ng bearish crossover ay kailangan pabagsak ng pabagsak ang price ng stock hanggang yung MACD line mo ay mas mababa na ang value kesa sa signal line mo.

Mas mababa na ang value ng MACD LINE mo kesa sa average ng 9 na araw na MACD LINE. Halimbawa:

Day1 MACD LINE = 0.5
Day2 MACD LINE = 0.4
Day3 MACD LINE = 0.6
Day4 MACD LINE = 0.2
Day5 MACD LINE = 0.3
Day6 MACD LINE = 0.4
Day7 MACD LINE = 0.5
Day8 MACD LINE = 0.7
Day9 MACD LINE = 0.6
Kunyare ang 9-day EMA nito is 0.4

Para magkaroon ka ng bearish cross over dapat pababa ang mga susunod na MACD LINE mo mula day 10 or dapat mas mababa sa 0.4 ang mga susunod na araw. Para mangyare to dapat pababa din ang price kasi ang formula ng MACD LINE is $EMA12 - EMA26$.



Have you noticed?

Every time nagcross ang shorter EMA above longer EMA (EMA12 cross above EMA26) yung MACD LINE ay nagcross din above zero lines.

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Yan ang MACD. Habang paangat ng paangat ang price umaangat din ang MACD line. Kung pababa naman bumababa din.

Bakit MACD ang gamit sa MAMA STRATEGY? Dahil yan sa rate at speed ng galaw ni MACD.

ALMA is better than EMA at MA dahil sa speed. Nasa gitna siya halos. Di sobrang bilis. Di rin sobrang bagal. To compensate sa mga fake outs na dala ni ALMA since mas mabilis siya ky MA kaya may MACD. That's one part. Next part is para makuha mo si MACD gagamitan mo ng dalawang EMA so yung fake outs ni ALMA ay e cocorrect ni MACD.

You often ask kung anong uri ng strategy si MAMA. It's both momentum and trend following. Hybrid siya actually. Bakit both? Balikan ninyo definition ni MACD. The MACD turns two trend-following indicators, moving averages, into a momentum oscillator by subtracting the longer moving average from the shorter one.

VWAP

(Volume Weighted Average Price)

Ang VWAP ay average price. Yes average price yan na weighed sa volume meaning average price siya pero isinasangguni din sa volume. Parang yung mga siga na mister. Matatapang sila sa barkada nila pero kapag may gimik eh isinasangguni muna sa mga misis nila ang desisyon.

Balikan natin ang basic principle ng VWAP. Lahat ng indicators sa Technical Analysis ay nagawa dahil sa mathematical calculations at formula. Kung di man lahat ay mostly. Nararapat lang na balikan natin at intindihin ang math behind. Dito ako sanay sa paghihimay ng mga ganito. I will make it very simple para maintindihan ninyo.

Ang formula ng VWAP ay ganito:

$$VWAP = \frac{\sum Price \times Volume \text{ at Price}}{\sum Total Volume}$$

Meaning, VWAP = (Cumulative (Price * Volume)) / (Cumulative Volume)

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Isa isahin natin para mas maintindihan.

How to compute VWAP? For instance, eto ang low, high, close ng isang stock from 10:00AM to 10:25 AM. We will try to get the VWAP in a 5 Minute Timeframe. Assuming na 10 AM nagbukas or nagstart ang trading. Ibig sabihin 10 AM ang starting point.

Time	High	Low	Close	Volume
10:00:00 AM	3	2.9	2.95	300,000.00
10:05:00 AM	3.1	2.94	2.95	300,000.00
10:10:00 AM	2.99	2.92	2.95	600,000.00
10:15:00 AM	3	2.94	2.98	400,000.00
10:25:00 AM	3.07	2.98	2.95	500,000.00

First step, focus sa 10:00AM data, let's get the Average Price ni 10AM. Let's add H+L+C divide by 3 to get the average price. Our average price is 2.95. Please see the

$$3+2.9+2.95=8.85$$

Average Price

$$8.85/3=2.95$$

computation sa picture below.

Next na kukunin natin is the average price x volume naman. To do that, multiply lang natin ang average price for

10:00 sa volume nya which is 300,000.

Average Price X Volume

$$2.95 \times 300,000 = 885,000$$

So ang average price x volume natin sa 10:00AM is 885,000. We will do the same sa 10:05.

Now na may average Price x volume na tayo both sa 10:00AM and 10:05 AM, now we can compute the **cumulative average price x volume** na from here. Kunin natin cumulative ng price x volume ng 10:00 and 10:05. To do that, we simply add the previous APV + the current APV (kunin natin APV ng 10:00 at e add kay 10:05). If di mo naintindihan ang cumulative simple lang yan. Nag accumulate yan meaning eh add mo mga nakaraan na values.

Ang Average Price X Volume ni 10:00AM ay 885,000 at kay 10:05 naman ay 897,00.

So yung Cumulative APV natin ngayon ay 1,782,000.

Next natin kukunin ay ang Cumulative Volume naman. To do that add mo lang ang volume ni 10:00 kay 10:05.

Ngayon na may Cumulative APV na tayo at Cumulative Volume, pwede na natin kunin nag VWAP value sa 10:05AM. The formula is simple. **VWAP= Cumulative APV/ Cumulative Volume.**

$$\text{VWAP} = 1,782,000 / 600,000$$

$$\text{WVAP for 10:05AM} = 2.97$$

You can do the same for the rest of the data. And you will get these VWAP values.

Time	High	Low	Close	Volume	SUM of High+Low+Close	Average Price	Average Price X Volume	Cumulative (APV)	Cumulative Volume	VWAP
10:00:00 AM	3	2.9	2.95	300,000.00	8.85	2.95	885,000.00			2.95
10:05:00 AM	3.1	2.94	2.95	300,000.00	8.99	2.99	897,000.00	1,782,000.00	600,000.00	2.97
10:10:00 AM	2.99	2.92	2.95	600,000.00	8.86	2.953	1,772,000.00	2,669,000.00	900,000.00	2.965556
10:15:00 AM	3	2.94	2.98	400,000.00	8.92	2.973	1,189,333.33	2,961,333.33	1,000,000.00	2.961333
10:25:00 AM	3.07	2.98	2.95	500,000.00	9.00	3.000	1,500,000.00	2,689,333.33	900,000.00	2.988148

Di mo ba gets? Well if pag-aralan mo ang calculations at formula masasanay ka rin. Let me show you why important na alam mo ang formula at basic. Let me further show you what VWAP is. Kasi diba average price lang naman siya eh bakit kailangan pa weighted sa volume? Natanong mo na ba sarili mo nun? Like “average price ka lang pala me pa weyted waited ka pang nalalaman... maghugas ka nga dun ng pinggan”

Sige papakita ko sa inyo bakit VWAP.

Kunyare may isang stock na tawagin nating stock XYZ. May bumili kay stock XYZ ng 30 shares sa 50 pesos. May bumili din 40 shares sa 52 pesos. Meron din 30 shares sa 51 pesos. Meron ulit bumili ng 30 shares sa 53 pesos. Lastly may bumili 700 shares sa 60 pesos.

30 shares at 50 pesos
 40 shares at 52 pesos
 30 shares at 51 pesos
 30 shares at 53 pesos
 700 shares at 60 pesos

Ano ang average price ni stock XYZ?

30 shares at 50 pesos
 40 shares at 52 pesos
 30 shares at 51 pesos
 30 shares at 53 pesos
 700 shares at 60 pesos

$$\begin{array}{r}
 266 \\
 \div 5 \\
 \hline
 53.2
 \end{array}$$

Does it make sense? NOOOO

30 shares lang sa iba tapos 700 shares sa 60 pesos at sasabihin mo ang average eh nasa 53.2

Paano nangyare yun eh di hamak mas marami bumili sa 60 pesos. O diba? Maling mali kung sa average price natin e base. So ano dapat natin gawin?

Ang dapat nating gawin ay isangguni kay volume. Let me show you.

30 shares at 50 pesos
40 shares at 52 pesos
30 shares at 51 pesos
30 shares at 53 pesos
700 shares at 60 pesos

$$\begin{array}{r} 266 \\ \div 5 \\ \hline 53.2 \end{array}$$

30 shares at 50 pesos= 1500
40 shares at 52 pesos= 2080
30 shares at 51 pesos= 1530
30 shares at 53 pesos= 1590
700 shares at 60 pesos=42,000

$$\begin{array}{r} 48,700 \end{array}$$

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So 30 shares multiplied by 50 pesos. 40 shares multiplied by 52 pesos. 30 shares multiplied by 51 pesos. 30 shares multiplied by 53 pesos. 700 shares multiplied by 60

30 shares at 50 pesos
 40 shares at 52 pesos
 30 shares at 51 pesos
 30 shares at 53 pesos
 700 shares at 60 pesos

$$\begin{array}{r} 266 \\ \div 5 \\ \hline 53.2 \end{array}$$

30 shares at 50 pesos= 1500
 40 shares at 52 pesos= 2080
 30 shares at 51 pesos= 1530
 30 shares at 53 pesos= 1590
 700 shares at 60 pesos=42,000

830 shares 48,700

pesos. Total niyan is 48,700.

Yung 48,700 ay e divide natin sa total number ng shares. Meaning 48,700 ay e divide natin sa 830 shares. Kasi lahat lahat ng shares ay nagtotal sa 830.

30 shares at 50 pesos
 40 shares at 52 pesos
 30 shares at 51 pesos
 30 shares at 53 pesos
 700 shares at 60 pesos

$$\begin{array}{r} 266 \\ \div 5 \\ \hline 53.2 \end{array}$$

30 shares at 50 pesos= 1500
 40 shares at 52 pesos= 2080
 30 shares at 51 pesos= 1530
 30 shares at 53 pesos= 1590
 700 shares at 60 pesos=42,000

830 shares 48,700

$$\begin{aligned} &= 48,700/830 \\ &= 58.67 \end{aligned}$$

That gives us 58.67 pesos. So mas may sense diba? Kasi nga 30 lang halos sa iba yung nabili na shares pero pagdating sa 60 pesos ay 700 kaya mas marami doon meaning mas close doon dapat yung average.

Yan po ang vwap. Di lang siya basta average price but kinoconsider niya din saan maraming bumili (naipit lol)

ANG TAMANG GAMIT NG VWAP

Dito ngayon maraming mababasag na idea.

Yung VWAP ay ginagamit lang dapat sa loob ng isang araw. Yung timeframe mo ay mula 1 minute paakyat sa hours. It's up to you but VWAP is only calculated for the day and thus cannot be used for periods ranging to multiple days.

Yung VWAP calculations nagsisimula yan fresh sa start ng trading hour at nagtatapos sa pagtapos ng trading hour. Kaya if ginagamit mo ang VWAP sa multiple days na timeframe ay mali na ang gamit mo nito. You can still get data but dahil di mo naiintindihan na nagstart fresh ang VWAP sa pag compute sa start ng trading hour at nagiging cumulative ito mula second VWAP value until end ng day eh mali or may discrepancy na data mo.

Ang VWAP ay intraday. Unlike sa moving averages na pwede mo gamitin sa ibat ibang timeframe at ibat ibang araw ang VWAP hindi. Ang moving averages ay nagcompute kasama ang past data or past prices kaya kahit day timeframe or weekly timeframe ay same na mag average lang din ang result. Ang VWAP ay cumulative kaya iba siya. So yung mga panay gamit sa vwap with day or week na timeframe meaning noon ay di nila naiintindihan ang basic ng VWAP.

Yung VWAP gamit din yan ng ibang insti noon kase with vwap makikita nila kung saan concentration ng buyers at sellers. Kung anong price. Take note ha na sinabe ko “noon” kase ngayon may bago na silang gamit

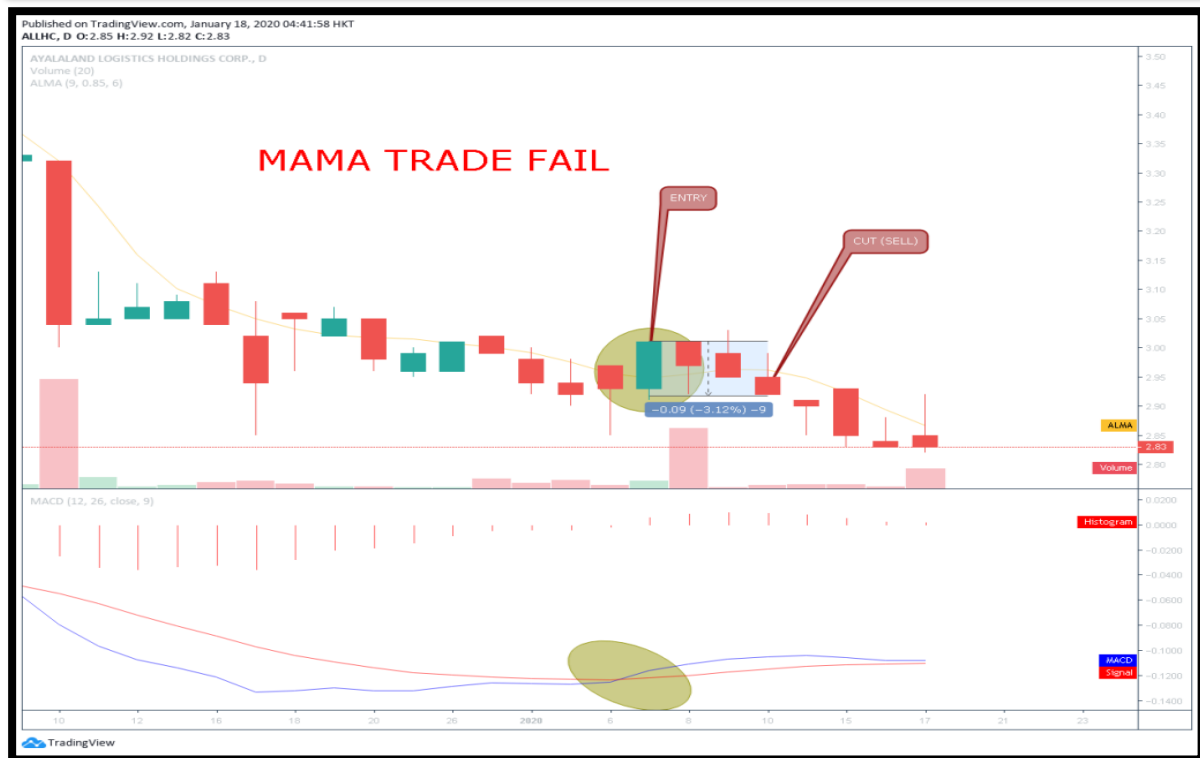
THE PRE-REQUISITES

THE HISTORY



Both of them are MAMA TRADES. Look at the outcome on the next page.





Why? Dahil sa HISTORY.

Every time you use MAMA or any other strategies as your set up, dapat balikan mo at least 1 year history ng stock and look if marami ba successful mama trades or mas marami ang failed mama trades.



The more successful mama trades sa past the more na it will be a successful mama trade din. Just like the charts below.

Published on TradingView.com, January 18, 2020 04:59:27 HKT
EW, D O:12.48 H:12.50 L:12.40 C:12.48

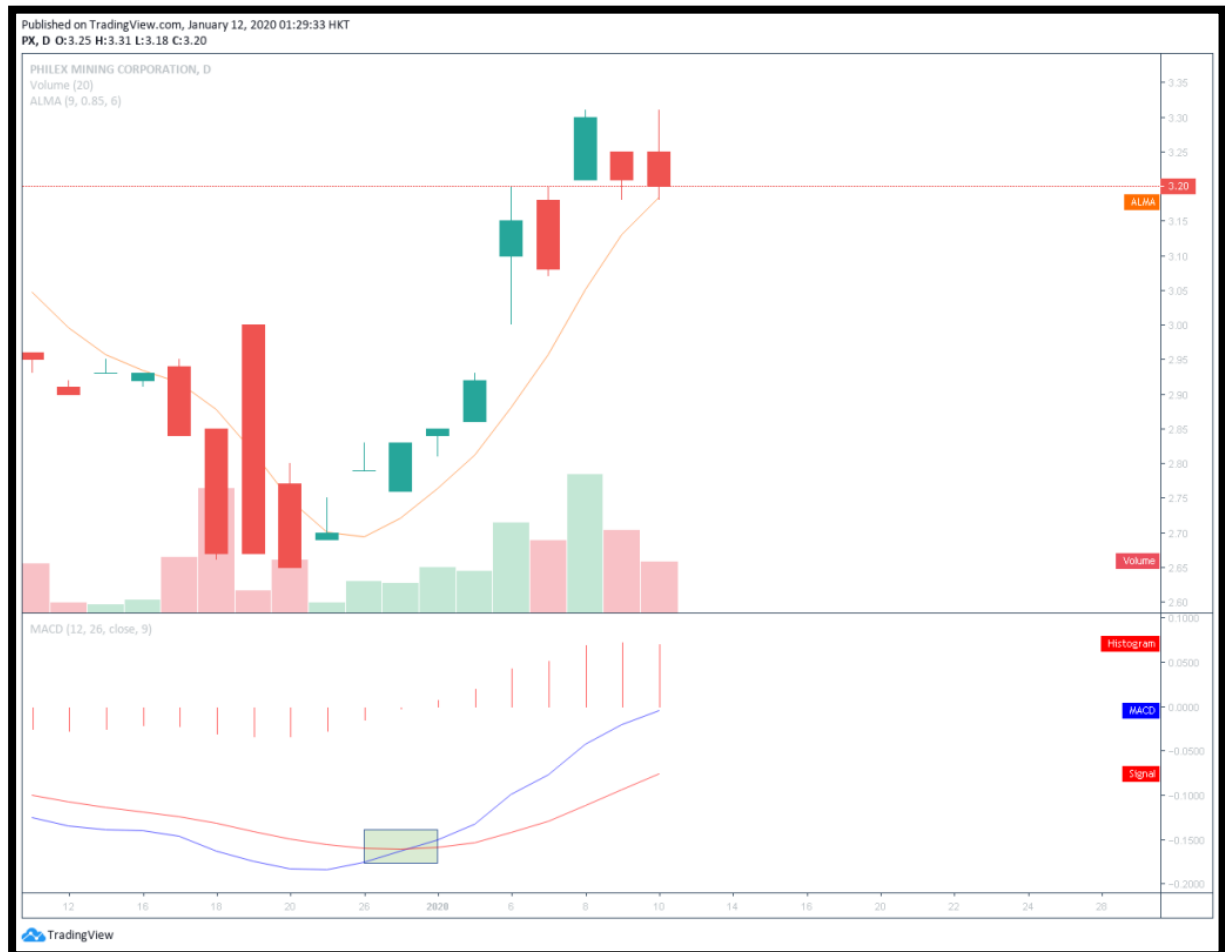


Published on TradingView.com, January 18, 2020 04:50:30 HKT
ALLHC, D O:2.85 H:2.92 L:2.82 C:2.83



THE RISK

Let us assume na nagscreen ka ng stock at MAMA Strategy ang nilagagay o gamit mo.



Next na titingnan mo is yung risk. Ano ba yung risk? Ito yung possible na losses mo if hindi tumuloy sa pag akyat ang stock. Ibig sabihin kapag nag mama trade fail siya ito yung magiging losses mo.

Hanapin mo ang level ng ALMA na nabreak ng first candle at doon ka magstart plot ng risk. See the example in the next chart.

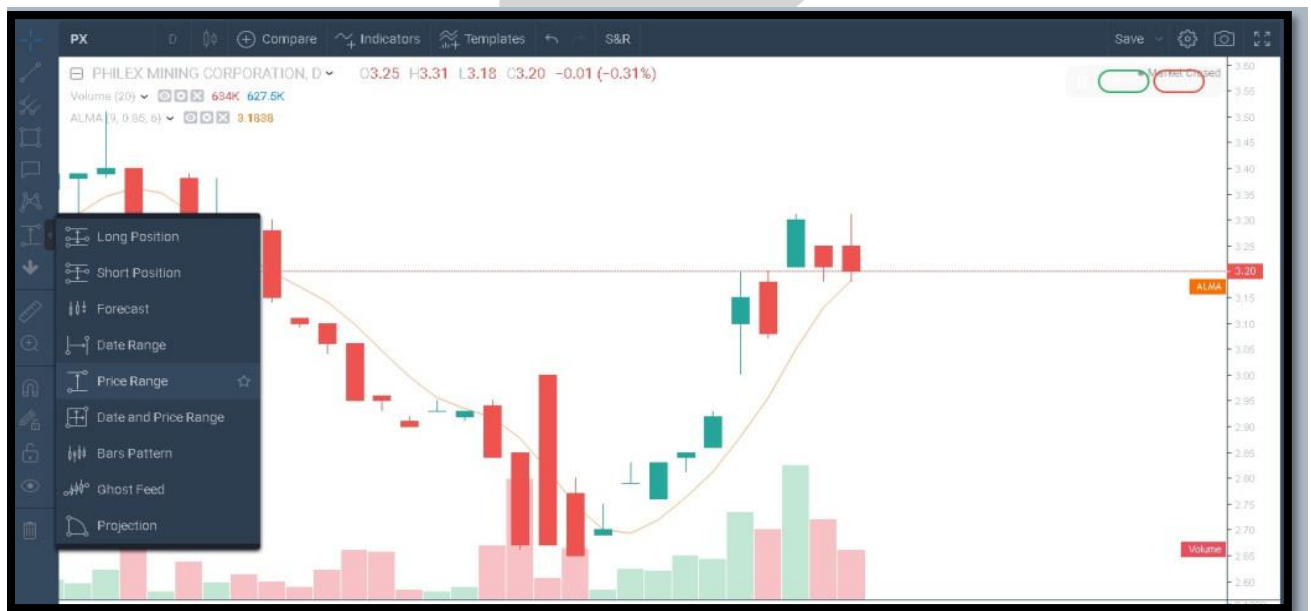


Sa mama set up, ideal talaga na sa MACD cross with ALMA break ka bumili, pero acceptable din naman bumili one day before or one day after ng MACD cross as long as nabreak na ang ALMA.

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Hanapin mo ang price range at e plot para masukat mo risk.



Kay PX meron 3.3% na risk (di kasali fees at tax)



Sa level ng risk, nasa trader yan naka depende, pero I normally advise traders na take those who are less than 5% para if pumalpak you won't lose so much. That's 3.8% risk kasi may 1.19% ka na fees + tax.



If you took this trade ito may 14.86% gain ka na sa trade na to.



7 TRADING STRATEGIES

These are strategies in trading that you can use in application of the technical indicators discussed above. The strategies are your guide in your buy and sell condition. Back test them and use them according to what fits you.

1) MAMA

MAMA stands for MACD plus ALMA. MAMA strategy is a strong buy indicator. Para itong utos ni MAMA. Here is how we execute this trading strategy:

Indicators: ALMA + MACD (default setting)

Timeframe: Daily

- Buy Condition: 1) The candle breaks above ALMA and 2) MACD bullish cross or about to cross.

There are three conditions na pwede sa MACD cross.

1) a day before cross, 2) just crossed 3) 1 day after cross

- Entry: I highly suggest you enter at End of the Day.
- Exit Condition: If the candle/price breaks below the ALMA as support and stays below support.

Chart studies

If nabreak ng candle ang ALMA pataas at nagstay ang candle above the ALMA line (given na with good/okay volume ha) we buy then yung cutloss area is always below the ALMA line. We sell kapag nabreak ng candle ang ALMA pababa at nagstay sya dun. Walang BUT or IF, kapag na break ng candle si ALMA, sell agad.



We buy strong (aggressively) kapag nabreak ng candle ang ALMA at the same time nagcross ang blue na line ni MACD na nasa taas ang blue or what we call Bullish crossover. So after makabili yung exit or pagsesell mo is sa pagbreak pa rin ng candle sa ALMA pababa at magstay sya there.







2) FISHBALL

Fishball is a bounce set up or bounce trade. I will be very clear on how this setup is done. First, look for stocks na tumaas significantly or what we call lumipad. The moment na bumagsak yung stock na yun automatic ito yung strategy na gagamitin. Same din sa mga stock na biglaan ang grabe na pagbagsak. Explosive volume ang key sa strategy na to.

Indicators: Fisher Transform(default setting) and Trix (setting=5)
Timeframe: 30 minutes (non-negotiable)

- Buy Condition: kindly see the chart example below
- Entry: immediately
- Exit Condition: kindly see the chart example below

Chart studies

Yung fisher is color blue na line at trigger naman yung color orange. Then may mga dotted lines. Yung buy signal is kapag lumabas na sa ilalim ng mga dotted lines yung fisher at pabalik sya paakyat with the fisher (blue line) above the trigger (orange line). Then, yung Trix dapat hindi naka curve pababa. Either naka flat or curving up ang Trix.













This is a bounce play so mabilis lang na pasok at labas. Yung exit is kapag nagcurve na pababa ang fisher or nagcross na sya sa trigger na ang fisher ang nasa baba. Normally it will give you an easy 8-10% gain if done properly.

Mabilisan ang execution dito. I use this strategy often. Kapag may buy signal na I'd buy then derecho na ako lagay sa sell order ng shares at stock name habang ng aabang sa exit sa chart. Kapag exit signal shows up I put the price then execute. Bounce lang. No reversal. No hoping. Pasok at labas din agad.



3) CALMA

Basically, this strategy is a combination ng CCI at ALMA (CALMA (CCI +ALMA)). This strategy is suited sa mga traders na di gaanong nakakababad sa market. Mga halos once a week lang natingin. Yung timeframe neto is weekly.

How to execute CALMA strategy? Kapag umangat ang **CCI sa +100** or kapag yun ay nabreak nya at ang **candle ay above ALMA on a weekly na timeframe** it's a buy. Ang sell niya is kapag nabreak ang ALMA at nagstay sa baba ang candle.

Indicators: CCI + ALMA (default setting)

Timeframe: Weekly

- Buy Condition: CCI ≥ 100 and candle above ALMA
- Entry: immediately or anytime the buy signal will appear
- Exit Condition: candle below ALMA and it stays below ALMA

Chart studies





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4) PAPA

I was wondering what strategy ang best na magfifit sa mga traders na di naman active daily. Mostly kasi may mga trabaho. They could only check the market once or even twice a day. Minsan EOD or after trading na sila nakakacheck. So here is PAPA for you.

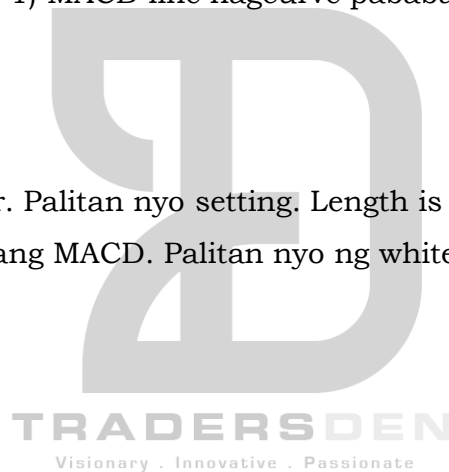
Indicators: Envelope (Length=40, Percent=3), MACD (default setting) and ALMA (Default setting) click Exponential

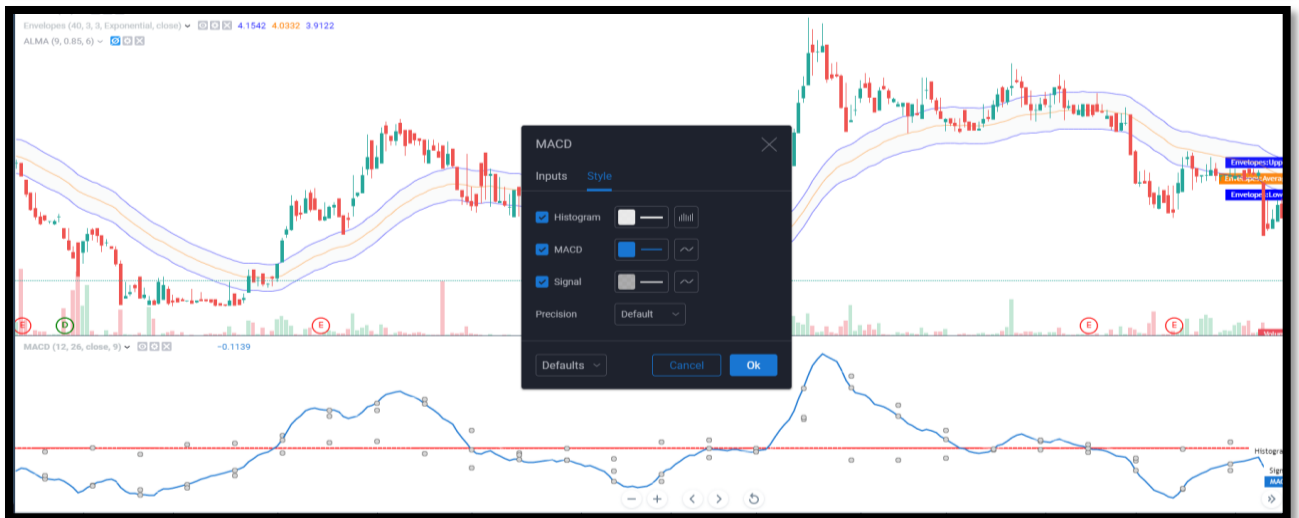
Timeframe: Daily

- Buy Condition: MACD Line crossing above zero line and candle breaks the upper line of the envelope.
- Entry: End of the Day
- Exit Condition: Either 1) MACD line nagcurve pababa or 2) nabreak ng candle ang ALMA as support.

Chart studies

Lagay nyo envelope indicator. Palitan nyo setting. Length is 40. Percent is 3 at e click ang exponential. Lagay nyo ang MACD. Palitan nyo ng white ang kulay ng histogram at Signal line.





"Buys" neto is kapag nagcross pataas ang MACD sa Zero line at yung candle eh nabreak ang upper line ng envelope.



Two ways to exit dito. Pwede na pagcurve ng MACD pababa which is a little bit lagging or pag break ng candle sa ALMA.



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The cool thing about kay PAPA is this doesn't work sa mga biglang lipad na basura stocks so in a way medyo safe ka dito kasi mga normal na move pataas lang ang usually nasasagap neto.

5) TITA

Indicators: RSI (upper limit=55, lower limit=50) and ALMA (default setting)

Timeframe: Daily

- Buy Condition: Either 1) RSI =50 level or 2) RSI=55 and candle breaks ALMA as resistance.
- Entry: End of the Day
- Exit Condition: When the candle breaks ALMA as support and stays below ALMA

Chart studies





6) BOPIS

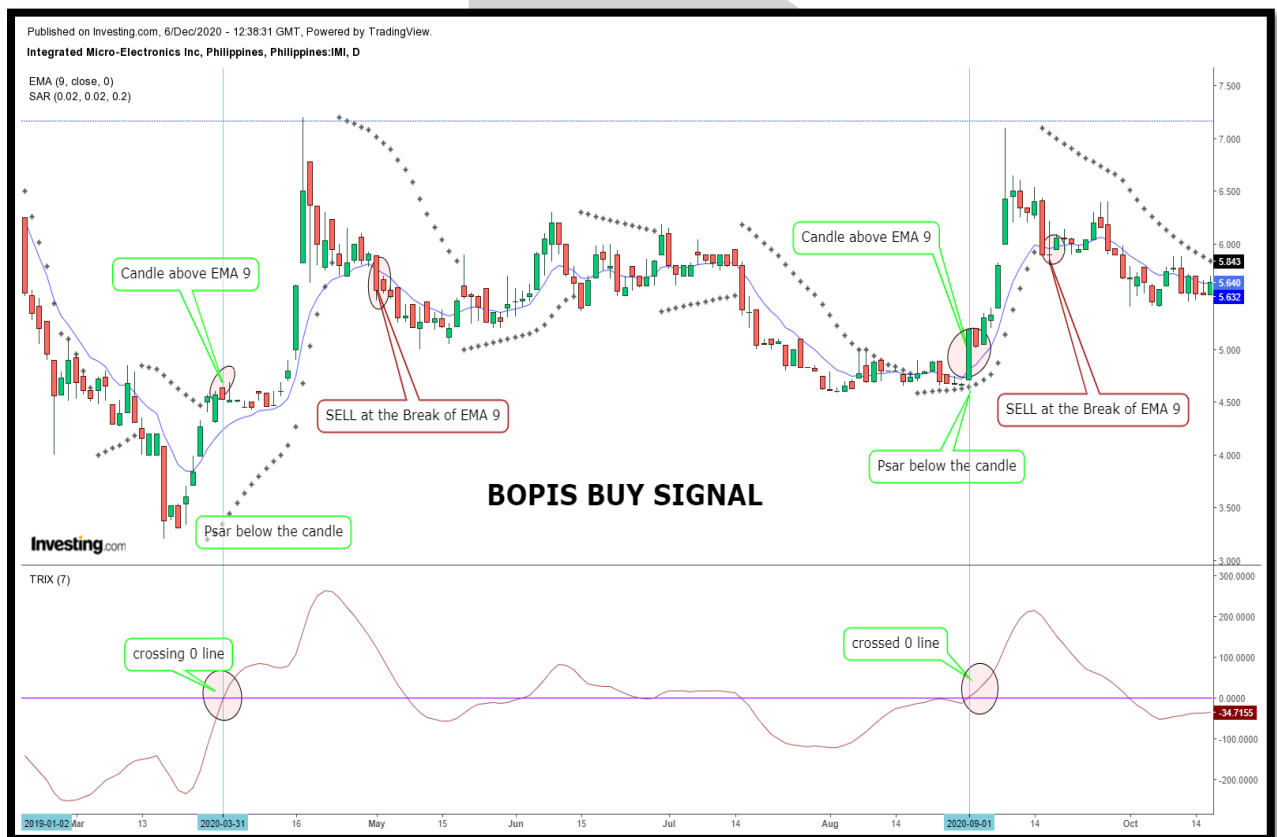
This strategy is used for Bottom Fishing.

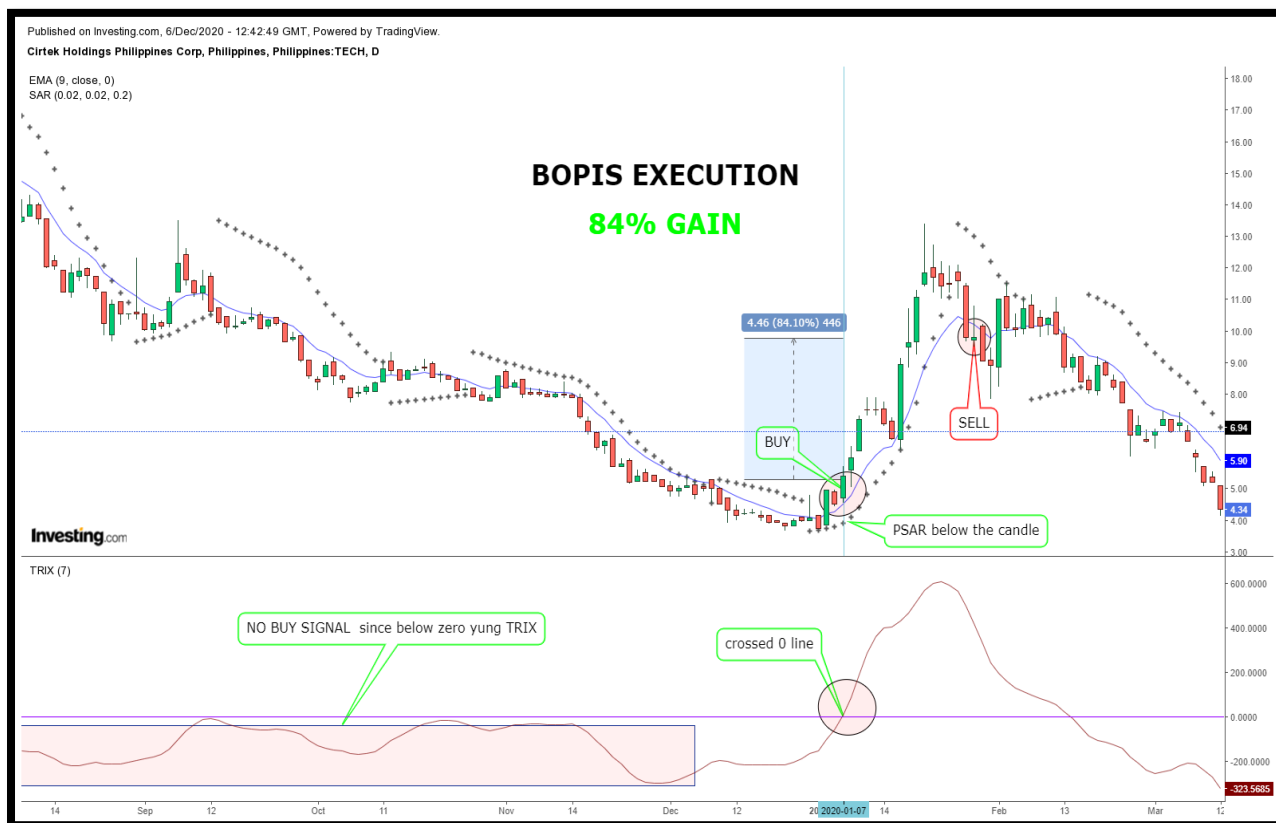
Indicators: Parabolic SAR dots, EMA 9 and Trix (setting =7)

Timeframe: Daily

- Buy Condition: Parabolic SAR dots below the candle, the candle is above EMA 9 and Trix is about to cross over zero or has just crossed over zero line.
- Entry: End of the Day
- Exit Condition: Breakdown of EMA 9 as support if the candle goes below EMA 9 and stays there.

Chart studies





7) DAY TRADING

Indicators: ALMA (default setting)

Timeframe: 1 minute to 15 minutes TimeFrame

- Buy Condition: Break of ALMA as resistance
- Exit Condition: Breakdown of ALMA as support

I don't suggest any newbie should try day trading but let's face it, kapag bago ka sa trading **YOU WILL ALWAYS TRY DAY TRADING** until matalo ka ng sunod sunod at matuto. I often see articles written na 90% of Day Traders lose money in day trading. This may be true. I don't have any real data to check the validity of this claim kasi more or less ng mga nasusulat na nagbibigay ng ganyang statement ay nagsasaad lang ng opinion nila.

I don't want you to do Day Trading. You need a lot of experience to be good at it. The strategy is easy but dealing with the emotions along with day trading is hard. Mabilisan ang cut loss. Mabilisan ang pasok at labas.

Since nag warn na ako nahuwag itong gawin, para sa matitigas ang ulo na ginagawa pa rin ito, let me help you out. This is just to help you out. One day you would all be on a level na marami na kayo experience at madali na makipag usap sa inyo about Day Trading. When that day comes, I would be happy to share with you few strategies on Day Trading. Sa ngayon I would only share one. Trust me, I am earning my money sa trades kaya hindi ako madamot mag share ng strategies. Ang strategies kasi take up about 10% to 20% lang ng success mo sa trades. The rest ay nagrerey na sa disiplina mo at mga psychological biases mo. Take for example MAMA Strategy, if you are an outsider meaning hindi ka member ng Traders Den PH, you would think na MAMA Strategy is so simple kasi ALMA lang at MACD but once ginamit mo na nagugulat ka bakit medyo mahirap. May mga kasamang rules kasi at disiplina na needed ang pag gamit ng MAMA strategy.

Let's go back sa Day Trading. Two rules lang.

- 1) Unang rule, **USE 10% OF YOUR PORT ONLY PARA SA DAY TRADING.** I don't care if you think you can hit 10 wins out of ten-day trading trades. I don't care if 1 Million pesos laman ng port mo or 200k pesos. USE 10% ng port mo lang. **NON**

NEGOTIABLE! It has nothing to do with your money but sa effectivity mo sa pag exit when your sell signal is triggered.

- 2) Second na rule, **RESPECT EXITS.** If sabi ng strategy mo exit, mag exit ka. No debate. No buts or ifs.

ALMA BREAKS. Use ALMA and switch ka mula 1 min Timeframe to 15 Minute Timeframe. Buy signal is kapag na break ang ALMA as resistance at sell is kapag nabreak ang ALMA as support. That's it. No other crazy or complicated way. Look at the chart studies for a clearer illustration of the strategy.

Chart Studies





Anong mga stock ang pwedeng e Day Trade? Mga stocks na may explosive na volume.



Experience will tell you which stocks are good e day trade at which stocks are not. I don't suggest this to newbies. Day Trading has been a source of malalaking loss sa karamihan ng traders. Marami nasunog port dyan. Marami naipit. **Why did I give this strategy? Para to sa mga matitigas ulo na gusto pa rin mag day trade kahit na sinasabihan na umiwas doon.** I'm giving you a fighting chance at least!

HOW TO SCREEN or FILTER STOCKS?

Ang pagscreen o pagfilter ng stocks ay pagpili kung anong stocks ang tradable o hindi base sa strategy na napili or ginagamit mo. I will give you some basic tips on how to screen your stocks and prepare to enter your first trade.

SCREENING CRITERIA

1. Value= above 1 million traded value for that day
2. History= at least two successful strategies materialized as shown in the chart
3. Risk= not above 5% (inclusive of commission 1.195)
4. Go over from 2GO to ZHI manually.
5. Rank top 5 priority stocks

REMINDER:

SCREEN AFTER MARKET HOURS, AT YOUR MOST CONVENIENT TIME.

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SCREENING CRITERIA/CHART STUDIES

For screening purposes let us use MAMA as strategy at maghahanap tayo ng stock na malapit ng mag MAMA or pa MAMA na. Let us use IRC as an example. Balikan natin criteria ni MAMA.

1. Candle above ALMA
2. MACD kaka cross pa lang (this one is ideal), yung MACD nagcross na (1 day after) at about to cross pa(1 day before lang) ay pwede na rin.

Halimbawa nakita mo si IRC, parang mag cocross na MACD niya at above ALMA na sya, so pwedeng mag MAMA na. Next mo gagawin ay e screen mo according to the following criteria:



1. Value= above 1 million traded value for that day. From 2GO to ZHI, check mo yung value ng stock, dapat above 1million value niya for that day. If below 1 million, check mo previous 5 days, it should be at least 1 million each day for the past 5 days.

Kapag below 1 million, I usually skip or forgo that stock at hanap ng iba. Also avoid illiquid stock, or yung mga stock na halos buhol buhol o hindi buo ang candle stick gaya ng chart sa baba.



Since si IRC ay 6million ang traded value nya for that day, proceed ka sa next criteria.



- History= at least two successful strategies materialized as shown in the chart.
Since we are using MAMA strategy, let us check if okay ang history ni IRC sa MAMA. At least twice successful MAMA for 1 year.



Kapag hindi maganda ang history ng stock, I usually pass and look for other stocks na may mas magandang history.

3. Risk= not above 5% (inclusive of commission 1.195) Last mo titingnan ay ang risk. Read mo ulit yung topic about risk sa taas, to know why important na kinaconsider natin ang risk.





Ang ideal risk ay 5% or below, the lower the risk the better. Kapag lampas 5% na ang risk hindi na advisable pasukin yan kahit gaano pa ka perfect ang MACD cross at ALMA break niya gaya ng halimbawa sa baba.



Nag MAMA si ABA , pero may -15% mahigit na risk na sya once pinasok mo. Kapag ganyan na kataas ang risk, avoid or do not trade that stock.

Since pasok si IRC sa risk tolerance ng MAMA strategy, then pwede mo isama sa watchlist mo for the next trading day.

4. Go over from 2GO to ZHI manually. Manual screening is for the sake of eye training. The more you do it everyday, the more masasanay ang mata mo when you screen stocks using your strategy.
5. Rank top 5 priority stocks.

E rank mo ang watchlist mo base sa criteria

1. MAMA na ba? Pag hindi pa, least priority yan.
2. Value: 1 Million ba traded value or above?
3. History: okay ba history? If hindi, let go mo at hanap ng iba.
4. Risk: Mababa ba ang risk or too risky na? pag too risky na, hanap ka ng mas magandang set-up.

Always remember to let the SET-UP come to you. Kapag walang magandang stock when you screen, you can pass and wait for that opportunity again. HINDI NAUUBUSAN ng opportunity ang merkado.

HAPPY TRADING!

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GANDAKOH'S MESSAGE

Hello readers/traders/aspiring traders. I wrote this book with an intention to help Filipinos understand Technical Analysis more. I made this book with no intention of selling it. I'm a full time stock trader with over 40 Million pesos in combined portfolios with different brokers. I used to struggle sa trading when I was a newbie. I lost a lot of money. Someone with a kind heart helped me out sa trades ko and asked for nothing in return. It's now my turn to do the same for you with the hope that one day, when your trades are okay ay it will be your turn to help others for free as well. Use this book as your guide. Share this book but don't sell it. Let the many aspiring pinoy traders know that if they want a Stock Trading Technical Analysis Guide ay mayroong available for free. I would also like to invite you to our [Facebook Trading Group](#). Our Facebook group is a place where traders share ideas, experiences at learnings. We have weekly lessons. We have healthy discussions. We have fun games. If may katanungan kayo about trading or finance in general ay doon kayo pwede magtanong at marami ang willing sumagot sa mga katanungan ninyo. Ang advocacy ng group is to share free learnings. Come join us at [Traders Den PH](#) and let us help you sa trading journey mo. I hope this book will help you. I hope God will bless you and your family more. Maraming salamat po.

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